PDF version of the article coming soon.

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MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	23/10/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	3.03	-8.8	-25.5	+94.2	+110.4
Bund 5Y	3.14	-10.4	-25.1	+67.9	+101.0
Bund 10Y	3.32	-12.7	-20.5	+46.0	+78.5
OAT 10Y	4.93	+14.1	+40.4	+143.2	+162.0
BTP 10Y	4.59	+0.2	+7.6	+109.4	+122.9
BONO 10Y	4.01	-4.7	+1.2	+76.1	+94.2
Treasuries 2Y	4.69	-12.0	-19.3	+120.7	+118.1
Treasuries 5Y	4.82	-21.5	-17.7	+109.2	+120.6
Treasuries 10Y	5.00	-1.2	-10.3	+83.3	+3.2
Gilt 2Y	4.76	+0.1	-5.7	+100.6	+97.2
Treasuries 5Y	5.02	-3.3	+4.3	+116.7	+124.0
Gilt 10Y	5.37	-3.9	+1.3	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	23/10/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.12	+0.3	-1.7	-4.6	-3.5
GBP/USD	1.34	+1.3	+0.9	-0.5	+0.5
USD/JPY	156.76	-1.2	-0.9	+0.0	+2.7
DXY	101.81	-0.8	+0.7	+3.5	+1.6
EUR/GBP	0.84	-1.0	-2.6	-4.1	-4.0
EUR/CHF	0.92	-0.9	-1.7	-0.7	-0.0
EUR/JPY	175.63	-0.9	-2.6	-4.6	-0.9
Oil, Brent ($/bbl)	116.65	+9.3	+12.9	+91.7	+76.7
Gold ($/ounce)	3996	-4.2	-7.0	-7.6	-3.6

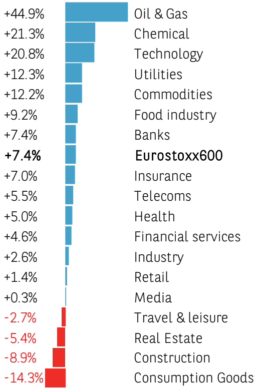
Equity Indices

	Level	Change, %			
	23/10/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4875	-1.8	-1.3	+10.0	+12.2
North America					
S&P500	7624	-2.4	-1.1	+11.4	+13.1
Dow Jones	52215	+0.7	+1.4	+8.6	+11.7
Nasdaq composite	25955	-4.7	-3.6	+11.7	+13.1
Europe					
CAC 40	7783	-0.6	-4.2	-4.5	-5.4
DAX 30	25182	-0.4	-0.9	+2.8	+4.0
EuroStoxx50	6068	-2.1	-3.7	+4.8	+7.1
FTSE100	10690	+0.3	-0.1	+7.6	+11.6
Asia					
MSCI, loc.	1899	-2.9	-2.6	+12.4	+15.3
Nikkei 225	62693	-9.2	-3.6	+24.5	+28.9
Emerging					
MSCI Emerging ($)	1578	-7.0	-9.8	+12.3	+14.2
China	67	-6.0	-8.4	-19.3	-23.0
India	881	+0.3	-4.9	-16.8	-17.4
Brazil	2157	-3.3	+12.1	+31.0	+38.8

Performance by sector

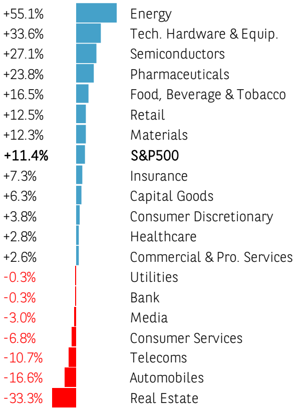
Eurostoxx600

Year 2026 to 23-10, €

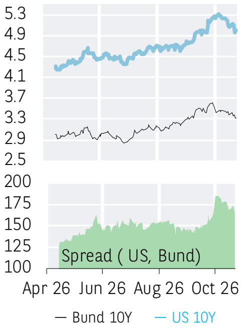


S&P500

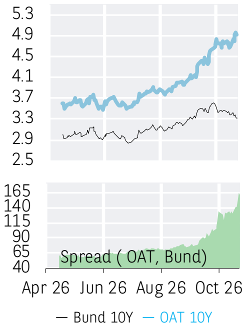
Year 2026 to 23-10, $



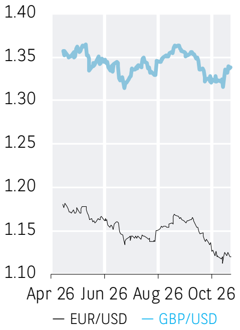
Bund 10Y & US Treas. 10Y



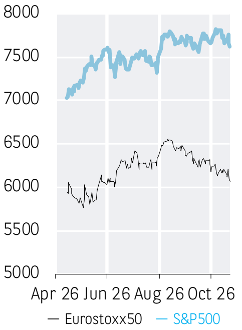
Bund 10Y & OAT 10Y



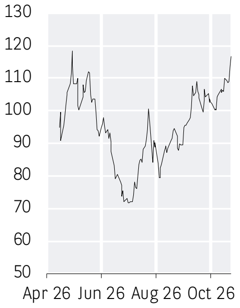
EUR/USD & GBP/USD



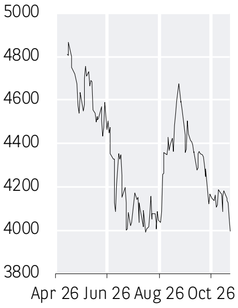
EUROSTOXX 50 & S&P500



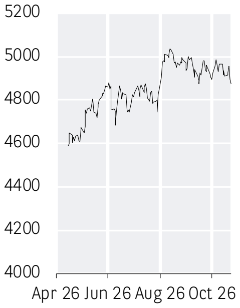
Oil, Brent ($/bbl)



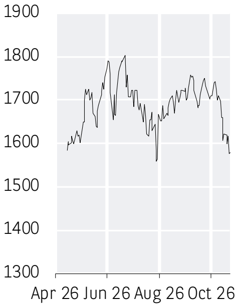
Gold ($/ounce)



MSCI World ($)



MSCI Emerging ($)

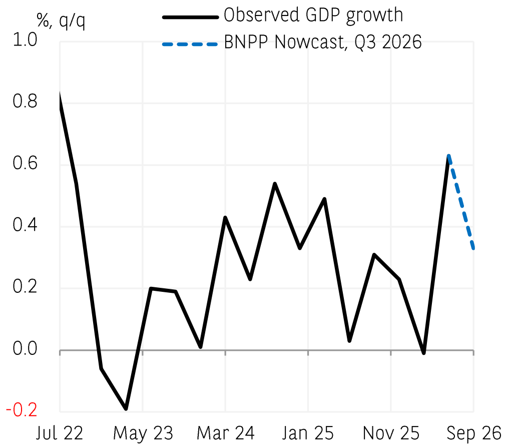


SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 26 October 2026

NOWCASTS OF THE ECONOMIC RESEARCH

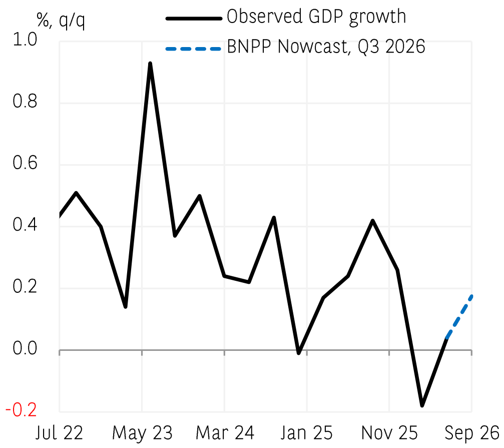
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to resilient growth in Q3 although we revised it lower (+0.3% q/q) on the back of the recent decline in industrial activity.

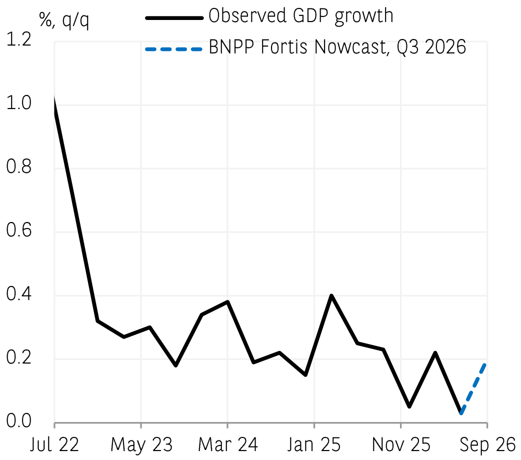
France



Source: Refinitiv, BNP Paribas

France is expected to return to growth in Q3 after teetering on the brink of recession in H1. However, we are lowering our nowcast for French growth from 0.3% to 0.2% q/q in Q2, due to persistent stagnation in industrial production.

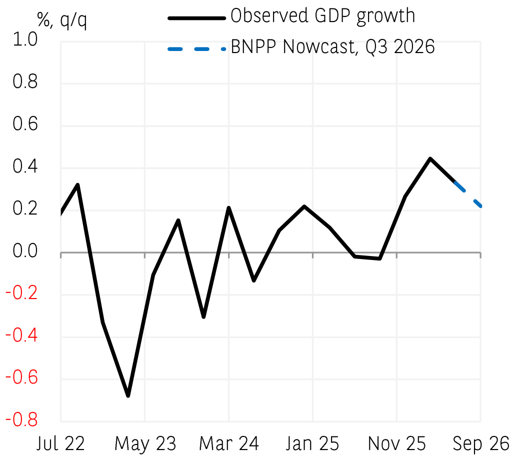
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.2% q/q). The business climate is low, as inflation pressures bind.

Germany



Source: Refinitiv, BNP Paribas

German growth is expected to remain stable in Q3 according to our nowcast, at +0.2% (following +0.4% in Q1 and +0.3% in Q2) due to the stabilisation of industrial activity. However, it is expected to remain supported by exports.

Read the Nowcast methodology
tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.3	2.2	2.3	2.9	2.7	3.5	2.5
Japan	-0.2	1.2	1.0	1.2	2.7	3.1	1.9	2.6
United Kingdom	1.0	1.2	1.3	1.3	2.5	3.4	3.2	3.5
Euro Area	0.9	1.3	1.1	1.5	2.4	2.1	3.1	3.0
Germany	-0.5	0.3	1.1	1.3	2.5	2.3	2.8	3.0
France	1.1	0.9	0.5	1.0	2.3	0.9	2.5	2.4
Italy	0.6	0.7	0.9	0.8	1.1	1.6	3.2	2.6
Spain	3.5	2.6	2.7	2.3	2.8	2.7	4.0	4.0
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	7.1	6.9	4.6	2.1	5.1	4.9
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)

Interest and exchange rates

Interest rates, %		2026	2027			
End of period		Q4	Q1	Q2	Q3	Q4
US	Fed Funds (upper limit)	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.75	2.75	2.75	2.75	2.75
	Bund 10y	3.50	3.40	3.30	3.25	3.20
	OAT 10y	4.43	4.40	4.25	4.18	4.10
	BTP 10y	4.38	4.33	4.18	4.08	3.98
	BONO 10y	3.98	3.90	3.74	3.65	3.55
UK	Base rate	4.00	4.00	4.00	3.75	3.50
	Gilts 10y	4.90	4.80	4.70	4.65	4.50
Japan	BoJ Rate	1.50	1.75	1.75	1.75	2.00
	JGB 10y	2.90	2.95	2.95	3.15	3.25

Exchange Rates		2026	2027			
End of period		Q4	Q1	Q2	Q3	Q4
USD	EUR / USD	1.14	1.14	1.16	1.18	1.20
	USD / JPY	163	163	163	163	163
	GBP / USD	1.34	1.36	1.38	1.40	1.43
EUR	EUR / GBP	0.85	0.84	0.84	0.84	0.84
	EUR / JPY	186	186	189	192	196

Brent		2026	2027			
Quarter Average		Q4	Q1	Q2	Q3	Q4
Brent	USD/bbl	81	78	79	81	80

Source: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy)

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.5% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4.25% - 4.50%.

CHINA

Economic growth rebounded to 4.5% y/y in Q3 2026 (1.2% q/q) after 4.3% y/y in Q2 and 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterised by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has widened this year. Retail sales barely increased in the first nine months of 2026, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting investment and private consumption will increase over the last months of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.5% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.1% in 2026 (from 2.1% in 2025), before easing to 3.0% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.

FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.5% in 2026 according to our forecast, after 0.9% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth would improve slightly to 1.3% in 2026 and remain at this level in 2027 (1.2% in 2025). The economy has so far weathered both the energy price shock and domestic political volatility. That said, growth is expected to decelerate in the second half of the year, while inflation is set to remain stubbornly above target (averaging 3.2% in 2026 and 3.5% in 2027), driven by higher energy prices and mounting second-round effects. In response, we expect the BoE to deliver a single insurance hike in November 2026, bringing the Bank Rate to 4.00%. The BoE is then expected to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-year.

JAPAN

Following 1.2% in 2025, Japan's GDP growth is expected to decelerate to 1.0% in 2026, before rebounding to 1.2% in 2027. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy’s overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of “adjustment in the degree of monetary accommodation” in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.

VERSION PDF À VENIR / PDF FILE TO FOLLOW

Paris, 23 October 2026

EcoFlash

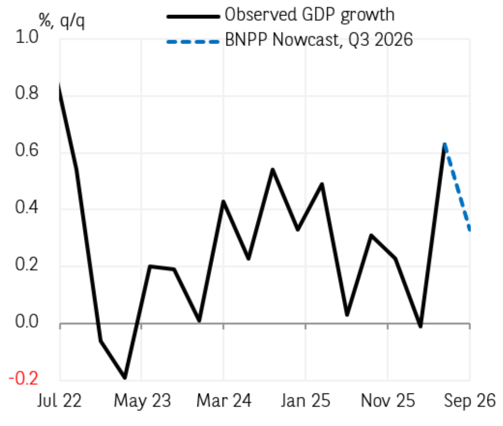
Q3 Growth in advanced economies: solid despite shocks

Growth looks to have held up in Q3 despite successive shocks ([see our analysis](#)), as it did in 2025 and H1 2026. A longer Middle East conflict has fed into more persistent inflation; drought has worsened in many countries, and interest rates have risen further – at the short end, with both the ECB and the Fed raising policy rates in September, and even more at the long end. However, our nowcasts show that growth is bending without breaking in most advanced economies. GDP figures (due on 29 October in the US and 30 October for the euro area and its member states) are expected to confirm that. In the Euro area, momentum looks stable (excluding Ireland, whose GDP is volatile). In Germany, growth has been uninterrupted since Q4 2025, while France is likely to have returned to growth after stagnating in H1. In the US, growth is likely to have gathered pace, according to the GDP Now, still driven by AI, but increasingly by other sectors as well.

Euro area: resilience beneath the surface. **Our nowcast points to growth slowing to 0.3% in q/q, though the pace is stable excluding Ireland** (Irish GDP is volatile and had markedly boosted the Q2 figure). Excluding Ireland, growth should hold at its H2 average, a sign of the bloc's underlying resilience. Also, momentum has broadened to a growing number of sectors ([see our analysis](#)). While industrial production stalled over the summer, services remained buoyant. The services PMI rebounded sharply in Q3 and sits firmly in expansion territory (53.0 in September). Improving job-related survey data (PMI and European Commission surveys) and a stable unemployment rate (6.4% in August) hint at more hiring in Q3 – a support for household consumption that partly offsets purchasing-power losses from persistent inflation. Corporate investment is underpinned by buoyant new investment lending (8.7% y/y In August, 12-month cumulative).

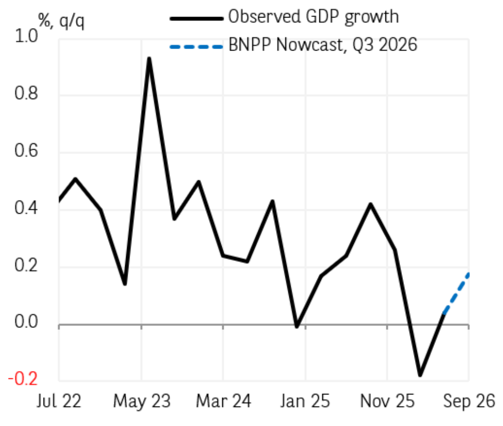
France: growing, nevertheless. **The succession of shocks does not appear to have prevented France from returning to growth in Q3, at 0.2% q/q, according to our nowcast.** One-off factors accounted for the stall in activity in H1. In Q3, the drought worsened and industrial production remained subdued. However, market services production rebounded in July and August, notably in business services, restaurants, digital and real estate. The latter points to residential investment recovering after a weak H1. Corporate investment likely followed, as reflected in buoyant credit flows and AI-related investment. Household consumption is likely to have improved slightly on higher electric vehicle sales.

Euro area



Source: Refinitiv, BNP Paribas

France

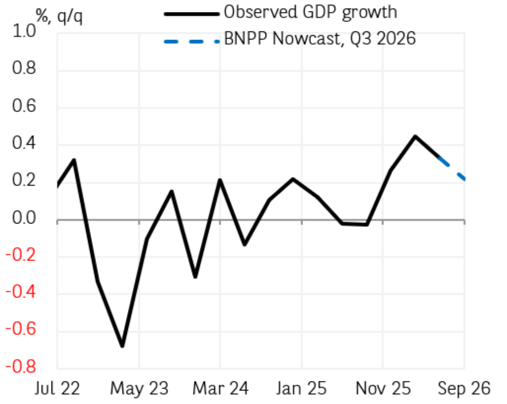


Source: Refinitiv, BNP Paribas

Germany: growth still solid. The H1 rebound in activity is moderating but continues. **Our nowcast points to a fourth straight quarter of growth in Q3, at 0.2% q/q (after 0.3% in Q4 2025, 0.4% in Q1 2026, and 0.3% in Q2).** Manufacturing activity eased slightly, according to the September PMI survey (53.9, down 0.4 m/m). Government spending will remain growth-supportive, with defence and infrastructure outlays gaining traction. Infrastructure spending continues to underpin activity in public works, which stands at its highest since November 2021 (2.5% 3m/3m in August). Exports (4.4% y/y between January and August) remain the main growth engine, helped by a pivot towards Europe (7.2%).

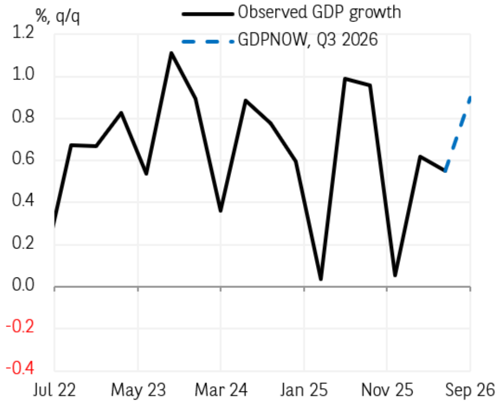
United States: an expansion undeterred by inflation. Growth is likely to have gathered pace in Q3. **The Atlanta Fed's GDP Now points to a 3.5% annualized growth rate (AR), close to our own 3.7% forecast (0.9% non-AR) and up from 2.2% in Q2**. Domestic demand remains the engine. Consumption is weathering the pickup in inflation, while the AI-driven capex cycle remains robust – as reflected in retail sales and nondefence capital-goods orders (excl. aircraft). As a result, growth in final sales to private domestic purchasers[1] should print above 4% AR again. By contrast, external trade should remain a drag on growth, reflecting AI-related import needs. Survey data point to momentum that is both solid and broad-based. The ISM indices have remained firmly in growth territory (54.9 quarterly average for manufacturing and services alike). At the same time, they highlight persistent price and supply-chain pressures.

Germany



Source: Refinitiv, BNP Paribas

United States



Source: Refinitiv, Atlanta Fed, BNP Paribas

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[1] The sum of household consumption and private fixed investment.

VERSION PDF À VENIR / PDF FILE TO FOLLOW

CHART
OF THE WEEK

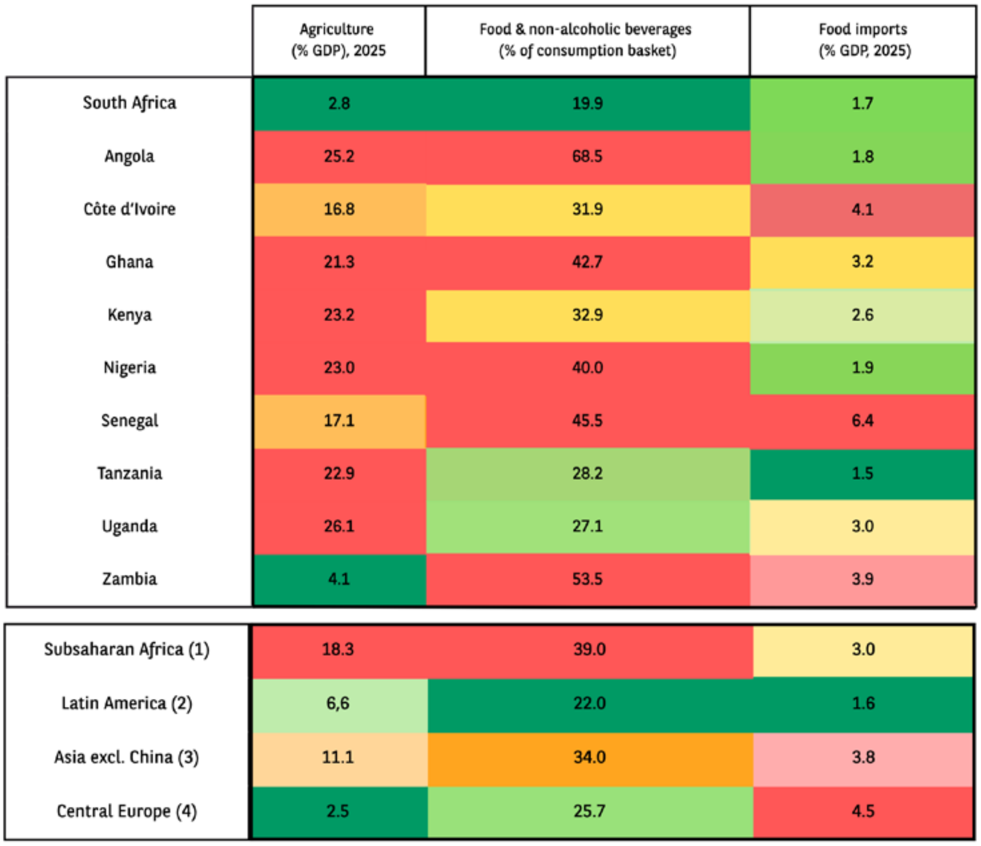
21 October 2026

FOLLOWING THE OIL SHOCK, EL NIÑO THREATENS TO HURT MACROECONOMIC RESILIENCE IN SUB-SAHARAN AFRICA FURTHER

Lucas Plé

Seven months after the start of the war in the Middle East, which has led to a sharp rise in oil prices, sub-Saharan Africa is holding up well overall. The deterioration in external accounts and the rise in inflation are more contained than in 2022, during the last oil shock. However, this resilience is fragile and is eroding as the conflict drags on. Furthermore, an exceptional El Niño event could significantly worsen the macroeconomic environment in 2027[1].

Sub-Saharan Africa is highly vulnerable to climate shocks via the agricultural commodities channel



	Agriculture (% GDP), 2025	Food & non-alcoholic beverages (% of consumption basket)	Food imports (% GDP, 2025)
South Africa	2.8	19.9	1.7
Angola	25.2	68.5	1.8
Côte d'Ivoire	16.8	31.9	4.1
Ghana	21.3	42.7	3.2
Kenya	23.2	32.9	2.6
Nigeria	23.0	40.0	1.9
Senegal	17.1	45.5	6.4
Tanzania	22.9	28.2	1.5
Uganda	26.1	27.1	3.0
Zambia	4.1	53.5	3.9
Subsaharan Africa (1)	18.3	39.0	3.0
Latin America (2)	6,6	22.0	1.6
Asia excl. China (3)	11.1	34.0	3.8
Central Europe (4)	2.5	25.7	4.5

(1) Average of the 10 countries listed above
(2) Argentina, Brazil, Colombia, Mexico, Peru (average)
(3) India, Indonesia, Malaysia, Philippines, Thailand, Vietnam (average)
(4) Bulgaria, Hungary, Poland, Romania, Slovakia (average)

Source: World Bank, National statistics, ITC, IMF

Reading note: the level of risk exposure ranges from green (least exposed) to red (most exposed)

Economic growth remains robust

For countries with available data, GDP growth held up well in the first half of 2026[2]. In mid-October, the IMF revised its regional forecast for the full year upwards to 4.5% (+0.2 percentage points compared with April), in line with the performance for 2025.

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[1] El Niño 2026-2027: multiple pressures on prices and supplies
[2] 1.4% year-on-year (y/y) in South Africa, 4.2% in Nigeria, 5.1% in Kenya, 7% in Angola, 7.3% in Ghana.

A mitigated shock on terms of trade

High prices for export commodities (gold, copper, platinum) have helped to cushion the impact on terms of trade and the external accounts of hydrocarbon-importing countries. For the 10 countries in our sample (see *heatmap*), the depreciation of their currencies against the US dollar since last February has been moderate overall (2.3% on average).

Inflation has started to rise again, but it is still being contained so far

In the ten countries in our sample, although inflation is rising again, it is lower year-on-year for the first eight months of 2026 than it was for the same period in 2022. This is due to:

1. Monetary policies that were still restrictive before the conflict started;
2. Fuel subsidies;
3. Macroeconomic reforms implemented in recent years (a return to orthodox monetary policy in Nigeria, and efforts towards fiscal consolidation in many countries);
4. Moderate currency depreciation since February.

As a result, few central banks have tightened their monetary policy since February (South Africa, Uganda and Tanzania).

However, this resilience is still fragile…

On the one hand, governments that have chosen to cap fuel price rises are seeing their public finances deteriorate. In Senegal, energy subsidies will go above 3% of GDP in 2026, which is unsustainable. On the other hand, the region's external accounts are exposed to volatile global commodity prices and tighter international financing conditions.

… and the macroeconomic environment could quickly worsen in 2027, due to an exceptional El Niño event

The region is particularly vulnerable to climate shocks via the agricultural commodities channel. Given agriculture's high share in its GDP, sub-Saharan Africa is more exposed to downside risks to growth than Latin America, Asia or Central Europe (1st column of the *heatmap*). It is also more exposed than other regions of the world to the inflationary effect of rising food prices, given their higher share in the consumer basket (2nd column). Finally, even though its dependence on food imports is lower than in Asia and Europe (3rd column), the region is highly vulnerable to rising international food commodity prices due to its fragile external accounts. For several countries in our sample, foreign exchange reserves cover less than four months' worth of imports of goods and services (Uganda, Tanzania, Ghana and Zambia), leaving little room for manoeuvre for absorbing a further external shock.

In addition to shocks via the agricultural commodities channel, other localised risks must be considered. In Southern Africa, El Niño is expected to intensify droughts and threaten electricity generation as a result, particularly in Zambia (where hydropower accounts for nearly 80% of domestic electricity generation). In East Africa, the increased flooding that El Niño is expected to cause will threaten infrastructure – particularly logistics infrastructure – which is already less efficient than the global average[3]. These two sources of vulnerability could also increase pressure on growth, prices and the external accounts.

In conclusion, if oil prices remain high and El Niño is exceptionally severe, the region will struggle to absorb this double shock in 2027. Despite their status as net exporters of hydrocarbons, Nigeria and Angola are also exposed to a deterioration in the macroeconomic environment in 2027. Only South Africa appears to be better positioned to absorb the shock.

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[3] See the World Bank's Logistics Performance Index.

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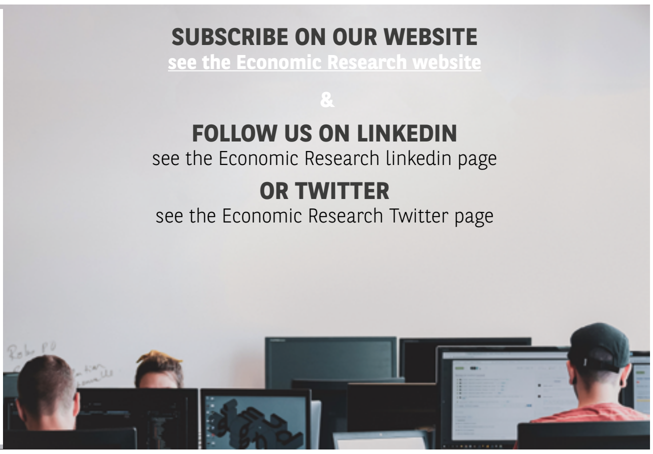

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POSTCARD FROM BANGKOK IMF MEETINGS: DON'T TAKE RESILIENCE FOR GRANTED

The global economy's unexpected resilience might have invited the self-congratulation that is a trademark of international official meetings. But policymakers gathered in Bangkok for the 2026 IMF Annual Meetings were wearily aware that "continued resilience cannot be taken for granted", as noted in the prologue to the closing Chair's Statement to the International Monetary and Financial Committee meeting. Growth forecasts remain in line with those made a year ago, when interest rates were much lower and no energy shock was in the cards, and even with those made in April, when a short shock was the base case. But what has sustained global growth against the odds so far could falter before the headwinds ease: oil buffers are being depleted; fiscal policy urgently needs to shift from support to deficit reduction as interest rates remain persistently higher; and the AI boom that has been a salvatory growth engine comes with serious questions about its sustainability and long-term economic effects. In addition to these global issues, the combination of fiscal challenges and elections in France and the US were seen as key risks, while some topics that had until recently been in the spotlight found themselves overshadowed.

BETTER GROWTH THAN EXPECTED FOR MOST, WORSE INFLATION FOR ALL

Despite the energy shock and surge in interest rates, the IMF's latest global growth forecast is unchanged from a year ago and April — at 3.1% in 2026 and 3.4% in 2027 — although the geographical breakdown has shifted: war-exposed countries and many energy importers have been downgraded, while AI-exposed countries have been upgraded. Asia is the standout winner, expected to account for 68% of global growth in 2026 — a feat for a region highly dependent on Gulf energy. Compared to July, the growth forecast for advanced economies is revised up to 2.1% in 2026 (+0.4pp, driven by Germany) and remains at 1.8% in 2027. Among emerging markets, the IMF upgraded Asia and downgraded other regions. Meanwhile, global headline inflation is expected to rise to 4.7% in 2026, mainly due to energy and food, before easing to 4.1% in 2027 (revised +0.2pp)[1].

AI OPTIMISM DOMINATES, BUT WITH SOME HEAVY UNANSWERED QUESTIONS

The topic of AI dominated the Meetings. The broad consensus was that it is transformational and offers great opportunities to all countries. But, for now, it is producing a mixed bag of economic effects: a powerful boost to global demand, directly through an investment and trade boom and indirectly through wealth effects from stock-market gains; but also much higher interest rates (fuelled by the borrowing needed to fund the AI build-out, and higher prices for chips, all the products they go into, and the electricity and water data centres need).

Beyond this shared diagnosis, strong arguments could be heard on both sides of several critical questions. The most pressing being: will AI generate earnings commensurate with current expectations? If not — or even if expectations are merely downgraded — expect large declines in AI-related asset prices, a sudden stop in funding and a significant blow to growth wherever AI has been a key engine. This is not in anyone's baseline for next year, but it is clearly a top risk. To what extent will AI boost productivity over five or ten years? The IMF incorporates almost no boost in its five-year baseline, but presents an upside scenario in which it does. Will AI create more jobs than it destroys, raise or reduce labour's share of income, prove inflationary or deflationary beyond the near term, and strengthen cyber resilience or turbocharge attacks? And how should it be taxed to preserve the fiscal base and offset undesirable labour-market effects?

A MIXED POLICY SCORECARD

Monetary policy has appropriately taken a hawkish turn nearly everywhere, and an increase in rate rises is likely in key economies, though not enough to threaten growth. Eurozone central bankers were particularly clear in sticking to their "moderate response" playbook.

Fiscal policy, however, has yet to adjust to the end of cheap debt. With public debt high in most countries, a growing share of national budgets will be absorbed by interest payments. Yet very few countries are consolidating. The IMF's top call to action was to address this urgently, especially among the worst offenders — the US and France. Fiscal restraint would also help central banks curb inflation, reducing the need for higher interest rates.

Policies to redress global imbalances are not closer to being adopted than at previous IMF Meetings, but they were not particularly highlighted by the IMF this time, beyond the mantra that "the US needs to save more, China to consume more, and Europe to invest more". There were reportedly good discussions behind closed doors — at the G7 on "non-market policies and practices (NMPPs)" — and encouraging early steps in a long journey in Europe-China talks. That is better than nothing, but hardly enough to expect progress within a reasonable timeframe. Meanwhile, the risks of a disorderly unwind will keep rising.

TWO ZONES OF CONCERN IN FOCUS: FRANCE AND THE US

France was a top concern for many participants. They feared a repeat of the 2010–2012 Eurozone debt crisis, seeing a country with public debt approaching 120% of GDP, sub-par growth, a poor record of fiscal consolidation, riots in the streets and presidential elections six months away, with populist candidates leading the polls. French and European policymakers, alongside private-sector participants, presented a different picture, namely: a fiscal situation that is serious, but is being managed (the draft budget provides for meaningful adjustment and is very likely to be adopted without being weakened); a widening consensus from centre-left to far-right which favours a return to fiscal responsibility, in line with a similar shift in public opinion; and the electoral process is only beginning, with the outcome still wide open — not least because the candidates' names and numbers are not known.

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[1] See EcoNews for more details.

It was also pointed out that the quantum of fiscal adjustment required is not out of line with previous consolidation episodes in France in the 2010s and the 1990s. Still, most participants left not much reassured and expecting a bumpy ride ahead.

US participants outside government saw a growing likelihood of a Democratic sweep in the midterm elections, Either way, they expected little fiscal consolidation, despite a manifestly challenging fiscal path that may end up causing volatility in financial markets. Non-US participants also feared growing policy unpredictability.

OVERSHADOWED TOPICS: THE STARS OF RECENT IMF MEETINGS

Tariffs were entirely absent from the agenda and conversations. Tokenised finance (rather than the narrower topic of stablecoins) still featured, but far less prominently: as the field takes shape, discussion has shifted from the conceptual what and why to the technical how. Climate change and low-income countries remained on the agenda, but far less in focus than at previous Meetings. The sheer number of issues demanding attention may be overwhelming financial policymakers' bandwidth.

*****

All in all, while the global context remains extraordinarily challenging, it's comforting to see that global financial policy makers are broadly alert to both risks and opportunities, and to what needs to be done for the latter to prevail. Now they need to deliver.

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ECONEWS

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To watch this week:

- **Developed markets** Flash PMIs for October (Friday).
- **Eurozone** Germany September PPI, October ZEW (Tuesday), France Insee Business Climate (Thursday).
- **UK** August Employment data (Tuesday), September CPI and PPI (Wednesday), September Retail Sales (Friday).
- **Japan** September CPI, October PMI (Friday).

IMF ANNUAL MEETINGS

Resilience, but no relief. The IMF's latest global growth forecast is unchanged from a year ago and from April 2026 (at 3.1% in 2026 and 3.4% in 2027), despite the energy shock, however with a different geographical breakdown: many energy importers and war-exposed countries downgraded, and AI-exposed countries upgraded. Resilience was the buzzword of the meetings, however it appeared mostly in the rear-view mirror. Looking ahead, buffers are running thin, fiscal policy needs urgent consolidation, and downside risks (from energy and AI exuberance) loom large. Global headline inflation is expected to rise to 4.7% in 2026, mainly due to energy and food, before easing back to 4.1% in 2027 (revised +0.2pp). Growth in advanced economies is revised up to 2.1% in 2026 (+0.4pp, driven by Germany), staying at 1.8% in 2027. Eurozone growth is upgraded to 1.1% in 2026 (+0.2pp) and 1.2% in 2027. US growth stays projected at 2.3% in 2026 and 2027 (+0.1pp). Germany sees the largest G7 upgrade, to 1.3% in 2026 (+0.6pp) and 1.1% in 2027 (+0.1pp). France is the only major advanced economy downgraded, to 0.4% in 2026 (-0.2pp) and 0.7% in 2027 (-0.2pp). For more detailed takeaways see Substack and this week’s EcoWeek editorial.

ADVANCED ECONOMIES

EUROPEAN UNION

Trade policy, competitiveness and budget agreements by year-end. EU leaders asked the Commission to propose by year-end an instrument allowing, in extreme cases, full closure of the single market to a rival deemed to be attacking the EU economy. It is designed as a “second-strike” deterrent against unfair practices and retaliation. The Commission is also exploring extending the hybrid-vehicle safeguards approach agreed with China last week to other sectors such as chemicals and machinery. On the "Made in Europe" label, vehicles would need to be assembled in Europe with at least 70% of component value (excluding batteries) sourced locally and with substantial R&D in the EU. The UK would be included, provided London aligns with EU trade defence measures. EU Council also called for decisive progress on the competitiveness agenda, with the single-market (including 26th regime) and simplification files to be wrapped up by year-end. On the multi-annual financial framework, the objective remains a deal by end-2026, so that legislation can be adopted in 2027.

EURO AREA

Moderate tightening does it. Multiple ECB Governing Council members, speaking from the IMF Meetings in Bangkok, re-underwrote their “moderate response” approach to the ongoing energy-driven inflation surge. Accordingly, they signaled that additional rate action was likely but not imminent, acknowledging that the rise in bond yields was doing part of the job, and that there were no signs yet of second round effects. Strengthening the case for moderation, the Eurozone industrial production fell in August for the second month running, by 0.5% m/m, pulled down by pharmaceutical output and motor vehicles. That said, production in Netherlands surged to a new high (2.5% m/m and 8.7% y/y), driven by AI machinery and equipment.

France

Business starts booming, insolvencies are stable, growth outlook is downgraded. Business creations rose by 16% y/y in the 3rd quarter (+23% y/y in September), driven mainly by the digital sector and retail. In parallel, business bankruptcies stabilised in the 3rd quarter according to Altares, with a 0.5% increase y/y (compared with a 5.4% increase y/y in Q2), and their impact on employment declined: 50,510 jobs at risk in Q3, down 3% y/y (*see our recent analysis*). The Banque de France halved its estimate for Q3 GDP to 0.1% q/q (same as Insee) due to the manufacturing sector. Its monthly survey showed a sharp jump in business uncertainty in September, driven by fuel prices and economic deterioration (the most acute readings in industry and services since April). The OAT-bund spread was rangebound (137-142).

Germany

Producer prices are rising. Wholesale prices rose 8.7% y/y (*vs.* 6.8% in August) due to higher wholesale prices for energy products and intermediate goods, particularly metals.

UNITED KINGDOM

Summer outperformance and kudos from IMF. Monthly GDP defied expectations in August and posted a 0.1% m/m against a -0.1% consensus. This marked a slowdown from July (0.4% m/m), but also a fourth consecutive month of expansion. Industrial production underpinned the advance: it accelerated to 0.8% m/m (consensus: -0.1%, prior: 0.3%) thanks to pharmaceuticals. The IMF sees growth accelerating to 1.3% in 2026 (+0.3 pp since July) and 1.2% in 2027. It also singled out the UK among advanced economies for its efforts and progress in putting its fiscal house in order.

UNITED STATES

Inflation heats up, manufacturing accelerates, but an October hike is unlikely. CPI inflation exceeded expectations at 0.65% m/m in September (up 0.2pp), the fastest monthly pace since April. Accordingly, the y/y rate climbed to 3.7% (up 0.3pp). The biggest upside surprise, however, came from the core CPI: at 0.33% m/m (consensus: 0.2%, prior: 0.3%) and 2.6% y/y (consensus: 2.5%, prior: 2.4%); as services remained sticky while goods accelerated to 0.3% m/m on autos and AI-related items. Producer prices too rose well above expectations to 1.3% m/m (consensus: 0.6%, prior: 0.5%) – the largest monthly increase since March 2022 – and 6.3% y/y (consensus: 5.3%, prior: 5.6%). Industrial production accelerated in September to 0.7% m/m (up 0.6pp) thanks to utilities. Manufacturing returned to growth (0.3% m/m, up 0.5pp) with gains broadening beyond the AI-related and aerospace sectors. Retail sales excl. autos and gasoline, by contrast, slowed sharply to 0.2% m/m (down 0.9pp). During his speech at the IMF Meetings after the hotter than expected inflation prints, Chair Warsh declined to hint at an imminent rate hike. We continue to expect the next rate hike to occur in December.

Find out more in our scenario and forecasts

JAPAN

Producer price inflation eases. Producer prices fell for a second month in a row in September, down a further 0.5% m/m, while the yearly rate slowed for the first time since February (-0.8pp), though it remains firm at 6.8%. The IMF forecasts growth at 0.7% in both 2026 and 2027, broadly unchanged. The yen weakened past 158 per dollar again after reports that the BoJ is leaning against a back-to-back October rate hike.

EMERGING ECONOMIES

Emerging markets

Asia's outlook upgraded, other regions downgraded.

The IMF upgraded its **Asia** growth forecast to 4.8% in 2026 and 4.4% in 2027. The largest upgrades are for economies well integrated into the AI supply chain, notably Taiwan (+5.5pp to 10.7%), South Korea (+0.7pp to 3.3%), Singapore, Vietnam, Malaysia and to some extent Thailand. India is forecast to grow 7% in both 2026 and 2027 (fiscal year basis), up 0.6 and 0.3pp from July on robust domestic demand.

Central Europe's GDP growth is projected at 2.1% in 2026, slightly lower than April's forecast. In 2027, it remains unchanged at 2.3%. Growth paths are diverse within the region.

In the **Middle East & North Africa**, GDP is expected to contract by 2% in 2026. GCC real GDP should fall by 4.8% with only Oman expected to post positive growth (4.1%). A marked rebound is expected for 2027 (MENA: 7%; GCC: 9.1%).

The growth outlook for **Latin America** remains subdued, revised down to 2.3% in 2026 (from 2.4%) and 2.5% in 2027 (from 2.7%). However, in its "International Trade Outlook 2026" published on 15 October, the Economic Commission for Latin America and the Caribbean (ECLAC) expects the region to experience a trade boom in 2026: goods exports are projected to surge by 20% in value terms (11% from price increases and 9% from volume growth), with trade to Asia (excluding China) soaring by 32%, while intraregional trade growth lags behind at 8%. Yet, these export gains are concentrated in commodities and low-value-added manufacturing, limiting their spillover to broader growth. Stronger trade is thus providing only a modest boost to the economy.

China

Explosive export growth, subdued inflation and credit growth. In September, export value growth surged to 36.3% y/y from 25% in August, driven by semiconductors, computer equipment and other AI goods, as well as green technologies. Export prices surged, especially for semiconductors, while total export volumes remained robust. Import value growth also accelerated to 31% y/y from 28.2% in August, boosted by both rising volume and rapidly increasing prices. The trade surplus hit a new monthly record of USD 134 bn in September. CPI inflation edged up to 0.9% y/y in September, mainly because of a 14.9% rise in vehicle fuel prices. Food prices continued to fall (-1.7% y/y) and core inflation was stable at 1%. Producer price inflation accelerated to 5% (the highest since 2022) due to rising commodity prices. Growth in total domestic credit outstanding ("social financing") continued to slow down, reaching a record low of 7.1% y/y in September. Bank loans to households declined (-2% y/y) for the seventh consecutive month.

In Q3 2026, real GDP growth rebounded to 4.5% y/y (1.2% q/q) from 4.3% y/y (0.9% q/q), primarily led by industrial production (which rose by 5.1% y/y on average in Q3 *vs*. 4.6% in Q2). On the demand side, exports were the key driver while fixed-asset investment continued to contract. Retail sales posted a small pickup in September but remained flat in real terms in Q3 as a whole. With growth reaching 4.6% y/y year-to-date, China needs only a 4.2% growth in Q4 to meet the official target of 4.5%-5% for this year – which seems easily feasible. The IMF trimmed its growth forecast by 0.1pp to 4.5% in 2026 and 4% in 2027.

Indonesia

MSCI launched a consultation on reclassifying the country from Emerging Market to Standalone Market status, with a final decision due by end-June 2027, citing opaque shareholding structures and suspected coordinating trading. Since January 2026, MSCI had frozen Index adjustments and threatened only a downgrade to Frontier market status (like Pakistan), but market participants argued that a Frontier reclassification would not properly reflect the extent of the market's problems. Over the medium term, the risk is heavy foreign capital outflows at a time when net FDI no longer covers the current account deficit. This leaves Indonesia reliant on foreign portfolio inflows and the rupiah exposed to a reversal in sentiment. On the day of this announcement, the Jakarta Composite Index fell by 11.6%, its steepest drop since January 1998. Among Asian emerging markets, Indonesia has posted the worst stock market performance since the beginning of the year (-40.7%).

COMMODITIES

Iran/Oil. More of the same. Brent oil prices have remained broadly stable this week (0.5% at 107$/b on Monday). Renewed Iranian attacks on tankers in the Strait and intensification of Houthis' attack over the Saudi territory feed the geopolitical risk premium on barrel prices. But IEA announcement of an accelerated 100 mb oil release (above the March initial target of 400 mb) and reports that the US may lift sanctions on the Russian and Iranian shadow fleets have contributed to crude price stability. The spread with physical barrel (Dated Brent) has declined (6.7$/b on Oct 16th). Trump administration's various attempts to lower diesel prices have had a limited impact for now. European gas prices (TTF) recorded another weekly rise (4.7% w/w to 88.4 €/MWh, the highest level since Dec 22nd, 2022) on the back of the rising number of attacks on vessels in the Gulf and persisting disruption in the Strait. However, EU gas inventories reached 74% of full capacities on October 16th (*i.e.*, almost at the 80% month-end target), which should reduce support for TTF prices going forward.

y/y = year-on-year
m/m = month-on-month
bp = basis point
pp = percentage point
mb = million barrels

CHART
OF THE WEEK

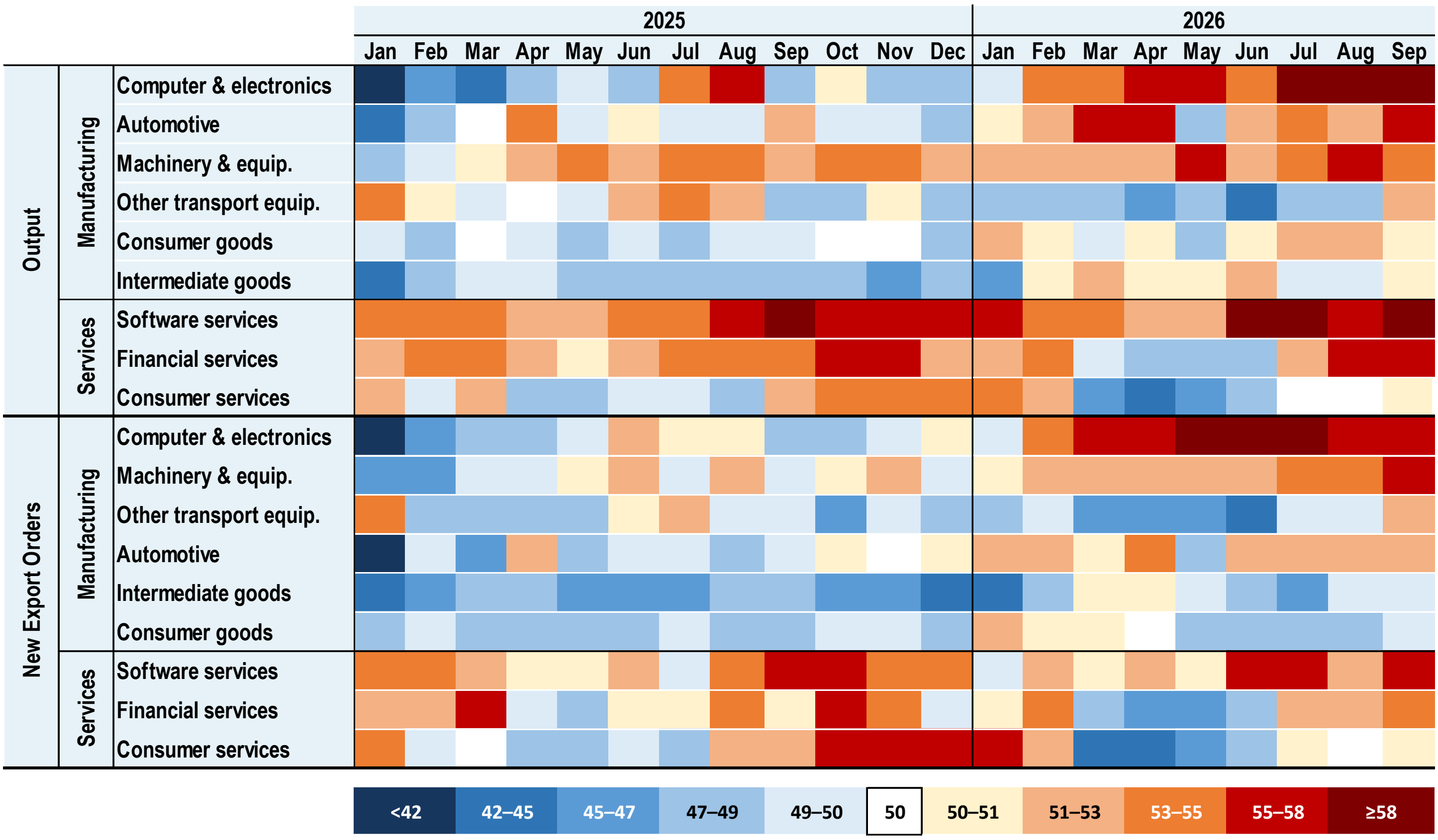
14 October 2026

EUROZONE: IMPROVING BUSINESS SENTIMENT, DRIVEN BY TECH, IS SPREADING TO OTHER SECTORS

Stéphane Colliac & Tarik Rharrab

The September PMI surveys confirm that growth in the Eurozone is getting stronger, boosted in particular by new export orders, which are still rising. Sectors that were already performing well – technology and capital goods (including for defence) – are continuing to grow, while those that had been struggling until now – aeronautics, consumer goods and financial services – are seeing their production indices recover. This strong performance is particularly noteworthy, given that it has not yet been undermined by higher inflation.

Eurozone sectoral PMI indices: production and new export orders are strengthening across more sectors



SOURCE: S&P GLOBAL, BNP PARIBAS

The heatmap shows the PMI index readings: a reading above 50 indicates expansion, while a reading below 50 signals contraction compared to the previous month. For each indicator, sectors are ranked in descending order based on their September 2026 reading.

Shades of red represent values above 50, while shades of blue represent values below 50: the intensity of the colour increases the further away they are from this threshold.

Production growth spreads to more sectors

The PMI surveys on business sentiment confirm that business activity in the Eurozone is expanding at a faster pace and spreading to more sectors. Household-consumption-related sectors (goods and services), which were adversely affected in the spring by the outbreak of the conflict in the Middle East, do not appear to be negatively impacted by the rising inflation observed since August. The aeronautics sector, where production has mainly been limited by supply constraints, is also showing signs of improvement.

These trends, although still moderate, come alongside a drive to upgrade equipment, fuelled by investment in digital technology, electrification (which is supporting the automotive sector) and defence. The momentum in technology goods and services further strengthened in September. The production index for computer and electronics hit a five-year high, while the software services production index stayed close to its July peak. Financial services are also enjoying a significant improvement, reflecting the healthy lending momentum despite interest rates starting to rise (see our analysis).

Growth driven by exports

Exports drove growth in the first half of 2026, both across the Eurozone as a whole (see our analysis) and among its key members (notably Germany). This momentum is also increasing, as indicated by the 'new export orders' component of the various PMI indices. As was the case with production, there has been a particularly noteworthy increase for capital goods (technology and machinery) and related services, particularly digital services. This trend is playing out more broadly, as, in September, new export orders rose across all sub-sectors, with the exception of intermediate goods and consumer goods, where contraction recently eased. There has been a significant improvement in the transport sector, particularly in the aeronautics industry, which has major markets in Asia. Recent data on French exports show that aeronautics exports to this region are rising once again.

The convergence between rising production and increasing export-order backlogs shows that Eurozone growth is based on an increasingly solid foundation. Inflationary pressures are not holding it back for the time being.

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Paris, 8 October 2026

EcoFlash

France: double-digit growth in business creations, a slowdown in the rise in bankruptcies and stable non-performing loans ratio

Business creations rose by 12% y/y over the first eight months of 2026[1]. This is significantly higher than the 5.3% y/y growth recorded in 2025. This increase was driven by sectors linked to information and communication technologies.

Meanwhile, business bankruptcies rose by 5.3% y/y between January and July, according to data from the Banque de France (compared with the 3.6% y/y increase for the whole of 2025). The rise was more pronounced in the 1st quarter (+8% y/y) before slowing down. This slowdown could persist, as, according to Altares, payment delays have fallen to an average of 12.3 days in the second quarter of 2026, compared with 14.1 days a year earlier (and 13.1 days for the European average).

Rising bankruptcies are more heavily affecting the services sector, which is also experiencing slightly stronger growth in business creations. This correlation is particularly noticeable in the retail sector, as business creations have risen by 13% since the start of 2026, while bankruptcies are up by 3%. In construction and manufacturing, business bankruptcies have been falling since the second quarter of 2026.

The average ratio of non-performing corporate loans has remained stable at a moderately high level for the past year (4.0% of total loans and advances in Q2 2026). In construction, where activity is more cyclical than in other sectors, the ratio of non-performing loans has reached its highest level since 2019, standing at 9.5%.

The proportion of loans that have deteriorated but are not yet non-performing ("Stage 2" according to IFRS 9 terminology) is stable, standing at 15.4% q/q, and remains below its all-time high (16.1%). This indicator, which helps to anticipate trends in non-performing loans, is relatively encouraging.

Despite a significant increase since 2021, the economic weight of bankruptcies remains, on average, below its peak in Q1 2025 (0.53 compared with 0.61, respectively). This indicator generally allows bankruptcies to be weighted based on the size of the businesses. However, the economic weight of bankrupted small businesses is at a historically high level (2.11).

Take a look at our EcoCharts on trends in business creations and bankruptcies in France and the associated risks. It will be updated on a quarterly basis.

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[1] For more details, see Business creations and bankruptcies in France: double-digit growth in business creations, lower growth in bankruptcies, and stable non-performing loans, 8 October 2026.

ECOCHARTS

October 2026

BUSINESS CREATIONS AND BANKRUPTCIES IN FRANCE: DOUBLE-DIGIT GROWTH IN BUSINESS CREATIONS, LOWER GROWTH IN BANKRUPTCIES, AND STABLE NON-PERFORMING LOANS

ECO CHARTS | BUSINESS CREATIONS AND BANKRUPTCIES IS A NEW PUBLICATION AIMED AT PROVIDING AN OVERVIEW OF THE DYNAMICS OF BUSINESS CREATIONS AND BANKRUPTCIES IN FRANCE, AS WELL AS THE RISKS ASSOCIATED WITH THE LATTER. WE WILL PUBLISH REGULAR UPDATES TO THIS PUBLICATION ON A QUARTERLY BASIS.

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Double-digit growth in business creations, a slowdown in bankruptcies and stable non-performing loans

- Business creations rose by 12% y/y in the first eight months of 2026, marking an acceleration compared with the growth seen in 2025 (+5.3%).
- This increase was driven by sectors associated with new information and communication technologies, where the trend is gaining momentum.
- Meanwhile, business bankruptcies rose by 5.3% y/y from January to July, according to the data from the Banque de France (vs +3.6% y/y in 2025). After a more pronounced rise in the first quarter (+8% y/y), this increase has since slowed. This moderation could continue, as, according to Altares, payment delays have decreased to an average of 12.3 days in the second quarter of 2026 (14.1 days a year earlier), compared with the European average of 13.1 days.
- The rise in business bankruptcies is most pronounced in the services sector, which has simultaneously seen an increase in business creations. This trend is clear in the retail sector, with a 13% increase in business creations since the beginning of 2026, while business bankruptcies are up 3%.
- In construction and manufacturing, business bankruptcies have been declining since the second quarter of 2026.
- The level of the average ratio of non-performing loans is moderately high and has remained stable for the past year (4.0% of total loans and advances in Q2 2026). More cyclical than in other sectors, the ratio of non-performing loans in construction reached its highest level since 2019 at 9.5%.
- The share of underperforming loans, but not yet non-performing (in Stage 2, according to IFRS 9 terminology), which provides an indication of the future trend in non-performing loans, is stable, standing at 15.4% q/q, and remains below its all-time high (16.1%).
- Despite a significant rise since 2021, the economic weight of bankruptcies – which allows them to be weighted by a proxy for company size – remains, on average, below its Q1 2025 peak (0.53 compared with 0.61, respectively). However, the economic weight of bankrupted small businesses stands at a historically high level (2.11).

For more information, please refer to our publication:

Chart of the week | French corporates: peaks in creations put peaks in bankruptcies into perspective. July 22, 2026 – Economic Research – BNP Paribas

Strong growth in business creations, moderate increase in bankruptcies

The growth in business creations accelerated in 2026 (+12%) after +5.3% in 2025

12-month sum y/y change

Business creations	Actual data	Jul-Aug 26	26Q2	26Q1	25Q4	25Q3	25Q2	25Q1	24Q4	24Q3	24Q2	24Q1	23Q4	23Q3	23Q2	23Q1	22Q4	22Q3	22Q2	22Q1	21Q4	21Q3	21Q2	21Q1	20Q4	20Q3	20Q2	20Q1	19Q4	19Q3	19Q2	19Q1
Total	1 263 516	12%	10%	14%	9%	11%	3%	-2%	0%	0%	12%	13%	2%	3%	0%	-6%	6%	6%	-7%	-1%	-2%	-6%	55%	32%	17%	22%	-18%	-4%	16%	14%	14%	19%
Industry	73 387	1%	-3%	9%	7%	8%	1%	-8%	-3%	6%	17%	29%	9%	2%	11%	2%	19%	22%	6%	16%	10%	12%	68%	27%	14%	12%	-15%	15%	47%	42%	26%	17%
Construction	91 044	9%	7%	9%	3%	4%	-5%	-13%	-12%	-4%	11%	9%	-4%	-4%	-12%	-10%	8%	5%	-1%	2%	-4%	-7%	55%	17%	10%	12%	-25%	4%	22%	21%	12%	13%
Retail trade	188 726	16%	9%	14%	11%	22%	14%	1%	1%	-2%	8%	18%	6%	4%	-1%	-9%	-3%	-9%	-23%	-22%	-26%	-25%	23%	38%	34%	39%	-2%	-10%	6%	1%	5%	11%
Transports	112 686	5%	-11%	3%	-8%	3%	9%	18%	22%	16%	37%	33%	22%	23%	4%	-18%	-15%	-27%	-46%	-43%	-28%	-21%	75%	117%	67%	71%	-5%	-21%	-2%	4%	24%	57%
Accommodation and catering	49 713	6%	7%	8%	11%	7%	7%	5%	-1%	9%	22%	21%	9%	10%	5%	1%	15%	6%	0%	-32%	-32%	-31%	68%	46%	30%	34%	-44%	0%	17%	15%	14%	16%
Information & communication	97 396	51%	49%	35%	29%	18%	-5%	-1%	-3%	-9%	21%	15%	5%	16%	8%	5%	17%	19%	3%	15%	11%	12%	52%	29%	12%	13%	-9%	-1%	22%	14%	18%	20%
Financial services	28 507	-13%	-7%	-3%	-13%	-10%	-13%	-18%	-3%	2%	8%	13%	-3%	-3%	-9%	-11%	2%	6%	1%	12%	17%	15%	79%	27%	7%	8%	-16%	8%	22%	19%	12%	19%
Real estate	40 692	0%	2%	11%	12%	12%	7%	4%	5%	-4%	-6%	-12%	-18%	-12%	-8%	-8%	2%	2%	-3%	5%	2%	1%	74%	31%	20%	31%	-17%	5%	23%	19%	17%	22%
Business services	337 351	16%	19%	22%	16%	17%	3%	0%	0%	-3%	6%	6%	-2%	1%	4%	-2%	15%	21%	8%	21%	13%	3%	50%	18%	6%	9%	-19%	-2%	20%	18%	18%	18%
Education, health, social services	112 263	6%	4%	10%	6%	6%	3%	-3%	1%	0%	5%	8%	-1%	-2%	-3%	-16%	-3%	8%	2%	19%	16%	7%	59%	21%	2%	6%	-28%	-9%	12%	13%	6%	9%

Reading notes : For each individual sector, the highest increase in the number of business creations is shown in the darkest shade of green. The highest decrease is shown in the darkest shade of red.

After accelerating sharply in the first quarter, the growth in business bankruptcies slowed

12-month sum y/y change

Business bankruptcies	Actual data	Jul-26	26Q2	26Q1	25Q4	25Q3	25Q2	25Q1	24Q4	24Q3	24Q2	24Q1	23Q4	23Q3	23Q2	23Q1	22Q4	22Q3	22Q2	22Q1	21Q4	21Q3	21Q2	21Q1	20Q4	20Q3	20Q2	20Q1	19Q4	19Q3	19Q2	19Q1
Total	70605	2%	5%	8%	0%	6%	5%	4%	12%	11%	21%	25%	41%	24%	41%	47%	58%	52%	51%	37%	3%	-14%	12%	-32%	-44%	-29%	-56%	-30%	-8%	-11%	-4%	4%
Industry	4442	-2%	-1%	7%	1%	10%	3%	0%	8%	2%	10%	11%	18%	22%	29%	73%	82%	62%	63%	50%	5%	-11%	10%	-43%	-45%	-33%	-53%	-28%	-23%	-12%	-7%	-4%
Construction	14351	-7%	-3%	5%	-12%	3%	-3%	1%	17%	12%	40%	35%	54%	27%	39%	50%	49%	44%	36%	27%	17%	-3%	40%	-31%	-52%	-36%	-65%	-30%	-9%	-11%	-5%	-1%
Retail trade	14073	4%	3%	6%	1%	3%	1%	-3%	5%	10%	19%	22%	36%	16%	37%	47%	56%	61%	57%	44%	7%	-14%	9%	-37%	-47%	-29%	-56%	-26%	-2%	-9%	-4%	2%
Transports	3235	-7%	-6%	12%	6%	-1%	21%	3%	21%	28%	32%	43%	58%	19%	24%	34%	39%	49%	70%	39%	9%	2%	26%	-33%	-49%	-30%	-63%	-25%	6%	-14%	9%	12%
Accommodation and catering	9721	10%	11%	5%	7%	6%	9%	14%	5%	9%	11%	12%	42%	27%	58%	68%	121%	92%	105%	102%	-17%	-36%	-31%	-57%	-48%	-25%	-51%	-32%	-11%	-13%	-6%	6%
Information & communication	2123	0%	4%	8%	-3%	1%	6%	16%	19%	16%	17%	9%	42%	37%	59%	53%	49%	32%	44%	38%	-5%	3%	15%	-29%	-25%	-32%	-51%	-10%	-4%	10%	-5%	-2%
Financial services	1767	18%	6%	19%	0%	-10%	-1%	-6%	15%	21%	38%	37%	35%	38%	34%	40%	70%	66%	38%	51%	-10%	-15%	0%	-27%	-31%	-35%	-38%	-32%	-11%	5%	-11%	21%
Real estate	2648	8%	16%	-2%	4%	6%	-3%	-6%	7%	30%	36%	63%	67%	17%	67%	36%	38%	33%	-17%	-2%	-8%	-14%	59%	17%	-29%	-7%	-52%	-37%	0%	-5%	4%	-4%
Business services	9061	7%	15%	10%	3%	12%	8%	11%	19%	14%	20%	30%	44%	32%	34%	40%	28%	37%	44%	18%	8%	-15%	24%	-21%	-34%	-22%	-56%	-28%	-9%	-22%	6%	11%
Education, health, social services	7229	4%	10%	19%	9%	16%	18%	8%	17%	4%	1%	16%	30%	26%	51%	39%	68%	53%	70%	44%	-7%	-20%	-18%	-25%	-40%	-27%	-48%	-43%	-12%	-8%	-6%	13%

Reading notes : For each individual sector, the highest increase in the number of business bankruptcies is shown in the darkest shade of red. The highest decrease is shown in the darkest shade of green. The COVID-19 period (2020–23) is not highlighted to avoid skewing the calculations

Sources : Insee, Banque de France, BNP Paribas

Non-performing loans ratio have remained almost unchanged year-on-year

The deterioration in the quality of corporate loans is limited, but the construction sector and small businesses are more severely affected

	26Q2	26Q1	25Q4	25Q3	25Q2	25Q1	24Q4	24Q3	24Q2	24Q1	23Q4	23Q3	23Q2	23Q1	22Q4	22Q3	22Q2	22Q1	21Q4	21Q3	21Q2	21Q1	20Q4	20Q3	20Q2	20Q1	19Q4	19Q3	19Q2	19Q1
Non-performing loans ratio	4,0%	3,9%	3,9%	3,9%	3,8%	3,8%	3,7%	3,9%	3,8%	3,7%	3,6%	3,6%	3,6%	3,5%	3,4%	3,3%	3,3%	3,4%	3,5%	3,8%	3,9%	3,9%	3,9%	4,0%	3,9%	3,8%	3,9%	4,2%	4,2%	4,3%
o/w SMEs	5,2%	5,1%	5,0%	5,1%	5,0%	4,8%	4,7%	4,7%	4,6%	4,5%	4,4%	4,3%	4,2%	4,0%	4,0%	4,0%	3,9%	4,0%	4,0%	4,2%	4,3%	4,3%	4,3%	4,5%	4,8%	4,9%	5,0%	5,2%	5,8%	6,0%
o/w manufacturing	4,2%	4,1%	4,0%	4,0%	3,9%	4,3%	4,3%	4,3%	4,2%	4,3%	3,9%	4,0%	3,9%	4,0%	3,9%	4,0%	4,2%	4,2%	4,1%	4,7%	4,9%	5,0%	5,0%	4,8%	4,5%	3,9%	4,2%	4,6%	4,5%	4,4%
o/w construction	9,5%	8,7%	8,9%	9,0%	8,7%	9,0%	8,1%	8,3%	8,3%	8,1%	7,7%	7,4%	7,1%	7,0%	7,0%	7,4%	7,4%	7,2%	7,2%	7,6%	7,7%	7,5%	7,7%	8,3%	7,5%	8,0%	8,7%	8,4%	8,3%	8,7%
o/w retail	4,8%	5,0%	4,9%	4,9%	4,5%	4,3%	4,3%	4,3%	4,1%	4,3%	4,2%	4,2%	4,2%	3,8%	4,0%	4,1%	4,1%	4,1%	4,2%	4,5%	4,6%	4,7%	4,8%	5,2%	4,9%	4,9%	4,9%	5,0%	4,8%	4,9%
o/w services	3,8%	3,7%	3,5%	3,5%	3,5%	3,4%	3,3%	3,4%	3,3%	3,3%	3,2%	3,0%	2,9%	2,8%	2,8%	2,8%	2,8%	2,9%	3,0%	3,2%	3,3%	3,3%	3,2%	3,4%	3,4%	3,3%	3,4%	3,7%	3,7%	4,0%
Share of underperforming loans (stage 2 IFRS 9)	13,5%	13,6%	13,3%	13,9%	13,7%	13,4%	13,3%	13,6%	13,2%	13,3%	12,9%	12,8%	12,2%	12,9%	13,6%	15,3%	15,4%	15,1%	14,2%	14,4%	14,2%	13,8%	13,5%	11,3%						
o/w SMEs	15,4%	15,4%	15,2%	15,8%	15,7%	15,4%	15,2%	14,8%	14,7%	14,5%	13,6%	13,4%	13,1%	13,6%	13,6%	16,1%	15,7%	15,3%	15,0%	14,4%	13,7%	13,2%	12,6%	11,1%						
Economic weight of bankruptcies	0,53	0,53	0,51	0,51	0,52	0,61	0,60	0,59	0,56	0,47	0,45	0,43	0,42	0,37	0,32	0,28	0,24	0,21	0,20	0,19	0,20	0,24	0,24	0,27	0,36	0,36	0,38	0,38	0,32	0,32
o/w ISE and large firms	0,14	0,14	0,10	0,08	0,14	0,14	0,18	0,17	0,14	0,16	0,12	0,12	0,12	0,08	0,07	0,08	0,03	0,03	0,09	0,08	0,11	0,30	0,26	0,26	0,52	0,34	0,34	0,34	0,06	0,05
o/w medium	0,61	0,63	0,68	0,63	0,64	0,59	0,53	0,54	0,48	0,48	0,46	0,42	0,40	0,34	0,29	0,23	0,21	0,18	0,15	0,15	0,15	0,17	0,17	0,21	0,27	0,34	0,37	0,36	0,42	0,39
o/w micro and unkown	0,54	0,52	0,52	0,53	0,53	0,57	0,58	0,56	0,55	0,49	0,48	0,45	0,45	0,43	0,37	0,33	0,30	0,26	0,24	0,23	0,24	0,23	0,24	0,27	0,29	0,34	0,36	0,37	0,38	0,37
o/w small	2,11	2,13	1,77	1,83	1,74	1,72	1,64	1,63	1,52	1,44	1,58	1,47	1,42	1,31	0,96	0,74	0,57	0,42	0,39	0,31	0,33	0,37	0,46	0,54	0,63	0,75	0,72	0,75	0,72	0,68
o/w very small	0,91	0,88	0,83	0,85	0,81	1,52	1,49	1,47	1,42	0,73	0,68	0,66	0,61	0,52	0,48	0,39	0,38	0,33	0,27	0,25	0,20	0,18	0,21	0,25	0,28	0,36	0,41	0,47	0,51	0,5
Share of 90+ days past due payments	0,6%	0,6%	0,6%	0,6%	0,6%	0,5%	0,6%	0,5%	0,6%	0,6%	0,6%	0,7%	0,7%	0,6%	0,6%	0,6%	0,7%	0,7%	0,7%	0,9%	2,0%	2,1%	4,9%	2,1%	11,7%	13,3%	0,5%	0,4%	0,4%	0,5%

Reading notes : For each individual indicator, the highest level is shown in the darkest shade of red. The lowest level is shown in the darkest shade of green.

Source : Banque de France, BCE, EBA, INSEE, Urssaf

Sources

Variable	Source	Frequency	Definition
Business bankruptcies	Banque de France	Monthly	Companies subject to collective proceedings (receivership and judicial liquidation). Monthly data from the Banque de France aggregated over a quarter to minimise the risk of calendar effects
Business creations	Insee	Monthly	Survey of business creations (all types, companies, sole traders, micro-entrepreneurs). Monthly data from INSEE aggregated over a quarter to minimise the risk of calendar effects
Non performing loans ratio	EBA	Quarterly	Gross non performing loans and advances at amortised cost / Total gross loans and advances at amortised cost
Share of underperforming loans (Stage 2 IFRS 9)	BCE	Quarterly	Loans and advances in Stage 2 / Total loans and advances. Loans and advances at amortised cost and at fair value through equity
Economic weight of bankruptcies	Banque de France	Monthly	Total outstanding bank loans to newly bankrupt NFCs over a one-year period, calculated as the figure for the month in which the firm is declared bankrupt, relative to the average outstanding bank loans to both healthy and bankrupt NFCs during the same period.
Share of 90+ days past due payments	URSSAF	Monthly	Contributions still to be collected by Urssaf / Amount of contributions due to Urssaf

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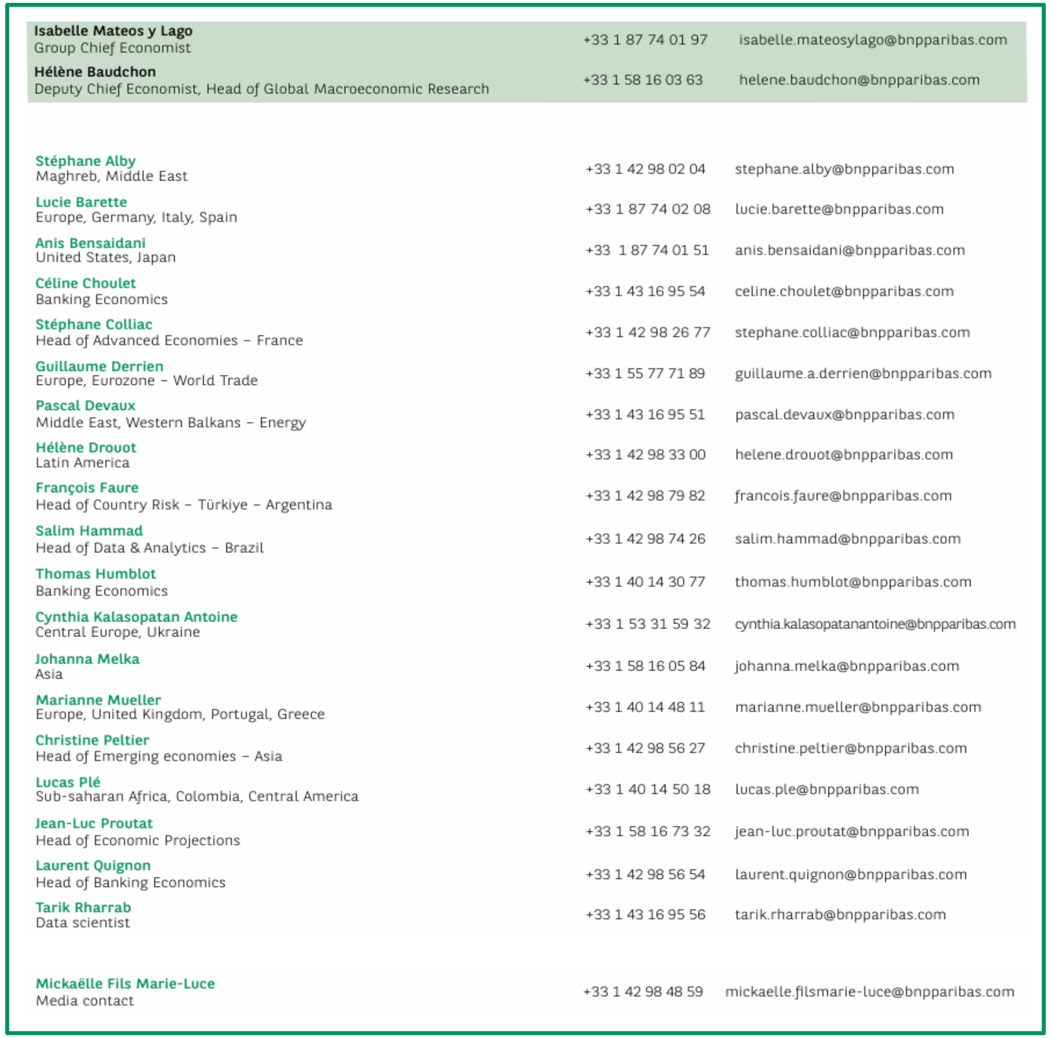

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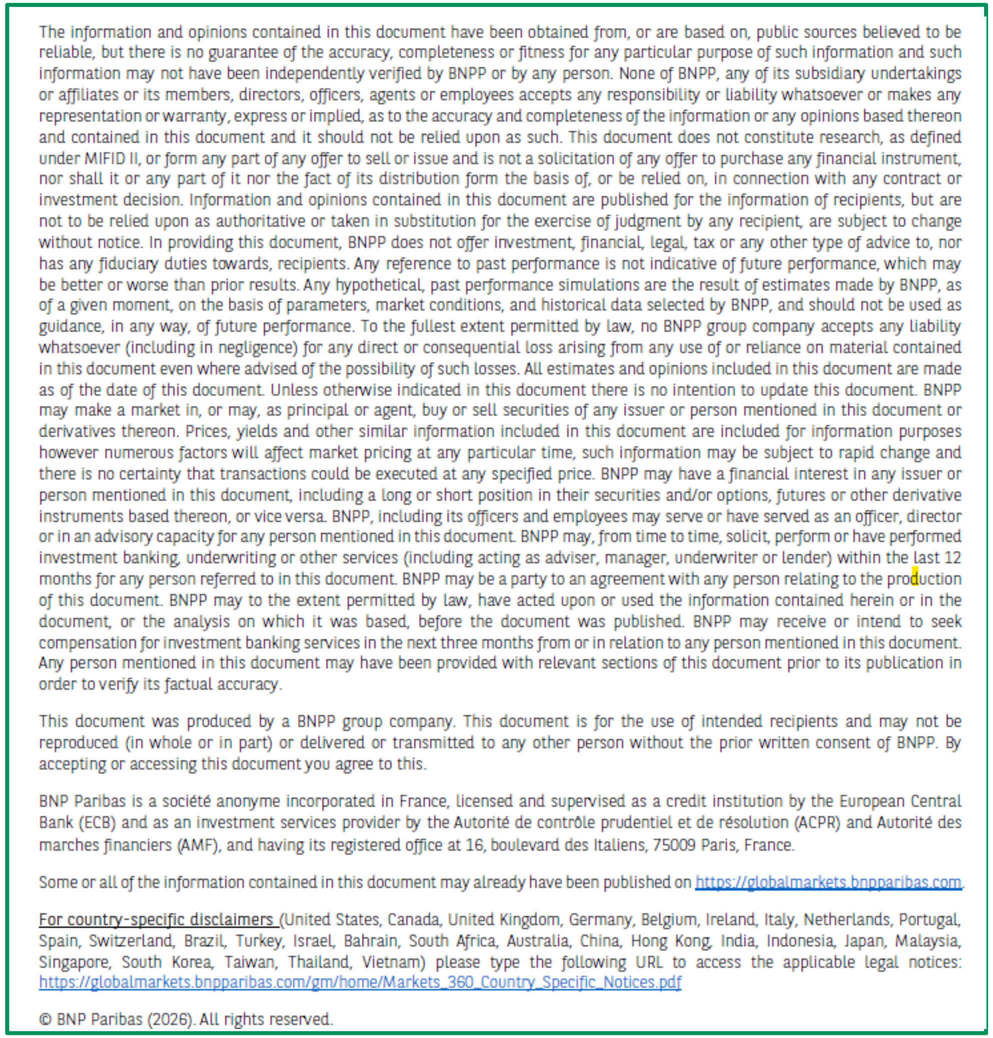

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CHART
OF THE WEEK

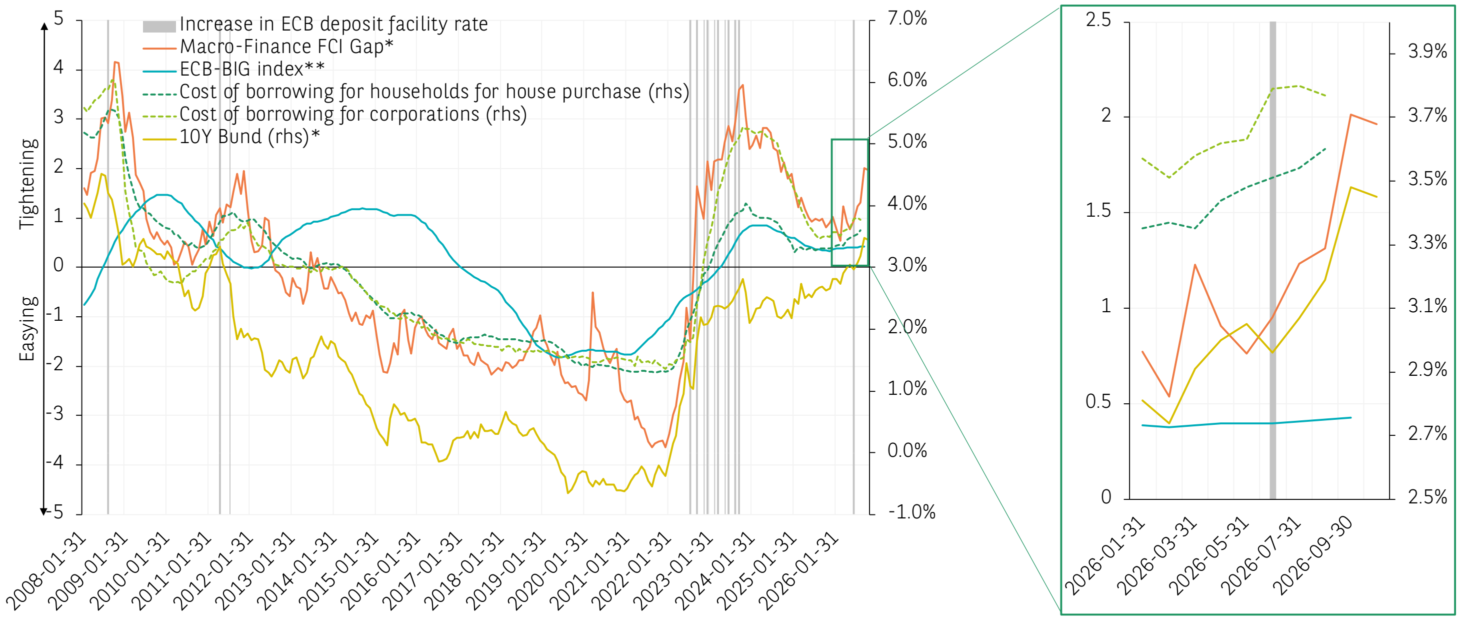
7 October 2026

FINANCIAL CONDITIONS IN THE EUROZONE: A TIGHTENING TEMPORARILY TEMPERED BY CREDIT VOLUMES

Thomas Humblot

Since June 2026, the ECB has been publishing[1] a new indicator that helps to assess the transmission of its monetary policy to the economy: the Broad Intermediation Gauge[2] (ECB-BIG). This new tool has revealed that, thus far, strong credit growth has limited the restrictive impact of tightening financial conditions caused by rising interest rates in the Eurozone. However, this offsetting effect is beginning to fade.

Credit volumes have temporarily cushioned the rise in interest rates



*LATEST OBSERVATION: 5 OCTOBER 2026 **ESTIMATE

SOURCE: ALLAYIOTI AND AL. (2026), ECB, BLETZINGER ET AL. (2026), BNP PARIBAS ESTIMATES

The ECB-BIG: a new indicator for a broader view of financial conditions

The ECB-BIG complements the range of indicators used by the European Central Bank (ECB) to assess the effective transmission of its monetary policy. This new tool provides a comprehensive view of how restrictive (or expansive) financial conditions are in the Eurozone. It stands out for its approach that focuses more specifically on intermediation conditions. Therefore, the ECB-BIG provides a more comprehensive view than most other financial condition indicators of financial conditions. In fact, it covers variables relating to the volume of bank lending to households and businesses (the 'volume' component). Traditionally, this type of indicator tends to focus more on market variables (primarily interest and exchange rates), share prices and corporate spreads. In addition, the 'price' component of the ECB-BIG is extended to include the cost of bank loans, which is another new feature.

The rise in interest rates was temporarily offset by increased lending

By aggregating the variables relating to banking and non-banking intermediation conditions, the ECB-BIG shows that rising interest rates (negative price effect) were offset in particular by lending volumes, which have continued to rise in 2026 (positive volume effect). A more 'traditional' indicator of financial conditions, the Macro-Finance FCI (MF-FCI) — which is, incidentally, included in the ECB-BIG — reveals a much more pronounced tightening over the same period (*see the orange curve in the chart*). However, this offsetting of the price effect by the volume effect is now beginning to wane, a sign that monetary policy is being effectively transmitted to the economy. Financial intermediaries are gradually passing on the rise in rates to their customers (*see the dotted green lines, which represent the composite indicators of the cost of new loans to households and businesses, combining interest rates for different maturities*), while lending volumes are falling. As a result, between July and August 2026, seasonally adjusted flows of loans to households and businesses almost halved.

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[1] P. Lane, 2026, The Outlook for the Euro Area Economy, Background slides for Reuters NEXT Europe, London, 16 June 2026

[2] A. Allayioti et al., 2026, The ECB-BIG index: tracking credit conditions in the euro area, ECB Economic Bulletin, Issue 5/2026

In the longer term, financial conditions are expected to tighten, including as measured by the ECB-BIG

Despite the very sharp widening of sovereign spreads between 28 September and 2 October, financial conditions as measured by the MF-FCI did not tighten, with sovereign yields actually falling over this period (with the exception of the OAT and the BTP), for example. Nevertheless, the high volatility of the bond market, particularly in the sovereign segment, is likely to continue to affect financial conditions. Looking slightly further ahead, the ECB's key interest rate rises — the one that occurred on 16 September and another that we anticipate for December 2026 (both +25 bp) — are likely to result in a more pronounced tightening. With a time lag of a number of weeks, financial conditions, as defined by the ECB-BIG, are also expected to tighten. The price effect is likely to lead to a negative volume effect on this occasion.

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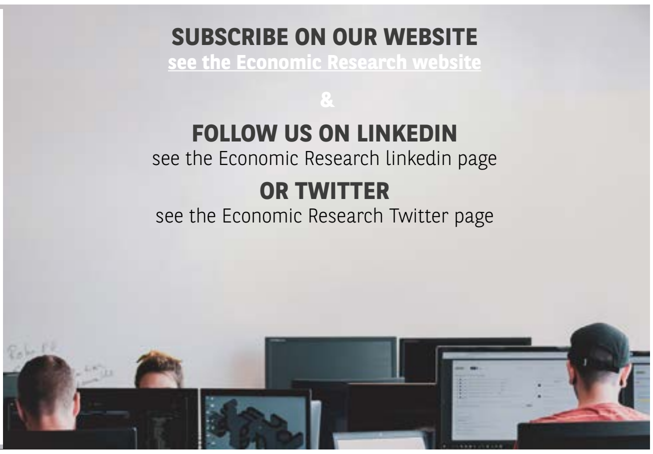

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ECONOMIC RESEARCH

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The bank for
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ECOPERSPECTIVES

October 2026

Advanced Economies:
Resilience to shock after shock

By Advanced Economies Team

ECONOMIC RESEARCH
by BNP PARIBAS

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The bank for a changing world

Advanced economies: Resilience to shock after shock

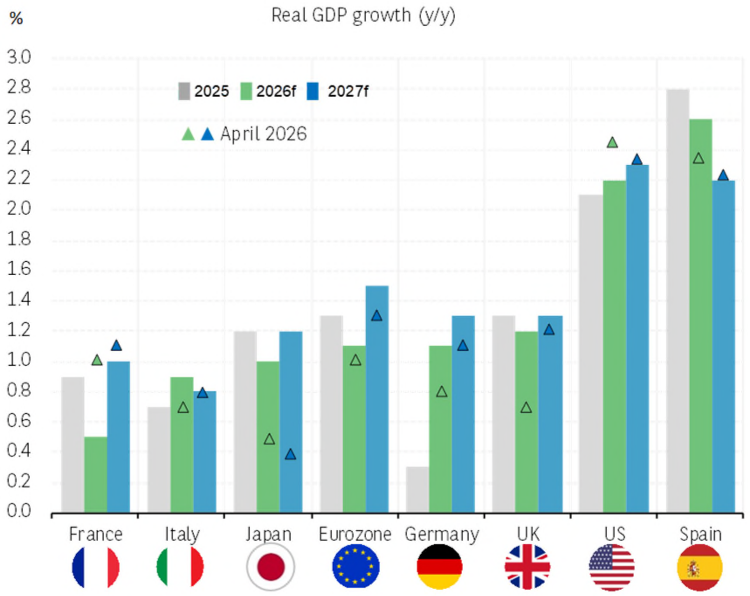
- The global economy is in the midst of a growth cycle. As a result, GDP growth is more resilient to shocks than initially anticipated.
- The figures for the second quarter bear this out, despite the sharp rise in oil prices, whose negative impact on growth is offset by a series of reflationary forces.
- The driving force behind the current growth cycle is clear: artificial intelligence (AI).
- The world's major economies are currently engaged in a broader push to expand their capital goods investment.
- While European and US households are experiencing more or less the same energy price shock, inflation and household consumption remain higher in the US.
- Higher and above-target inflation calls for monetary tightening.
- Inflation is exceeding the target set by three of the four central banks examined in this publication (the US, the UK, the Eurozone). Inflation is currently expected to peak in Q4 2026 or Q1 2027, but there is a significant risk that energy inflation will spread further to other components of inflation in the future.
- Inflation can also be a sign of (too much) economic strength (in the US).
- Monetary policies also have to offset the inflationary effects of fiscal policy (particularly in Japan).
- The outbreak of the conflict in Iran acted as a catalyst: the ensuing rise in energy prices contributes to the recent increase in long-term rates (which had been trending downwards at the start of the year) to levels close to those of 2002.
- The other issue is the high level of fiscal deficits (too high for a period of growth), reflecting different fiscal trajectories. In the US, the UK, France and Germany the public debt-to-GDP ratio is increasing, while it has stabilized in Italy and decreased in Spain and Japan.
- The rise in long-term interest rates will weigh on public finances. The fiscal arithmetic is simpler today than it will be in 2030. By 2030, the effective rate will have risen and caught up with GDP growth.

For more information, please refer to our publication:

EcoPerspectives – Advanced Economies | 3rd quarter of 2026, as of September 24, 2026– Economic Research – BNP Paribas

Advanced Economies: Resilience to shock after shock (forecasts as of September 30)

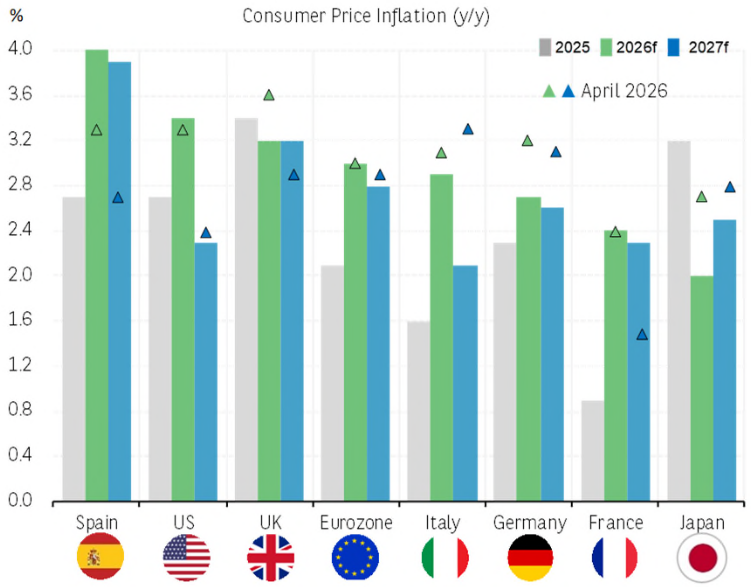
GDP growth is expected to strengthen in 2027



Countries sorted in ascending order in 2026

Source: LSEG, BNP Paribas forecasts

Inflation is expected to remain above central bank targets in the coming months



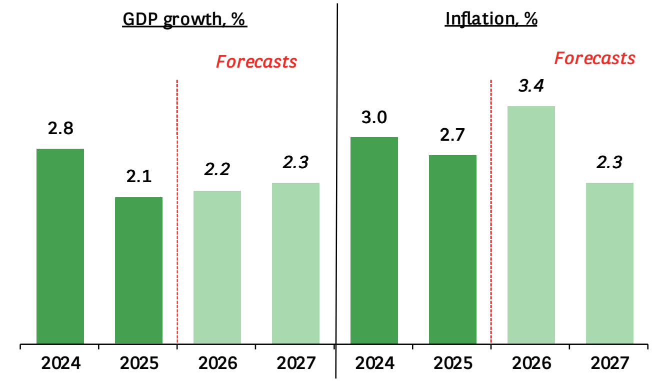
Countries sorted in descending order in 2026

Source: LSEG, BNP Paribas forecasts

United States: Expansion intact through successive shocks

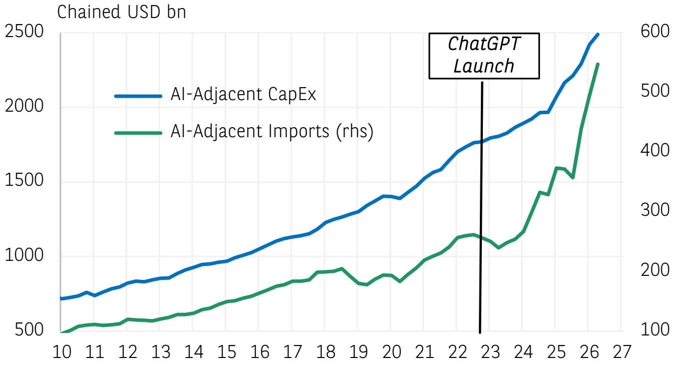
Last update: 02 October 2026

Growth holds shock after shock



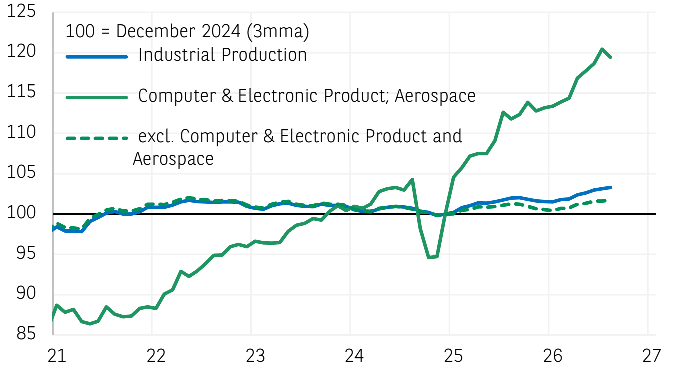
Source: BNP Paribas Global Markets

AI-adjacent CapEx powers growth… and imports



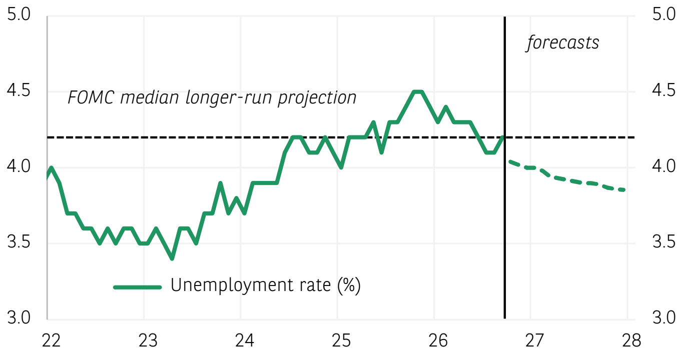
Source: BEA, BNP Paribas

A narrowly-led manufacturing recovery



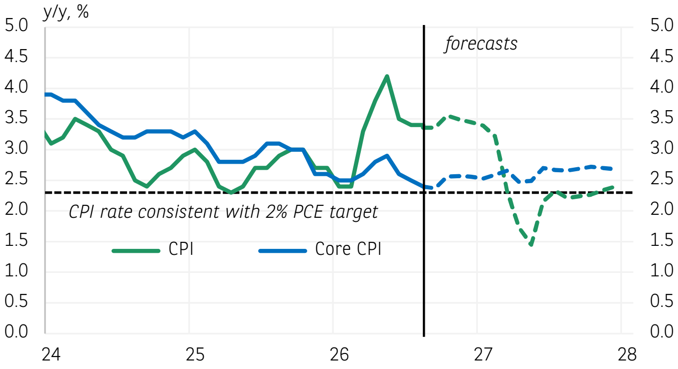
Source: Federal Reserve, BNP Paribas

Higher demand and lower supply push unemployment down



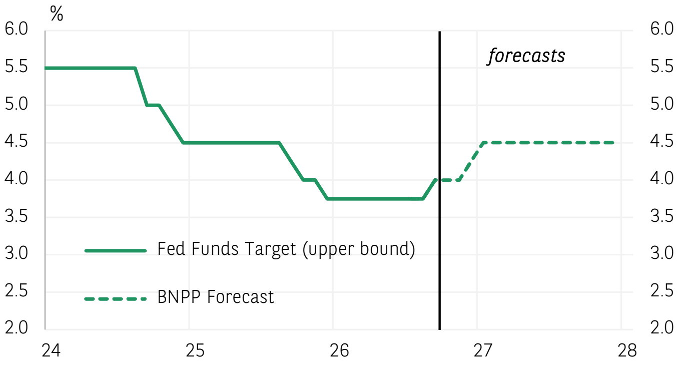
Source: BLS, Federal Reserve, BNP Paribas

Core inflation remains sticky and above target



Source: Freddie Mac, Macrobond, BNP Paribas

2025 rate cuts set to be unwound as the labour/prices balance shifts

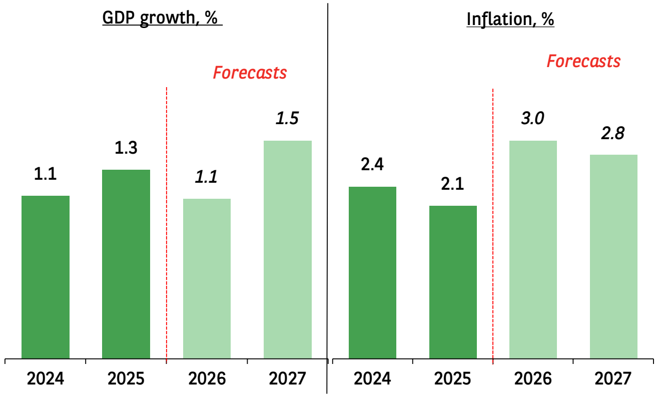


Source: Federal Reserve, BNP Paribas

Eurozone: Growth on track despite the turbulence

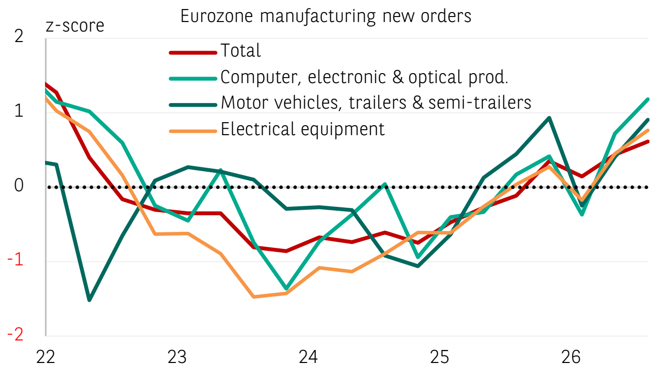
Last update: 01 October 2026

Beyond the shocks, a resilient momentum



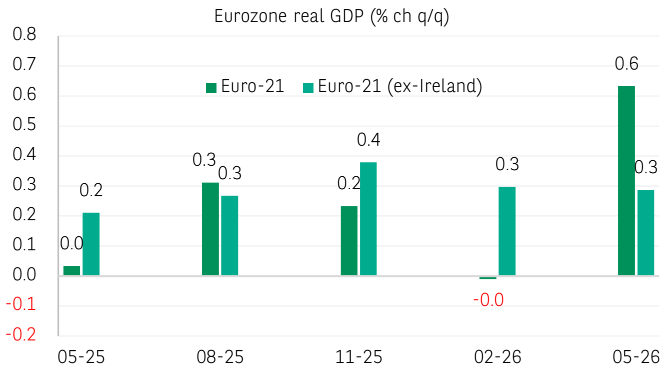
Source: BNP Paribas Global Markets

A broader recovery in industrial activity is on the horizon



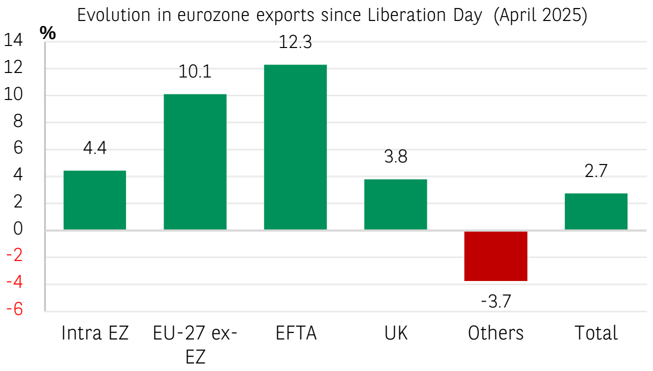
Source: European Commission, BNP Paribas

Looking beyond the Irish data: growth is holding up



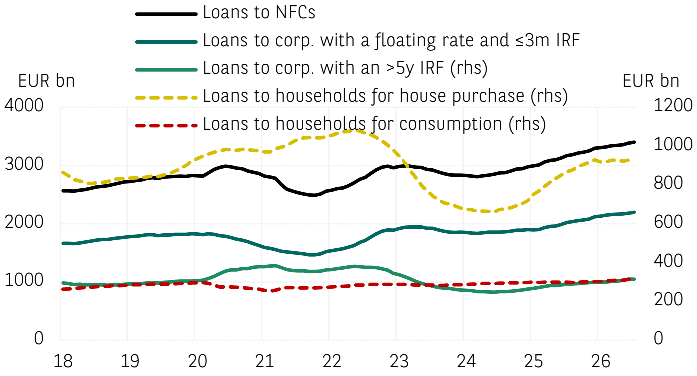
Source: Eurostat, BNP Paribas

Exports to Europe help offset weaknesses in other markets



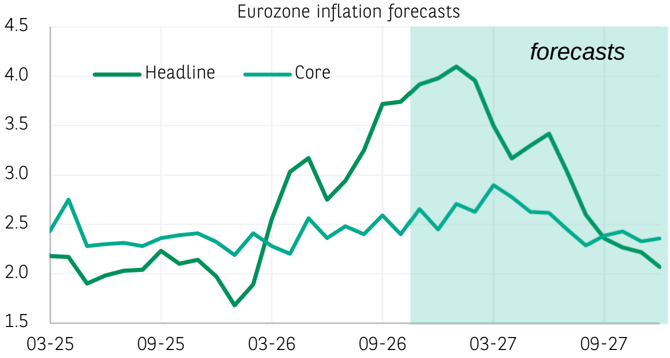
Source: Eurostat, BNP Paribas

New loans remain favorable despite interest rates' increase (cumulated over 12 months)



Source: ECB, BNP Paribas

Peak in inflation expected at the beginning of 2027

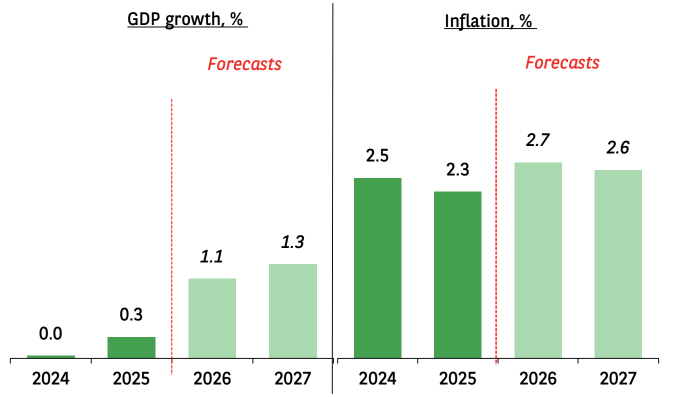


Source: BNP Paribas

Germany: An export-driven recovery

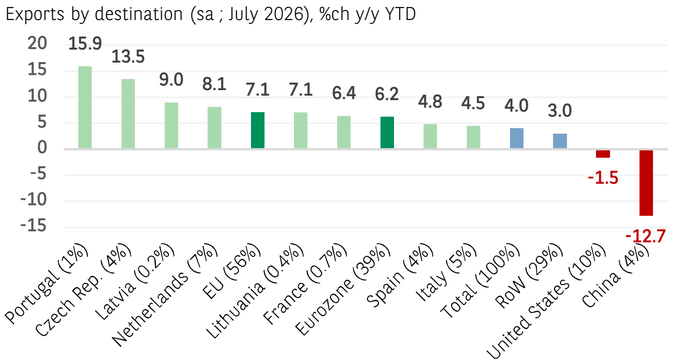
Last update: 01 October 2026

German growth should strengthen in 2026 and 2027, but inflation too



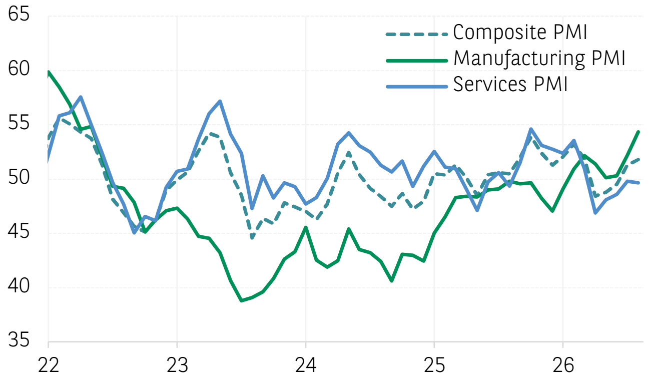
Source: BNP Paribas Global Markets

The intra-European reorientation of German exports is underway



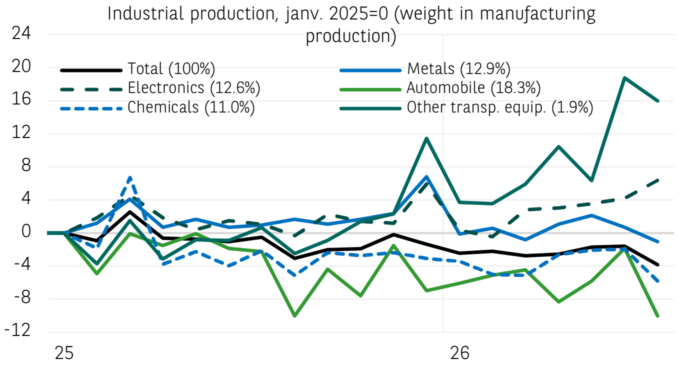
Source: Bundesbank, Macrobond, BNP Paribas

From a sectoral perspective, industry's restructuring has been leading the recovery …



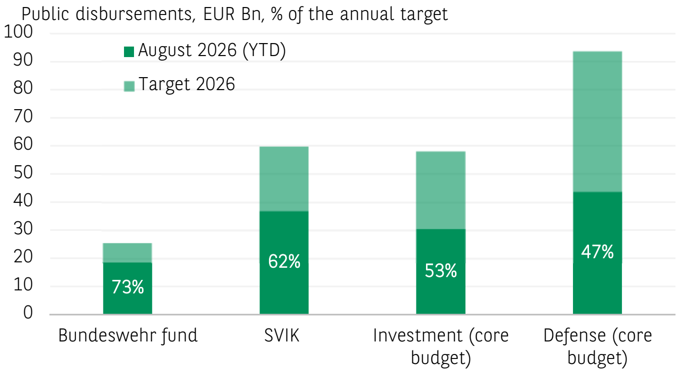
Source: S&P Global, Hamburg Commercial Bank, Macrobond, BNP Paribas

… driven by AI investments and intra-European momentum



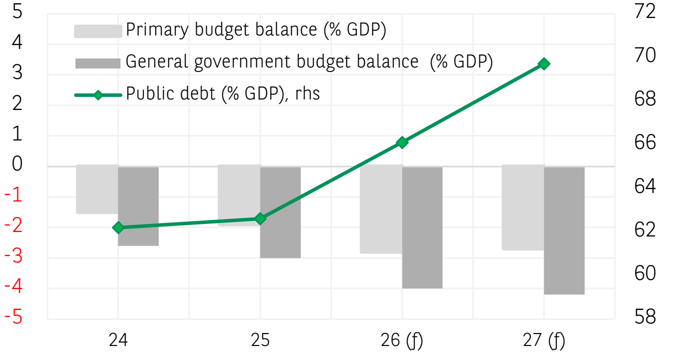
Source: Macrobond, BNP Paribas

The increase in public expenditure reflects the implementation of investment plans



Source: Bundesfinanzministerium, BNP Paribas

Fiscal stimulus continues

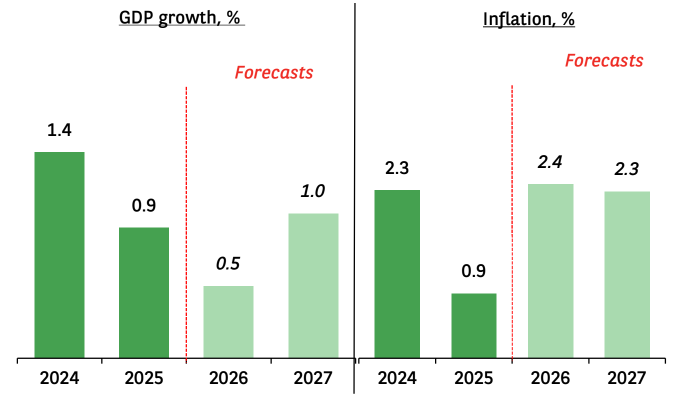


Source: Destatis, BNPP calculations

France: Growth is bending, but not breaking

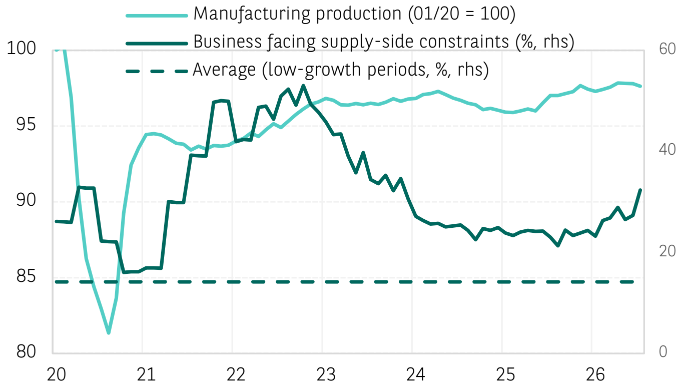
Last update: 01 October 2026

French growth should pick up



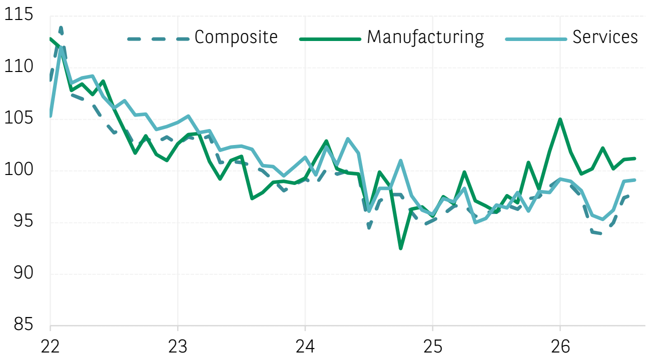
Source: BNP Paribas Global Markets

Renewed supply constraints have interrupted the industrial recovery



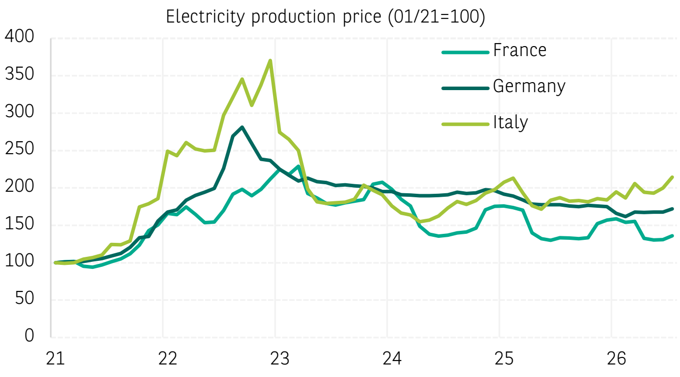
Source: Insee, BNP Paribas

The business climate has well absorbed the rise in inflation



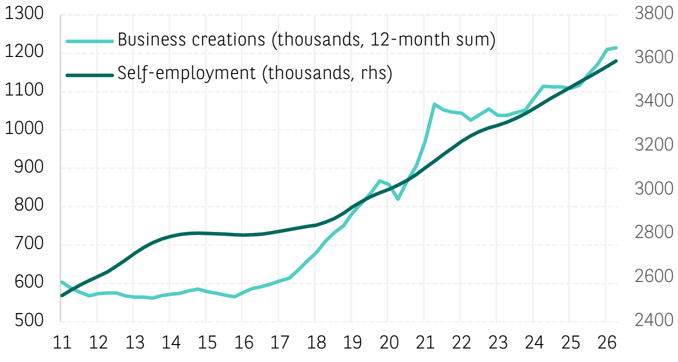
Source: Insee, BNP Paribas

France produces more abundant and cheaper electricity



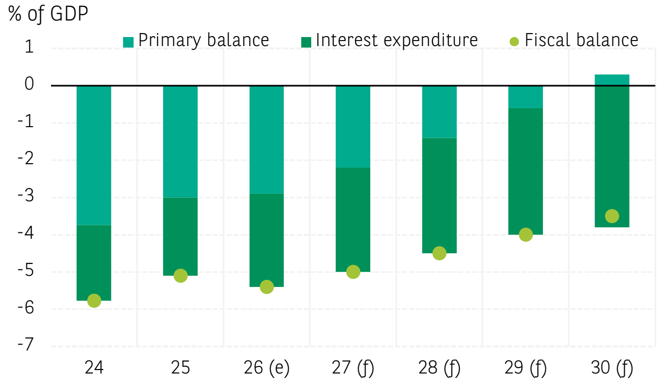
Source: Macrobond, BNP Paribas

Business creations and self-employment are developing



Source: Insee, BNP Paribas

The rise in interest payments will put pressure on the fiscal deficit

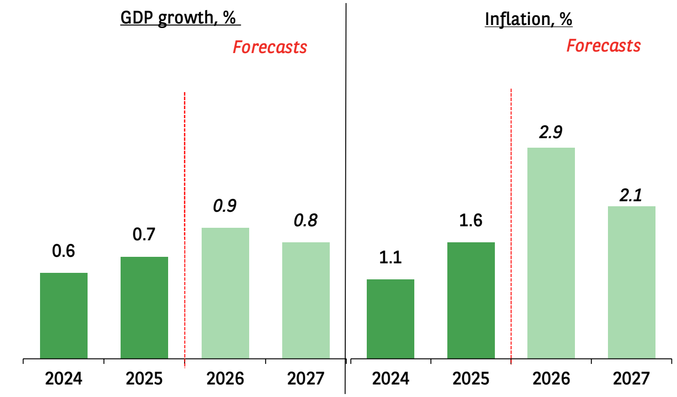


Source: Macrobond, BNP Paribas Forecasts

Italy: European funds bolster growth, while debt constraints persist

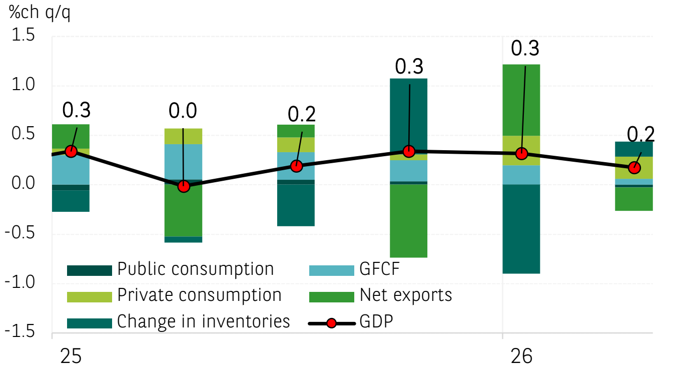
Last update: 01 October 2026

Growth is expected to remain stable and inflation to rise in 2026



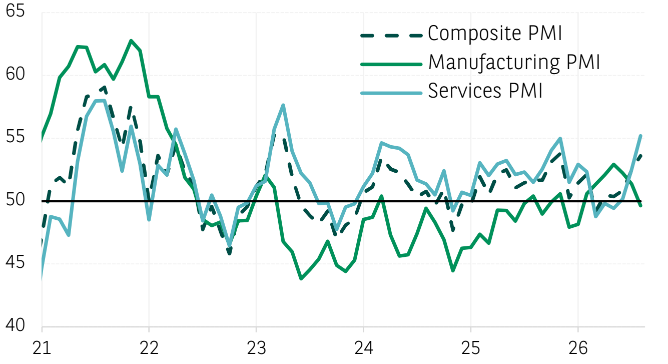
Source: BNP Paribas Global Markets

Private consumption and NRRP spending drove GDP growth



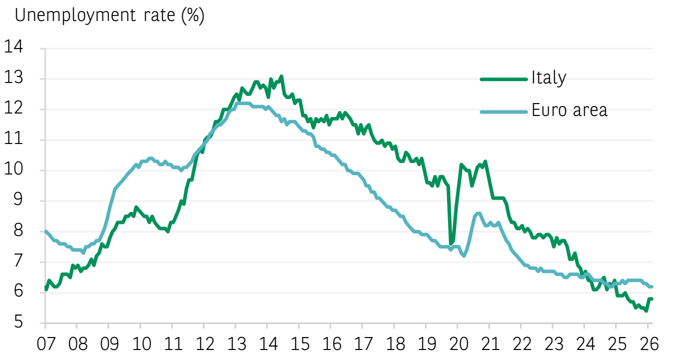
Source: Eurostat, Macrobond, BNP Paribas

The manufacturing sector lags behind



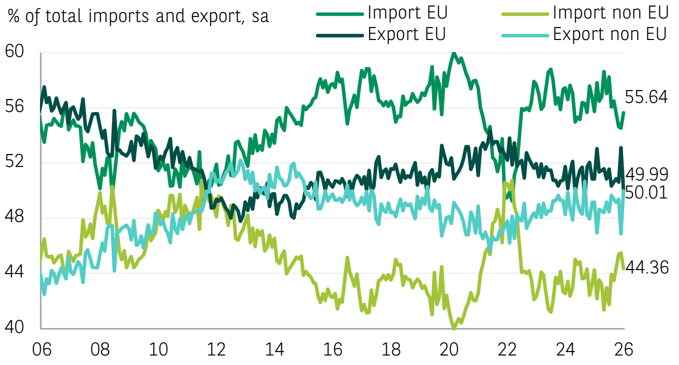
Source: S&P Global, Macrobond, BNP Paribas

The labour market is tight and demographic prospects add further constraint



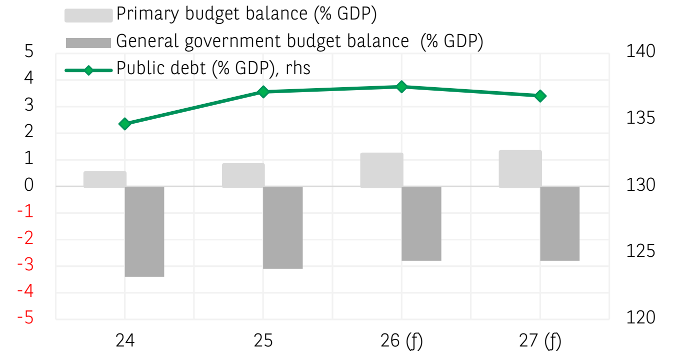
Source: Eurostat, Macrobond, BNP Paribas

Italian foreign trade is holding up well



Source: Istat, BNL Economic Research

A lower fiscal deficit, but limited room for manoeuvre

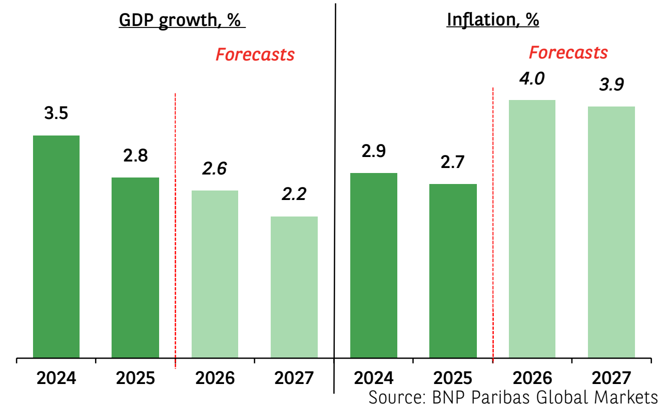


Source: Eurostat, BNPP calculations and forecasts

Spain: Robust growth

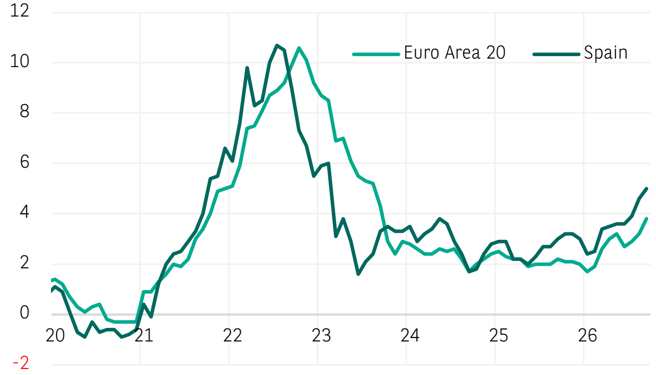
Last update: 05 October 2026

Growth is expected to remain stable at a high level



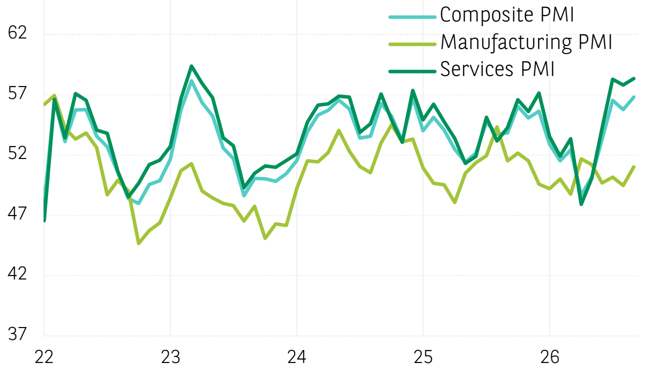
Source: BNP Paribas Global Markets

Spain inflation is above Eurozone average



Source: Eurostat, Macrobond, BNP Paribas

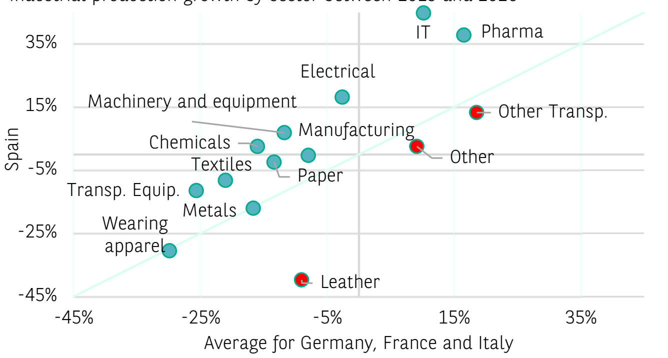
Despite geopolitical uncertainty, the business climate remains resilient



Source: S&P Global, Macrobond, BNP Paribas

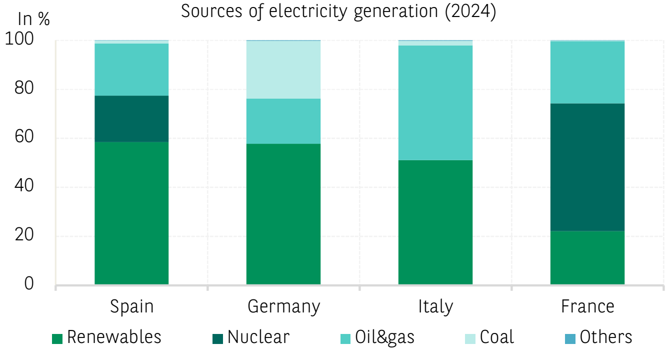
Industry is more competitive than elsewhere in Europe…

Industrial production growth by sector between 2019 and 2026



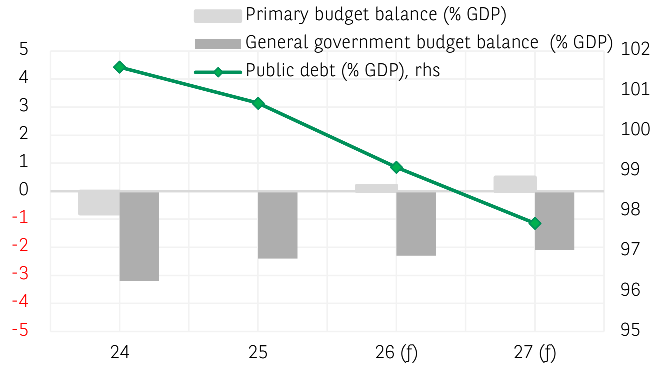
Source: Eurostat, BNP Paribas

… thanks to a sustainable energy advantage



Source: IEA, BNP Paribas

The fiscal trajectory remains favorable

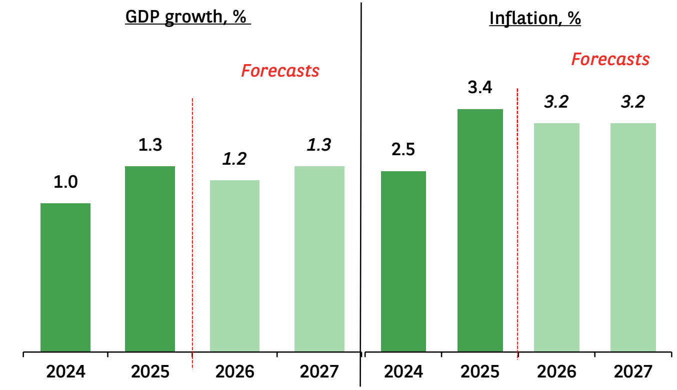


Source: Eurostat, BNPP calculations

United Kingdom: Growth remains resilient in front of shocks

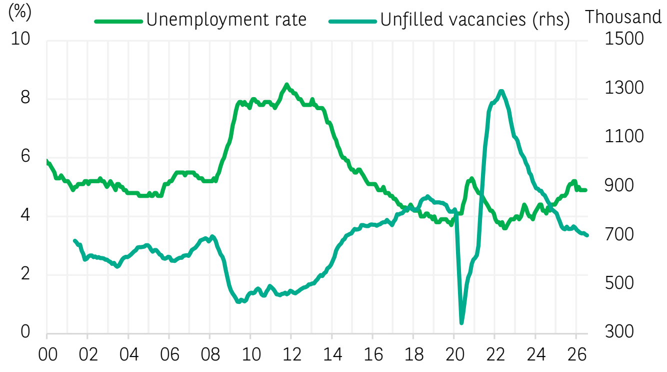
Last update: 01 October 2026

UK growth remains steady, despite a series of shocks



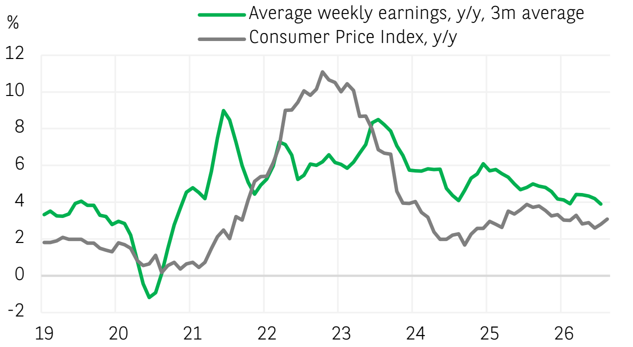
Source: BNP Paribas Global Markets

UK labor market: fragile stability amidst weakening demand



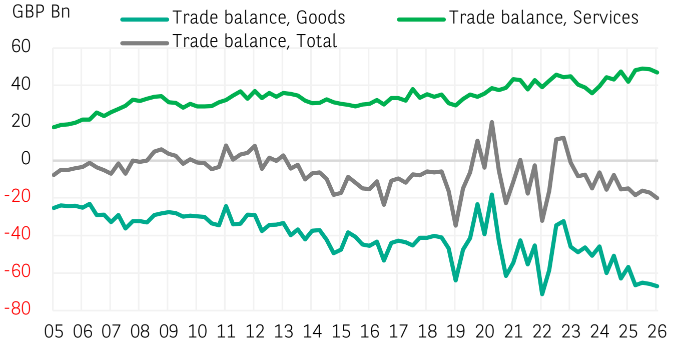
Source: ONS, BNP Paribas

Inflationary pressures are softening on the labor market



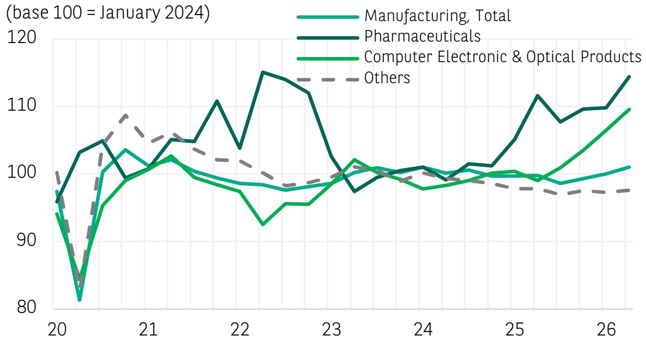
Source: ONS, BNP Paribas

The balance of goods and services remains structurally in deficit



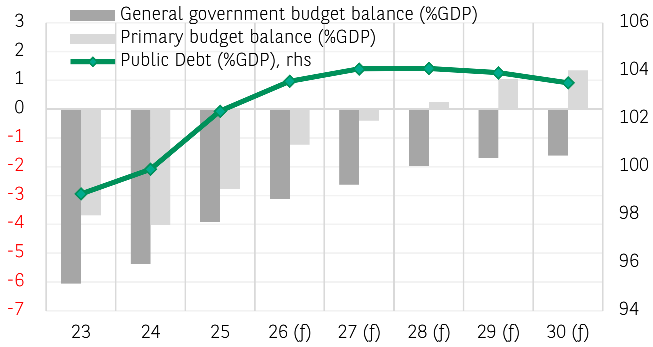
Source: ONS, BNP Paribas

Manufacturing output rebounds, driven by the acceleration of the AI cycle



Source: ONS, BNP Paribas

Room for manoeuvre to continue fiscal consolidation is limited

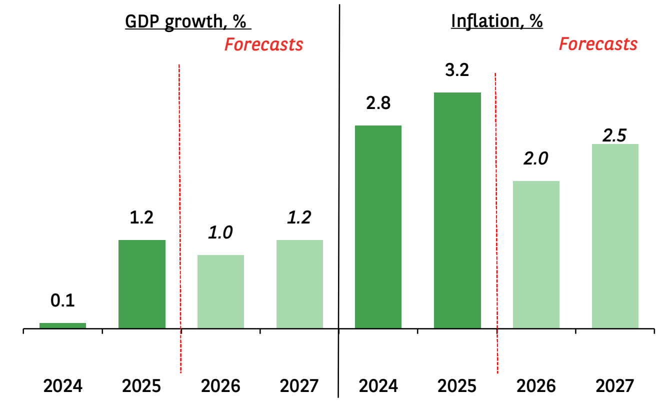


Source: IMF, Macrobond, BNP Paribas

Japan: Growth under strains

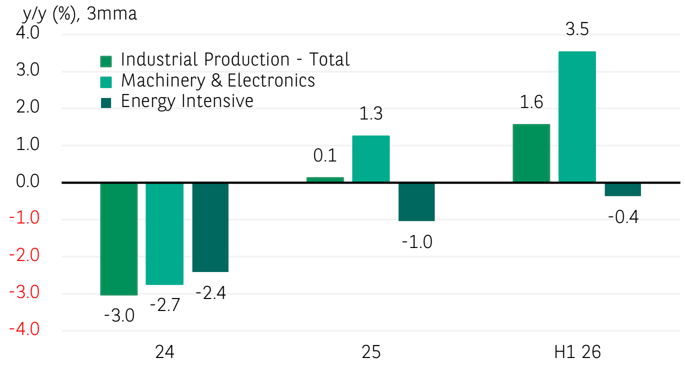
Last update: 01 October 2026

Growth above potential, inflation above target



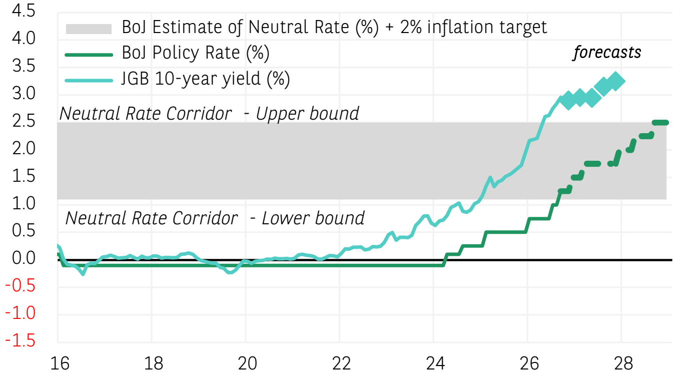
Source: BNP Paribas Global Markets

Machinery & Electronics lead the manufacturing recovery



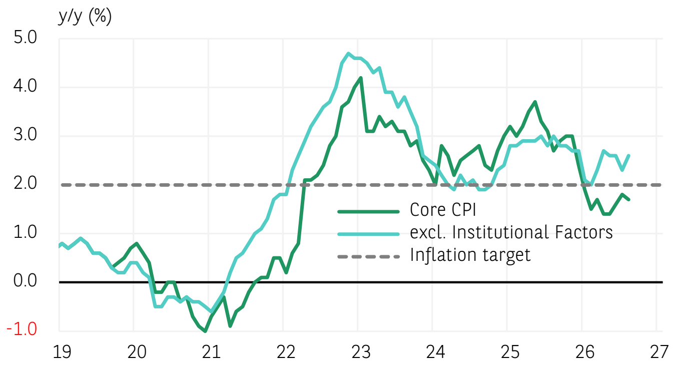
Source: Japanese METI, BNP Paribas

The bond market is tightening faster than the BoJ



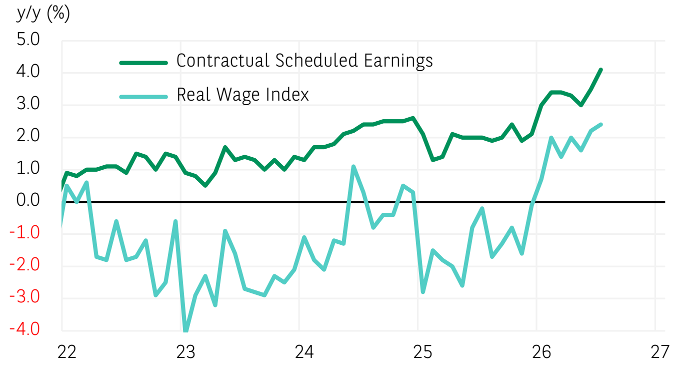
Source: Macrobond, Bank of Japan, BNP Paribas

Energy subsidies mask Japan's underlying price pressures



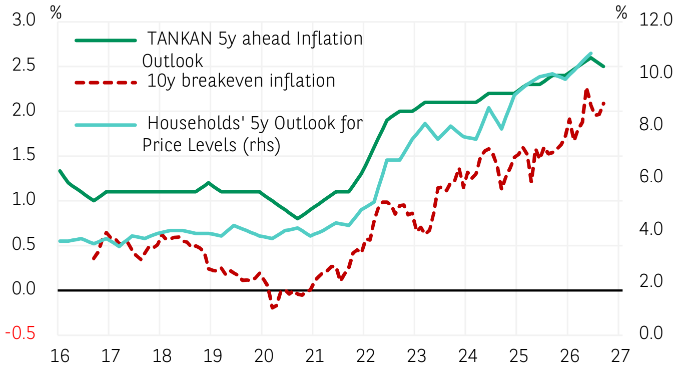
Source: Bank of Japan, Statistics Bureau of Japan, BNP Paribas

Nominal wage growth firmly anchored above 3%



Source: Japanese Ministry of Labour, BNP Paribas

Inflation expectations confirm the end of deflation



Source: Bank of Japan, Macrobond, BNP Paribas

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Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

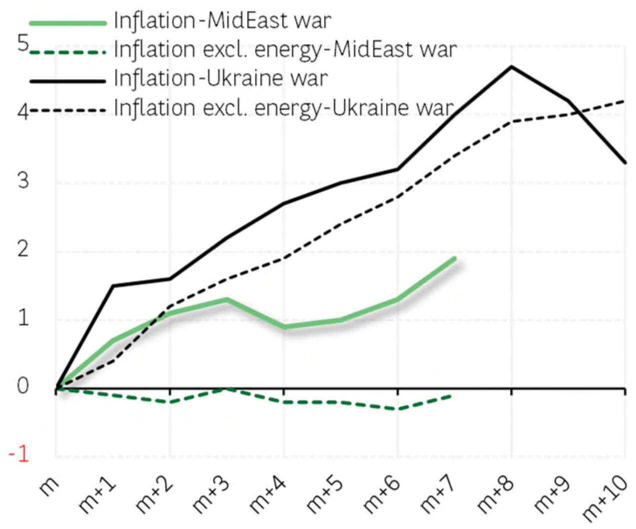
We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

Overall, based on data available through September 2026, economic activity continues to show resilience. The high levels of business climate surveys illustrate this well. Household confidence, however, is more vulnerable and sensitive to energy price pressures. Financing conditions in emerging economies also continue to hold up well against the shock (much better than in 2022) as well as against the tensions in DM bond markets, which intensified this summer, partly in the wake of the reinforcing upward pressure on energy prices. Higher energy prices are also fueling inflationary pressures and pushing inflation even higher. In particular, Eurozone inflation rose by 0.6 percentage points to 3.8% year-on-year (September flash estimate), reaching its highest level in three years.

Eurozone: Marked increase in inflation in September 2026, to a 3-year high

Eurozone: Inflation (incl. & excl. Energy)



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

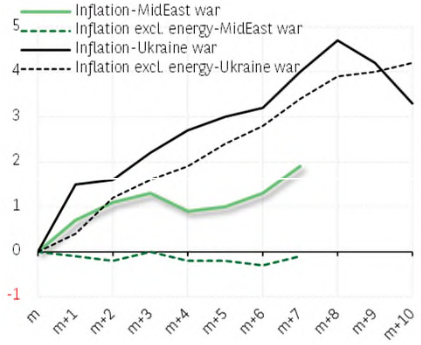
Eurozone: Amid rising inflation, the business climate remains resilient, but consumer confidence falls back

We have selected two inflation measures (with and without energy) and six survey indicators: 1/ & 2/ business confidence, as measured by the PMIs in the manufacturing and services sectors; 3/ & 4/ input and output prices components of the composite PMI (in order to identify direct inflationary pressures); 5/ the suppliers' delivery times component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); and 6/ consumer confidence (measured by the “assessment of financial situation in the next 12 months” in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The overall picture from the confidence surveys available for September is globally positive. According to the PMIs, the business climate in services has indeed seen a clear improvement, and that in the manufacturing sector remains comfortably in expansion territory for the 8th month in a row. However, consumer confidence has recorded its first decline in 5 months, likely driven by rising inflation and concerns over purchasing power. News on the inflation front is negative. PMI surveys report a strengthening of inflationary pressures: this trend is not a surprise given the tensions in energy prices, but it is nonetheless significant. As for inflation itself, it continues to rise, more markedly in September: +0.6 percentage points, to 3.8% year-on-year (Eurostat flash estimate), of which 0.4 pp du to the higher energy contribution. Inflation excluding energy increased as well, by 0.2 pp to 2.3% (of which 0.1 pp due to the rise in food inflation).

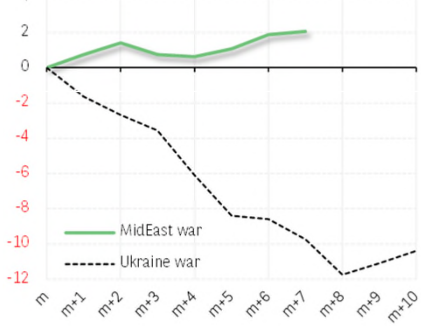
September 2026: Marked increase in inflation, to a 3-year high

Eurozone: Inflation (incl. & excl. Energy)



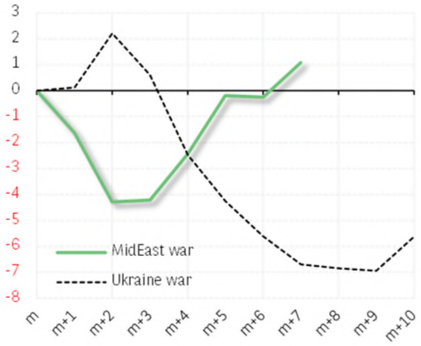
September 2026: Business climate in the manufacturing sector comfortably in the expansion zone for the 8th month in a row

Eurozone: Manufacturing PMI



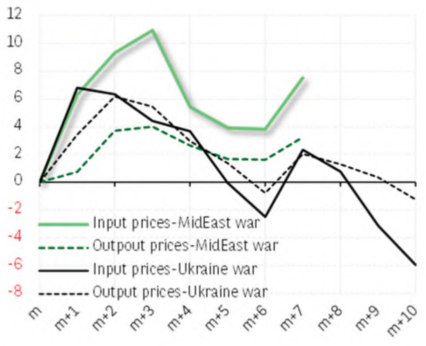
September 2026: Marked improvement in services business confidence

Eurozone: Services PMI



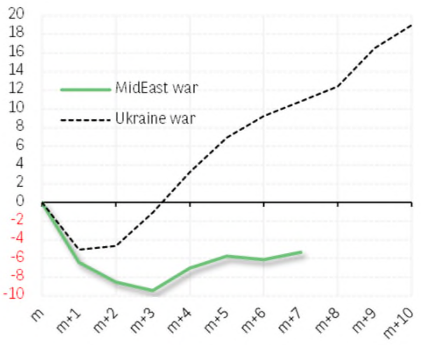
September 2026: Strengthening inflationary pressures

Eurozone: Composite PMI — Input and output prices



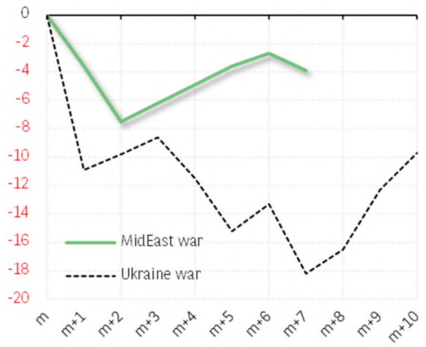
September 2026: Slight further increase in supply tensions

Eurozone: Manufacturing PMI — Suppliers' delivery times



September 2026: First decrease in 5 months of household confidence

Eurozone: Consumer confidence
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

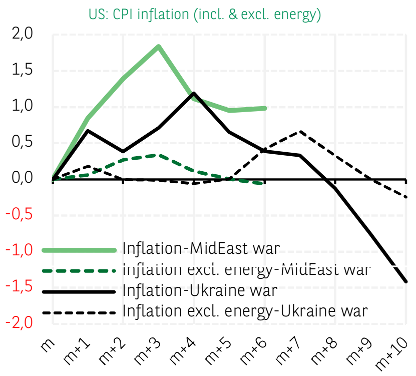
United States: Elevated inflation and high growth

U.S. macroeconomic performance has remained solid since the onset of the shock, as illustrated in particular by Q2 growth of +3.8% and +9% (annualized quarterly rate) in consumer spending and private nonresidential investment, respectively.

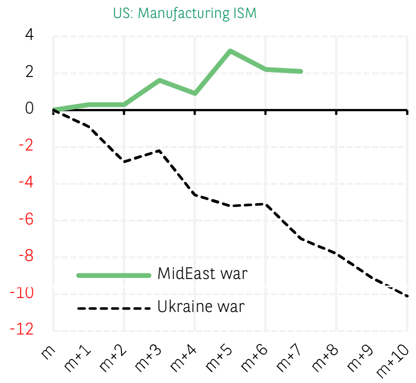
In the manufacturing sector, business sentiment has gained momentum despite the shock, while the impact of this shock on the services sector has remained very limited. The immediate reaction of consumer confidence was, however, more negative before beginning to improve, which was nevertheless interrupted in August (latest available data for households' sentiment on their future personal financial situation). The University of Michigan's composite indicator continued to deteriorate in September, due to the sharp rise in fuel prices. But declining confidence still does not translate into reduced spending—at least not at the aggregate level.

On the inflation front, the spike immediately following the outbreak of the conflict in Iran was more pronounced than in the months following Russia's invasion of Ukraine. The decline in June still left inflation at a high level, but its stability in July and August was notable (3.4% y/y), as was the latest—the third consecutive—slight decline in inflation excluding energy in August (2.5% y/y, same rate as in February). Given the existing inflationary pressures, however, inflation is highly likely to resume its upward trend in September.

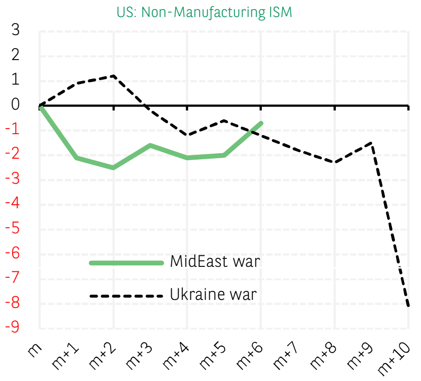
August 2026: Headline inflation resists to the upside



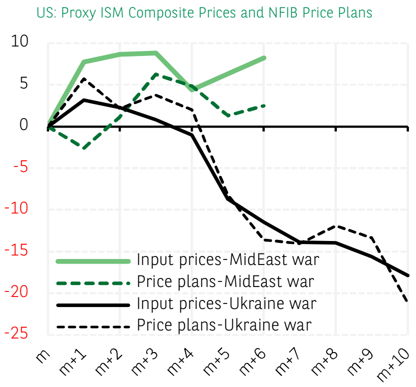
September 2026: Manufacturing business confidence remains stable at a high level



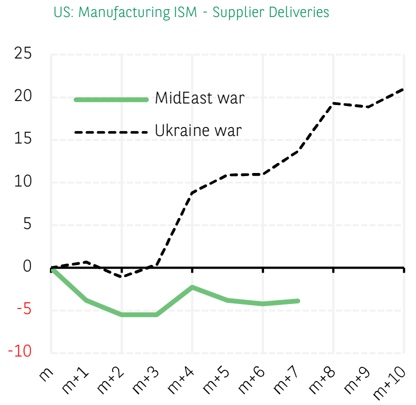
August 2026: Marked improvement in services business confidence, from an already high level



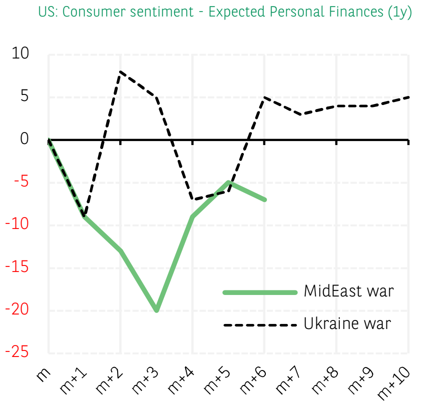
August 2026: Increasing inflationary pressures



September 2026: Supplier deliveries do not get longer



August 2026: Consumers are a bit more concerned about their personal finances



Price plans= companies stated plans to adjust their selling prices in the short term.

Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

BNP PARIBAS
The bank for a changing world

Paris, 1st October 2026

EcoFlash

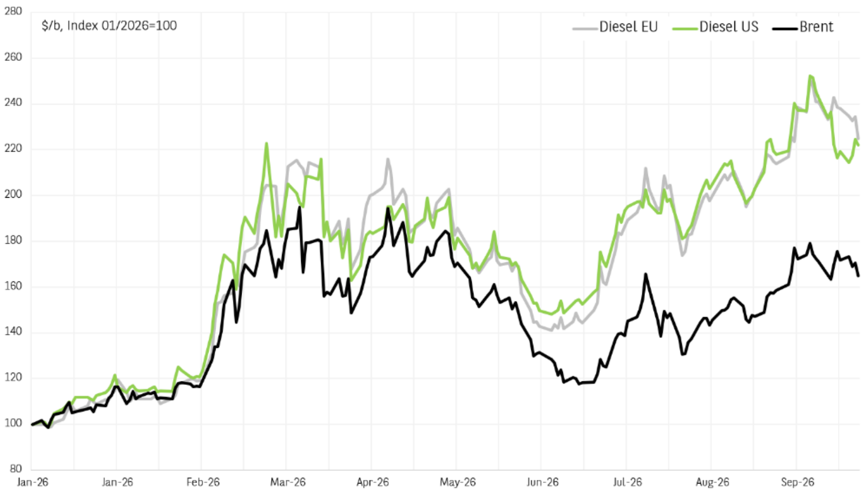
Threats to European diesel imports: risk of shortages ruled out for the time being, but increased risk of price rises

In Europe, the possibility of a US ban on diesel exports has heightened concerns about price trends for this widely used fuel[1], which has already risen significantly since the outbreak of the conflict in Iran. It has become a major political issue on both sides of the Atlantic in the run-up to decisive elections.

A particularly tight diesel market due to a shortage of buffer stocks

Following the outbreak of the conflict, diesel prices did indeed see some of the sharpest rises on the oil market due to particularly tight market conditions. Since the end of February, whilst the price of a barrel of crude has risen by 46%, diesel prices have soared by 100% in Europe and by 76% in the United States.

Rising pressure on the diesel market



Source: Bloomberg, BNP Paribas

The factors alleviating pressure on the refined products market, and more specifically the diesel market, were more limited than in the case of crude oil. Shipments passing through the Strait of Hormuz (around 17% of maritime diesel trade prior to the conflict) have fallen by around 75%. Added to this is the halt in Russian exports due to war damage, which is depriving the diesel market of around 12% of its maritime exports. Furthermore, unlike with crude oil, China has not acted as a stabilising force in the diesel market. On the contrary, the energy crisis has led to a halt in Chinese exports of refined products (including diesel) to the rest of Asia from April onwards. The resumption of Chinese exports over the last two months remains fragile, given, in particular, that diesel stocks are at their lowest level in 15 months.

The United States has eased these tensions in the diesel market by increasing its exports of refined products (up 25% on average in the first half of 2026 compared with the average over the last five years). This rise in exports has required high refinery utilisation rate (close to maximum capacity) and, to a lesser extent, a reduction in stocks (-11% compared with the average over the last five years as at mid-September for middle distillates[2]). All these factors have contributed to tightening the US domestic market and pushed retail diesel prices to record levels. Road diesel prices (US average) have risen by 68% since the end of February and by 74% year-on-year.

A structurally high level of vulnerability in Europe…

Against this market backdrop, characterised by mounting tensions and very limited room for manoeuvre, Europe would be particularly hard hit by a reduction in – or even a complete halt to – US exports. According to Eurostat, imports accounted for 46% of European demand for diesel in the first half of 2026, with 40% of these imports coming from the United States. Europe, which has lost a great deal of production capacity in recent years, is operating its refineries at near-maximum capacity. Its room for manoeuvre is therefore limited.

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[1] Diesel accounts for 17% of the primary energy mix in the EU and 7.3% in the United States.

[2] A category of refined petroleum products comprising mainly diesel and aviation fuel.

… But the risk of a shortage has been ruled out in the short term

The risk of a shortage, however, appears limited in the short term. The situation regarding European stocks is not comfortable, but it is not alarming. Commercial diesel stocks in the ARA region[3] are currently at historically low levels (around 12 million barrels), 23% below their level at the end of September 2025. As for emergency stocks (EU Emergency Stocks), these are, according to the European Commission, at a sufficient level. Eurostat estimates this figure at 270 million barrels in June 2026 (stable from a year earlier), representing approximately 60 days' worth of EU consumption. Europe imports around 0.9 mb/d of diesel from the United States, and emergency stocks would therefore cover around 60 days' consumption at 4.5 mb/d.

The rise in prices could be significant

Whatever the outcome of the conflict, diesel prices are likely to continue to rise in the short term. According to our base-case scenario, crude oil prices are expected to remain very high in Q4 2026 due to ongoing tensions in the Persian Gulf, whilst a return to normal levels of diesel exports from Russia and the Middle East appears unlikely by that time.

Among the factors likely to cause future tensions, the start of the maintenance season in Europe could affect production levels, whilst demand for diesel in the United States is typically high in the autumn (agricultural harvests and pre-winter storage). In a scenario where tensions remain low, the diesel refining margin (crack spread) could rise by 5% in Q4 compared with its level at the end of September 2026, before gradually falling back during 2027. An intermediate scenario (a 10% rise in the crack spread in Q4 2026) would result in moderate constraints on US diesel exports and a drawdown of European stocks. Finally, an adverse scenario (a 35% rise in the crack spread in Q4 2026) would imply severe restrictions on US diesel exports and a delayed European response.

What impact will this have on inflation in the euro area?

According to our estimates, the rise in diesel prices would exacerbate the expected peak in inflation in the euro area without altering its timing. In our baseline scenario for September 2026 (see our recently published EcoPerspective), headline inflation would peak at 4.1% y/y in January 2027 before gradually falling back towards 2% by the end of the year. The two least adverse scenarios would add only a limited amount to the peak: +0.1 pp in the first scenario (+5% for the crack spread in Q4 compared with the end of Q3) and +0.2 pp in the intermediate scenario (+10%), with inflation reaching 4.2% and 4.3% respectively in January 2027. However, there is an upside risk in the second scenario linked to the uncertain extent of the spillover effects. In both cases, the main impact would be felt through fuel prices (which quickly reflect rising market prices) and would fade over the course of 2027. In the case of the adverse scenario (+35%), the additional inflation would be close to 0.6 pp by early 2027, pushing inflation above 4.6%. A shock of this magnitude would, in fact, reduce businesses' ability to absorb rising costs, which would lead to price increases across a broader range of goods (food, industrial goods). Subsequently, the effect would only fade gradually.

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[3] Amsterdam-Rotterdam-Antwerp, Europe's main hub for the storage of raw materials.

Paris, 1st October 2026

EcoFlash

2027 Budget: Fiscal consolidation must now resume

The 2027 budget, adopted by the French Council of Ministers today, calls for a reduction in France's fiscal deficit to 5% of GDP in 2027 (down from 5.4% in 2026). This is a first step towards the multi-year fiscal consolidation needed to stabilise the public debt-to-GDP ratio. This ratio is expected to rise further in 2027 and until the deficit is reduced to 3% of GDP. Furthermore, given the increase in some expenditures (+0.6 pp of GDP for debt service and defence spending), the projected fiscal effort amounts to 1 pp. Nearly one-third of this effort would come from higher compulsory levies, and two-thirds from curbing government and social spending.

2027 Draft finance law: A step in the right direction. The government is forecasting an improvement in the fiscal deficit from 5.4% of GDP in 2026 to 5% in 2027. This projection is based on a credible growth assumption of 1% (see our analysis of French growth drivers). To achieve this target, compulsory levies (CL) are expected to rise to 44.2% of GDP, an increase of 0.3 pp (the same increase as in 2026, compared with +0.9 pp in 2025). The public spending-to-GDP ratio would decline by 0.2 pp to 56.9%. The effort required to reduce the deficit to 5% is greater than it appears. Indeed, some expenditures will increase (interest payments by 0.4 pp and defence spending by 0.2 pp). Consequently, the fiscal effort for next year amounts not to 0.4 pp, but to 1 pp of GDP. One-third of this will be achieved through increased CL, and two-thirds through spending cuts. Social spending will contribute, notably through the cancellation of EUR 3 billion in social contribution reductions for low-wage earners, as well as efforts totaling EUR 6 billion each in the areas of pensions and healthcare. Social spending shows the largest deviation from pre-COVID levels, with an increase representing 1.2 pp of GDP, nearly half of the gap between the 2026 budget balance and a 3% deficit. Government spending, excluding interest payments and defence, is expected to be frozen in nominal terms.

A compromise seems likely despite a tight schedule. The French National Assembly will start reviewing the budget on Tuesday 13 October. The government will need to ensure that a majority vote against the draft budget does not form. The current circumstances, including increasing sovereign bond yields and the upcoming presidential election, call for a consensus based on fiscal consolidation of the size proposed by the government. If Parliament does not pass a budget by the end of the year, the government will have to choose between implementing the government's budget proposal by executive order (only possible if there was no parliamentary vote) or through a special law (as in 2025 and 2026). A special law would enable tax collection, while the government and social security agencies could continue to issue debt. In this case, the 2026 budget would apply in 2027 (without indexation) until Parliament passes a budget in the first few weeks of the year. This must occur before the end of February (when Parliament's session ends, earlier than usual due to the presidential election).

The one-year postponement of the 5% budget deficit target has a measurable impact. The gap between the budget adopted for 2026 (deficit of 5% of GDP) and the actual budget outcome (deficit of 5.4%) is due to unforeseeable circumstances (the conflict in Iran and extreme drought). However, postponing the deficit target previously set for 2026 to 2027 comes at a cost: 1) the public debt-to-GDP ratio is expected to reach 121% in 2027 according to our forecasts (1 pp above our scenario with a 5% target in 2026 and a deficit reduced to 4.5% in 2027), and 2) the (upcoming) postponement to 2032 of the 3% of GDP deficit target (a commitment that most presidential candidates plan to make) rather than in 2029 (the government had committed to this with the European Commission in 2024). In 2032, the public debt-to-GDP ratio would stabilise at 124% of GDP (instead of 121.5% if the deficit had been reduced to 5% of GDP as early as 2026 and to 3% of GDP by the end of the decade).

Another delay in fiscal consolidation would further erode France's credibility. This new delay could stem either from a decision by the government formed in May 2027 to immediately implement part of its agenda, or from the enactment of a special law that would remain in effect until (just after) the likely legislative elections in June 2027 or for the entire year. If the government emerging from the elections were to resume fiscal consolidation only in 2028 (with a deficit of 5% of GDP that it projects to reduce to 3% by 2032), public debt would reach 126% of GDP by that date (a one-year delay in fiscal consolidation would result in an additional 2 pp of debt). This further delay could potentially undermine the credibility of the next government, given that budget targets were not met in three out of four years between 2023 and 2026, a situation that would be costly amid a sharp rise in long-term interest rates. Furthermore, a higher deficit would increase the amount of debt to be issued within an already tight schedule. The Agence France Trésor (AFT) has announced debt issuances totaling EUR 340 billion in 2027 (an increase of EUR 20 billion compared to 2026). This increase is due to the maturing COVID related debt (beginning in 2027 and continuing largely through 2030), while the amount of debt to be issued to finance the deficit will remain stable compared to 2026. A decrease from this last driver would be needed in subsequent years so that the AFT's debt issuance can stabilise.

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CHART
OF THE WEEK

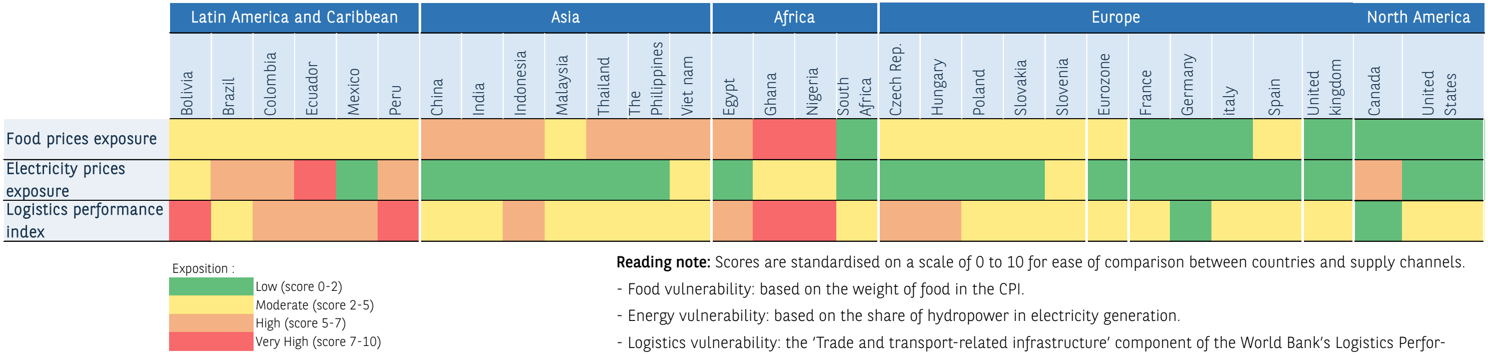
30 September 2026

EL NIÑO 2026-2027: MULTIPLE PRESSURES ON PRICES AND SUPPLIES

Hélène Drouot

The 2026-2027 El Niño climate event is expected to be one of the most intense in the last fifty years, with sea-surface-temperature anomalies potentially exceeding +3°C in the equatorial Pacific. According to the World Meteorological Organisation (WMO), El Niño is expected to persist until February 2027, with asymmetrical effects, as South-East Asia and northern Latin America will experience droughts, while southern Brazil and Argentina could see heavy rainfall. Above all, El Niño is compounding the effects of global warming and exacerbating existing extreme-weather events (droughts, floods and heatwaves). The economic effects of this climate shock mainly play out through three avenues: agricultural commodity prices, energy and logistics (*see heatmap*).

Vulnerabilities differ, depending on a country's dependence on food, energy and logistics



	Latin America and Caribbean						Asia							Africa				Europe											North America	
	Bolivia	Brazil	Colombia	Ecuador	Mexico	Peru	China	India	Indonesia	Malaysia	Thailand	The Philippines	Viet nam	Egypt	Ghana	Nigeria	South Africa	Czech Rep.	Hungary	Poland	Slovakia	Slovenia	Eurozone	France	Germany	italy	Spain	United kingdom	Canada	United States
Food prices exposure	🟨	🟨	🟨	🟨	🟨	🟨	🟧	🟧	🟧	🟨	🟧	🟧	🟧	🟧	🟥	🟥	🟩	🟨	🟨	🟨	🟨	🟨	🟨	🟩	🟩	🟩	🟨	🟩	🟩	🟩
Electricity prices exposure	🟨	🟧	🟧	🟥	🟩	🟧	🟩	🟩	🟩	🟩	🟩	🟩	🟨	🟩	🟨	🟨	🟩	🟩	🟩	🟩	🟩	🟨	🟩	🟩	🟩	🟩	🟩	🟩	🟧	🟩
Logistics performance index	🟥	🟨	🟧	🟧	🟧	🟥	🟨	🟨	🟧	🟨	🟨	🟨	🟨	🟧	🟥	🟥	🟨	🟧	🟧	🟨	🟨	🟨	🟨	🟨	🟩	🟨	🟨	🟨	🟩	🟨

Exposition :
🟩 Low (score 0-2)
🟨 Moderate (score 2-5)
🟧 High (score 5-7)
🟥 Very High (score 7-10)

Reading note: Scores are standardised on a scale of 0 to 10 for ease of comparison between countries and supply channels.

- Food vulnerability: based on the weight of food in the CPI.
- Energy vulnerability: based on the share of hydropower in electricity generation.
- Logistics vulnerability: the 'Trade and transport-related infrastructure' component of the World Bank's Logistics Performance Index, which measures the quality of the infrastructure required for transport and international trade.

SOURCE: IMF, WORLD BANK, EMBER, BNP PARIBAS CALCULATIONS

Agricultural commodity prices: volatility is causing tensions, with inflationary effects

In India and South-East Asia, droughts will affect harvests, pushing up prices (particularly for coffee, cocoa, rice and palm oil). Conversely, in southern Brazil and Argentina, heavy rainfall will boost soya and maize production, putting downward pressure on prices. According to the IMF, El Niño causes global food prices to rise by between 5% (in a typical episode) and 8% (very high intensity) year-on-year, with the full impact being felt 6 to 12 months after the climatic peak.

Therefore, for a given country, the weighting of food in its inflation index (CPI) plays a decisive role. As a result, all other things being equal, an 8% rise in prices adds around 1 pp to inflation when food accounts for 13% of the CPI basket (average for countries shown in green on the heatmap), 1.8 pp when this share reaches 22% (yellow), 2.8 pp at 35% (orange) and nearly 4 pp above 49% (red).

The risks are skewed to the upside, as the 8% estimate does not take into account additional losses linked to droughts, floods and other extreme events, while policy responses to shocks (stockpiling by importers and increased export restrictions) may amplify and prolong price pressures. The rice market between 2023 and 2024 illustrates this well, as the combination of rice-export restrictions imposed by India in July 2023 (in order to protect its domestic market) and of the drought in South-East Asia contributed to a 30% average increase in the price of rice over the course of 2023 and kept global prices high for several months after the end of the El Niño episode.

Energy production sector: heavy reliance on hydroelectricity leaves the sector vulnerable to a second supply shock

Droughts will reduce hydroelectric power generation in Latin America and South-East Asia. As a result, some countries will have to turn to other, more expensive solutions, such as fossil fuels, against a backdrop of already high oil and gas prices. This shift will increase global demand for oil and put pressure on prices which, according to the IMF, could persist for up to four quarters after the initial El Niño shock. For example, in Colombia, where hydropower accounts for 55% of electricity generation, a 30% drop in output (already seen in 2023-2024) could increase the cost of electricity generation by 15 to 20% (assuming that the cost of thermal power generation is twice as high as hydropower). In Ecuador (where hydropower accounts for 70% of electricity generation) and Vietnam (30%), electricity shortages are likely to disrupt local industries.

Logistics: transport infrastructure is another point of vulnerability

The final channel relates to disruptions to freight transport against a backdrop of already weakened value chains. The variable used in our heatmap is a proxy for economies' abilities to absorb a shock (particularly a climate-related one) affecting their transport infrastructure (for example, by maintaining traffic flow, diverting or reorganising transport flows). The heatmap highlights the particularly high vulnerability of Latin America. Its capacity to absorb a logistics shock is relatively limited, and there is significant exposure at a strategic chokepoint, the Panama Canal, through which approximately 5% of global trade passes. Low rainfall in the canal basin has already led to the number of daily transits being reduced in September 2026 (as in 2023–2024); further restrictions are expected in October (to 29 transits per day, down from 36 in August), which will increase transport times and costs. Europe is also being affected, with low water levels on the Rhine and the Danube already disrupting river transport and electricity generation.

Latin America and South-East Asia are hit hardest

Therefore, the economies most at risk are not necessarily those that will suffer the greatest climate shock, but those where multiple transmission channels converge, including a high weighting of food prices in inflation, reliance on hydroelectricity, fragile transport infrastructure and limited fiscal room for manoeuvre. Latin America and South-East Asia are home to some of the most vulnerable countries, particularly due to their dependence on food prices and hydroelectricity. Colombia and Ecuador are noteworthy for their high exposure to energy risk, while Ghana, India and the Philippines are some of the economies most vulnerable to a food shock. Latin America faces a combination of vulnerabilities, such as high exposure to food and energy price shocks in some countries, which are compounded by logistics risks, as currently illustrated by the restrictions on traffic through the Panama Canal.

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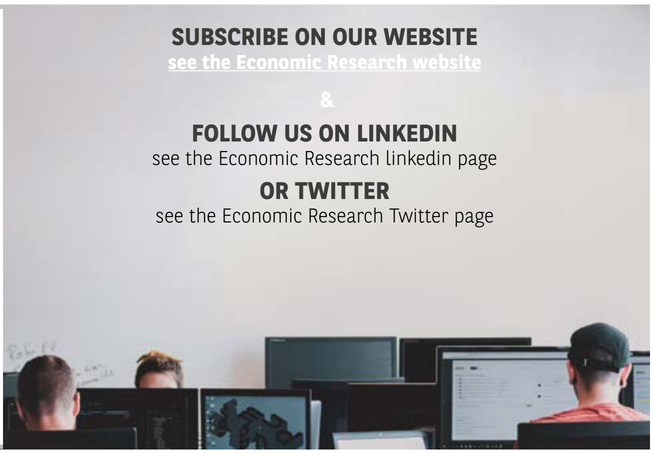

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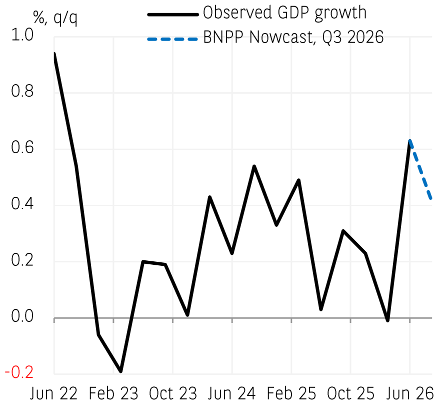
The scenario, forecasts and nowcasts of the Economic Research – 28 September 2026

NOWCASTS OF THE ECONOMIC RESEARCH

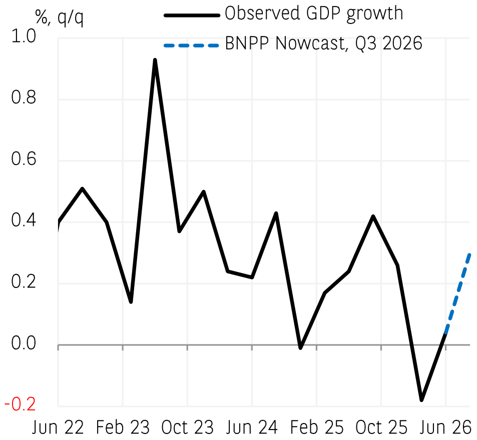
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to resilient growth in Q3 (+0.4% q/q) driven by the solid improvement in the PMI surveys.

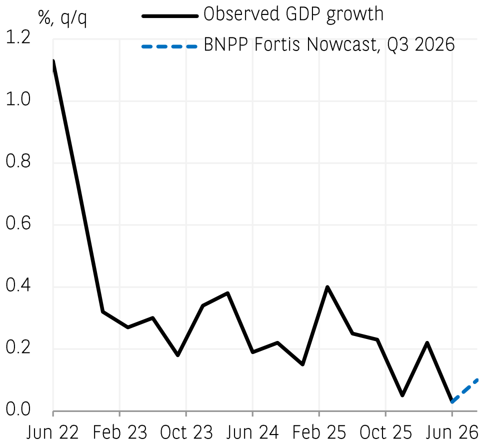
France



Source: Refinitiv, BNP Paribas

Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

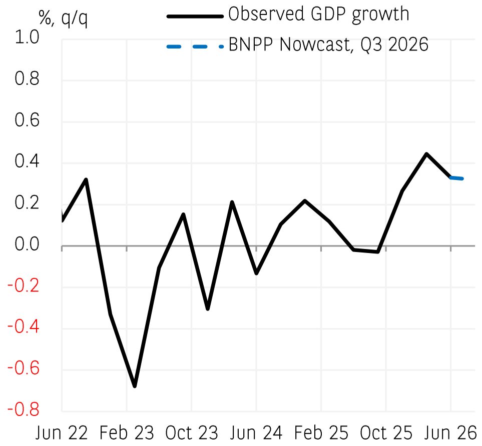
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

Germany



Source: Refinitiv, BNP Paribas

German growth is expected to remain stable in Q3 according to our *nowcast*, at +0.3% (following +0.4% in Q1 and +0.3% in Q2). It would remain supported by exports. Industrial production remains well-oriented this quarter according to the latest business survey results.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2.8	2.1	2.2	2.3	2.9	2.7	3.4	2.3
Japan	-0.2	1.2	1.0	1.2	2.7	3.1	2.0	2.5
United Kingdom	1.0	1.3	1.2	1.3	2.5	3.4	3.2	3.2
Euro Area	0.9	1.3	1.1	1.5	2.4	2.1	3.0	2.8
Germany	-0.5	0.3	1.1	1.3	2.5	2.3	2.7	2.6
France	1.1	0.9	0.5	1.0	2.3	0.9	2.4	2.3
Italy	0.6	0.7	0.9	0.8	1.1	1.6	2.9	2.1
Spain	3.5	2.8	2.6	2.2	2.8	2.7	4.0	3.9
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	6.7	6.9	4.6	2.1	5.0	4.6
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 14/09/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, % End of period		2026 Q3	2026 Q4	2027 Q1	2027 Q2	2027 Q3	2027 Q4
US	Fed Funds (upper limit)	4.00	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	-	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.50	2.75	2.75	2.75	2.75	2.75
	Bund 10y	-	3.50	3.40	3.30	3.25	3.20
	OAT 10y	-	4.43	4.40	4.25	4.18	4.10
	BTP 10y	-	4.38	4.33	4.18	4.08	3.98
	BONO 10y	-	3.98	3.90	3.74	3.65	3.55
UK	Base rate	3.75	4.00	4.00	4.00	3.75	3.50
	Gilts 10y	-	4.90	4.80	4.70	4.65	4.50
Japan	BoJ Rate	1.25	1.50	1.75	1.75	1.75	2.00
	JGB 10y	-	2.90	2.95	2.95	3.15	3.25

Exchange Rates End of period		2026 Q3	2026 Q4	2027 Q1	2027 Q2	2027 Q3	2027 Q4
USD	EUR / USD	-	1.14	1.14	1.16	-	1.20
	USD / JPY	-	163	163	163	-	163
	GBP / USD	-	1.34	1.36	1.38	-	1.43
EUR	EUR / GBP	-	0.85	0.84	0.84	-	0.84
	EUR / JPY	-	186	186	189	-	198

Brent Quarter Average		2026 Q3	2026 Q4	2027 Q1	2027 Q2	2027 Q3	2027 Q4
Brent	USD/bbl	87	81	78	79	81	80

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 14/09/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.4% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4,25% - 4,50%.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand has weakened significantly in recent months. Retail sales have barely increased, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.5% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.0% in 2026 (from 2.1% in 2025), before easing to 2.8% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.

FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.4% in 2026 according to our forecast, after 0.9% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth would ease slightly to 1.2% in 2026 (1.3% in 2025), before edging back to 1.3% in 2027. The economy has so far weathered both the energy price shock and domestic political volatility. That said, growth is expected to decelerate in the second half of the year, while inflation is set to remain stubbornly above target (averaging 3.2% in both 2026 and 2027), driven by higher energy prices and mounting second-round effects. In response, we expect the BoE to deliver a single *insurance* hike in November 2026, bringing the Bank Rate to 4.00%. The BoE is then expected to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-year.

JAPAN

Following 1.2% in 2025, Japan's GDP growth is expected to decelerate to 1.0% in 2026, before rebounding to 1.2% in 2027. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy’s overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of “adjustment in the degree of monetary accommodation” in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.

RESILIENCE TO SHOCK AFTER SHOCK

History tends to repeat itself in advanced economies. Once again, growth ultimately fell short of expectations by only a small margin in the first half of 2026, despite the conflict in Iran. As early as 2025, the impact of tariffs was less severe than feared. This is a sign that structural factors (notably AI, defence and electrification) are underpinning growth in these countries and are expected to continue to do so in 2027. However, there are significant risks to the economic outlook, primarily of a geopolitical nature, with a significant upside risk to inflation and interest rates. The other instance of history repeating itself concerns a period that those under 20 cannot have experienced: the period leading up to the 2008 crisis, echoes of which can be seen in terms of growth, inflation, the direction of monetary policy, and long-term interest rates.

Advanced economies are experiencing trends similar to those they faced nearly 20 years ago:

- **Growth remains resilient in 2025-26 despite shocks**, as it did in 2006-07, in the major advanced economies.
- **Inflation is above central banks' targets**: as in 2006-07, this calls for a tightening of monetary policy.
- **In Europe and the United States, long-term interest rates have returned to their 2006-07 levels (1996 in Japan)**: a challenging environment for public finances in a context where public debt ratios are significantly higher than those seen 20 years ago.

THE GLOBAL ECONOMY IN THE MIDST OF A GROWTH CYCLE

We are already well into 2026, and the picture so far is clear: global growth is proving resilient. Following a US tariff shock last year, growth is once again proving, for the time being, to be significantly less affected by the conflict in Iran than had been anticipated when it first broke out. Initially, however, there were fears that this new shock would hit growth even harder. As with the tariff hike in 2025, the impact was measurable, particularly in terms of consumer confidence. But in both 2025 and 2026, growth has also shown a degree of resilience.

The figures for the second quarter bear this out, despite the sharp rise in oil prices, the recessionary impact of which is not yet apparent. According to our forecasts, growth was expected to reach or exceed 1% in 2026 in the four major advanced economies (the Eurozone, Japan, the United Kingdom and the United States, where it exceeds 2%) for the second consecutive year. This had not happened (excluding the post-COVID catch-up period) since 2006-07. Growth figures are more moderate (particularly for demographic reasons), but the private sector is not (at present) showing the same excesses (at that time, the credit boom had preceded the worst crisis since the 1930s); although debt levels have recently risen in the US tech sector.

The driving force behind the current growth cycle is clear: artificial intelligence (AI). It is fuelling global trade and business investment in most countries. This is clearly the case in the United States, where business investment is growing strongly as investment plans in the US tech sector are implemented.

However, the world's major economies are currently engaged in a broader push to expand their capital goods investment. Alongside the ongoing development of services—particularly digital services—we have seen a rebound in industrial production in most countries since early 2025. The leading sectors are primarily technology equipment, machinery, aeronautics, defence and their essential inputs (energy and metals). This trend is evident everywhere, including in Europe, and is becoming entrenched over the long term, with an improvement in business climate indicators, particularly new export orders. Growth is therefore expected to strengthen further in 2027, particularly in the Eurozone, where German investment plans are set to gather momentum and whose spillover effects will have a greater impact on the economy.

Growth is more resilient to shocks than initially anticipated

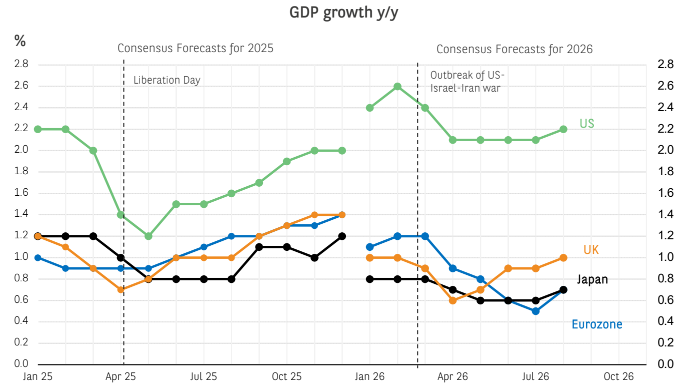

CHART 1

SOURCE: CONSENSUS FORECASTS, BNP PARIBAS

Growth is expected to pick up in 2027

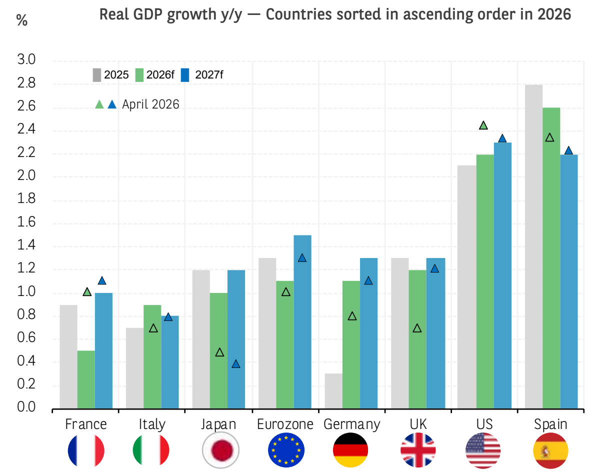

CHART 2

SOURCE: LSEG, BNP PARIBAS

However, not all sectors are experiencing the same momentum. This is particularly true for the sectors that depend on household consumption, which has shown mixed trends. Our observation that consumer spending is more buoyant in the United States than in Europe was confirmed in 2026, and the outlook does not point to a change in this ranking.

While European and US households are experiencing more or less the same energy price shock, inflation remains higher in the United States. But this has not prevented consumer spending from keeping pace, primarily because it is driven by the wealthiest households, who are less sensitive to inflation than to the wealth effect. Furthermore, while the savings rate remains high in the Eurozone, US households have been drawing down their savings. This is also true of British households, which explains why the UK has seen slightly stronger growth since the beginning of the year. In Japan, government spending has partially offset energy inflation (while other countries are doing so to a much lesser extent than in 2022), which has supported consumption growth.

However, these buffers—reduced savings or fiscal support—have their limits when shocks persist. The two major current conflicts (Iran and Ukraine) are far from being resolved, and their impact is continuing. This persistent geopolitical risk and its implications for inflation represent a significant headwind to the growth outlook for 2027.

HIGHER INFLATION CALLS FOR MONETARY TIGHTENING

Inflation is exceeding the target set by three of the four central banks examined in this publication, which is another similarity (albeit with different underlying causes) with the 2006-07 period. Japan is the exception, as government support measures for households are temporarily holding back inflation.

Apart from the Bank of Japan, which is engaged in a long-term normalisation process, no central bank was expected to raise its key rates in 2026. But they are now being prompted to do so for reasons that vary from one region to another. The first is the conflict in Iran and the resulting rise in oil prices, which triggered a rebound in energy inflation from the second quarter onwards. However, since the conflict was not resolved by the memorandum of understanding signed in June, and given that the subsequent drop in oil prices proved short-lived, inflation is expected to rise again. The rise in gas prices is expected to exacerbate the impact, particularly in Europe, where inventories are being replenished ahead of winter. Electricity prices are expected to follow suit in most countries, but at a more moderate pace than in 2022. Indeed, gas is now used less to generate electricity than it was at that time (thanks to the expansion of renewable energy), and to an even lesser extent in France.

There is a significant risk that energy inflation will spread further to other components of inflation in the future, and inflation expectations could eventually reflect this. This is why the European Central Bank has already raised its key interest rate twice (in June and September) and, according to our scenario, will likely do so again in December. For the same reason, we expect the Bank of England to raise its policy rate in November. Although the cap on energy prices was maintained for a long time, it has now been raised. As a result, inflation is expected to rise between now and the end of the year. The aim will then be to prevent second-round effects.

Inflation can also be a sign of (too much) economic strength. In the United States, it has exceeded the 2% target since 2021. The main argument in favour of a new cycle of rate hikes (following the one in 2022-2023) lies in the current resilience of growth and the improving labour market. The Federal Reserve (Fed) must balance two equally important objectives: maximum employment and price stability. However, unlike in the 4th quarter of 2025, when the decline in job creation justified monetary easing (by 75 basis points), the current sharp rebound in job creation completely reverses that analysis. According to our forecasts, the unemployment rate is expected to decrease in the coming months, which pushes back the prospect of a decline in core inflation. This situation persists due to both supply constraints (over which a central bank has no control) and excess demand (which the Fed can, however, mitigate). Consequently, the Fed raised its key rate in September and is expected to implement two further rate hikes between now and January 2027.

Inflation is expected to remain above the central banks' target in the coming months

Consumer Price Inflation (y/y) — Countries sorted in descending order in 2026

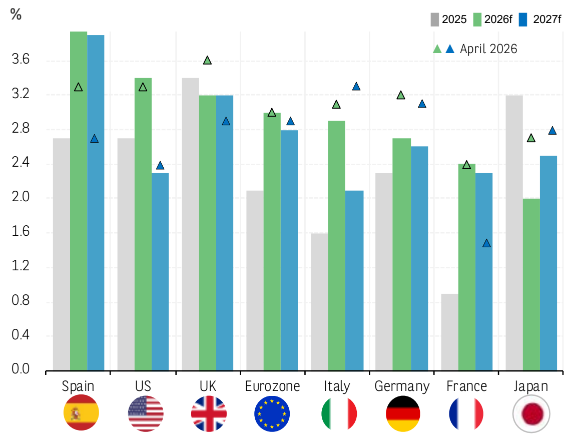

CHART 3

SOURCE: LSEG, BNP PARIBAS

In Japan, finally, while headline inflation has been brought down by government support measures, core inflation remains significant. Wage pressures are mounting against a backdrop of labour shortages. The Bank of Japan is therefore being forced to accelerate the pace of its monetary normalisation.

In all these regions, inflation is currently expected to peak in Q4 2026 or Q1 2027. It is against this backdrop of temporary inflation that rate hikes could also come to an end by that time (excluding Japan). However, this assumes that once the energy shock—the course of which remains uncertain—subsides, inflation will fall. The effects of El Niño, which are still difficult to gauge at present, could take over. Inflation would then remain above the central banks' target for a longer period. Under this scenario, rate hikes would go further than is currently envisaged.

THE RISE IN LONG-TERM INTEREST RATES: A FACTOR THAT WILL WEIGH ON PUBLIC FINANCES

Monetary policies have also to offset the inflationary effects of fiscal policy, particularly in the United States (where the budget deficit is high and shows no signs of shrinking) and in Japan (where the new government is pursuing pro-growth policies). In Europe, fiscal policy is playing a much smaller role than it did in 2022. While the stimulus measures implemented at that time did help reduce the inflation rate in the short term (by nearly 2.5 pp in France, for example), by keeping demand at a high level, they delayed disinflation and increased the scale of the monetary tightening required.

The outbreak of the conflict in Iran acted as a catalyst: it triggered a rise in long-term rates (which had been trending downwards at the start of the year) to levels close to those of 2006-07. This rise is widespread, but its causes vary. Inflation expectations appear to play a more significant role in the Eurozone, whereas the rise in real interest rates seems to be the main factor in the United States and Japan.

Higher inflation and more resilient real growth than feared point in the same direction: stronger than expected nominal growth that is likely to be sustained. However, in the long term, high nominal growth tends to drive up nominal interest rates (as it is a positive sign of more profitable investment projects), in contrast to the problem of secular stagnation raised in the 2010s (which combined low nominal growth with low nominal interest rates).

The other issue is the high level of fiscal deficits (too high for a period of growth), with various situations. In several countries, the public debt-to-GDP ratio continues to rise. In the United States, deficit reduction does not appear to be a priority, to the extent that it is expected to remain above 6% of GDP at the very least until the end of Donald Trump's term of office (with little hope that the mid-term elections will significantly alter this trend). In the United Kingdom and France, fiscal consolidation has begun, but it is being hampered by the simultaneous increase in certain areas of expenditure (debt servicing, defence and healthcare, due in particular to an ageing population), which is slowing the pace of consolidation. In Germany, the implementation of investment plans is leading to a widening of the deficit. While this does not pose a sustainability problem, it does result in an increase in annual debt issuance. In Japan, the budget deficit is kept in check by interest payments that remain low, as the rise in interest rates is recent and the average maturity of the debt is high (10 years). However, expansionary fiscal policy could pose further problems in terms of debt dynamics if it were to continue through the end of the decade. In Italy and Spain, fiscal consolidation has been sufficient to stabilise the public debt-to-GDP ratio (and even to reduce it in Spain), but the high level of Italy's debt service it vulnerable to a rise in interest rates.

In all these countries, the fiscal arithmetic is simpler today than it will be in 2030. Indeed, in most cases, only half of the debt was issued after 2022 (that is, after the end of the zero-interest-rate period). The debt service has so far only partially risen, except in the United States, where most of the increase has already occurred due to a shorter average debt maturity (6 years). This means that, for all countries combined, the rate of GDP growth remains higher than the average interest rate paid on public debt (or the effective interest rate).

By 2030, the effective rate will have risen and caught up with GDP growth. As a result, in most cases, the debt service will have returned to the level as a share of GDP seen in the early 2000s. In order to stabilise public debt-to-GDP ratios, primary balances will need to have improved. This will even require the generation of primary surpluses, particularly in Italy (which is already achieving this), France and the United Kingdom. This is a crucial shift that governments will need to introduce as early as the 2027 budget; otherwise, they risk postponing the stabilisation of their public debt-to-GDP ratio once again.

Article completed on 17 September 2026

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UNITED STATES

A SHOCK-RESISTANT EXPANSION

US growth remains resilient despite successive shocks. According to our forecasts, it is expected to reach 2.2% in 2026 and 2.3% in 2027. Its main driver is still investment in artificial intelligence (AI), which has remained entirely unaffected by the energy crisis. The labour market has seen a marked improvement in job creation and a fall in the unemployment rate. Core inflation remains stubbornly high and above the Federal Reserve (Fed)'s target. Against this backdrop, the Fed has begun a hiking cycle in September, which, according to our scenario, would bring the Fed Funds target to 4.50% (upper limit) by Q1 2027. At the same time, long-term rates are under upward pressure.

THE ENERGY SHOCK IS NOT HOLDING BACK GROWTH

Driven by AI-related investment, US growth is holding up despite rising energy inflation. We forecast GDP growth at 2.2% in 2026 and 2.3% in 2027 on an annual average basis. The AI-related investment cycle[1] (+14.8% y/y in H1 2026) is expected to continue, accompanied by potential productivity gains. However, other private-investment segments (including residential property) remain sluggish. In addition, the rising cost of capital could accentuate its '**K-shaped**' profile. Household consumption is expected, on the whole, to benefit from the rebound in job creation and to remain above 2% y/y through to the end of 2027. In H1 2026, it held up against resurging inflation due to an average year-on-year increase of 11.5% in tax refunds and a savings rate standing at its lowest level since 2022 (2.8% in Q2).

RECORD CAPITAL-RAISING DRIVEN BY AI

This year, AI-related investments are driving massive capital-raising by companies through loans, bond issues or share placements. This trend is set to continue given the seemingly colossal scale of the funding requirements, even as risk premia in the bond market begin to widen. According to their statements, the five tech giants could invest nearly USD 900 bn this year and over USD 1,000 bn next year—more than double the figure for 2025. Spurred on by regulatory easing, the major US banks have announced that they will mobilise significant resources to support projects considered strategic for the United States (AI, defence, energy and infrastructure). While funding for the AI boom appears unaffected by rising long-term interest rates, these latter are likely to continue to weigh on household demand for mortgages. Since the start of the conflict in the Middle East, 30-year mortgage rates have risen by 78 bp (to 6.76% at the start of September). Conversely, consumer lending remained buoyant in H1 2026 and is supporting household spending.

TWO-SPEED GROWTH IN INDUSTRY

Industrial production rebounded slightly in 2025 (+1.1%), driven by AI and aerospace. We forecast an acceleration to +1.5% in 2026 and +2% in 2027. Investment in AI is bolstering the electronics sector, while the (civil and military) aerospace sector is rebounding as order backlogs are cleared and defence requirements rise. Conversely, sectors exposed to rising tariffs (in particular, the steel, aluminium and automotive sectors) are still on the back burner, contrary to the objective of these measures. This positive momentum in industrial production, while concentrated, is expected to continue, bolstered by the recovery in business sentiment. The ISM Manufacturing Index has been in expansionary territory since early 2026, despite ongoing pressures on prices and supply chains.

Growth and inflation

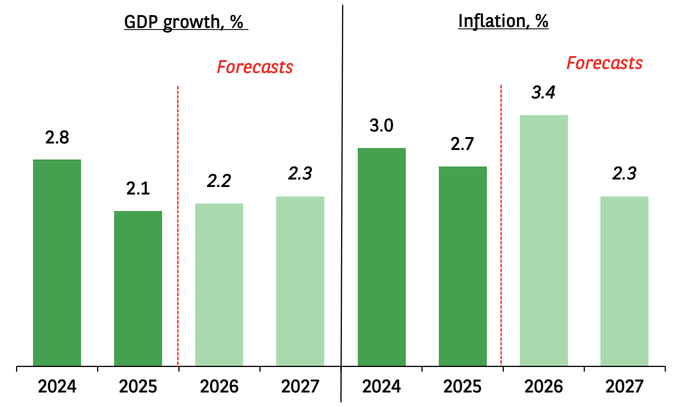

CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

Industrial production is being driven by the AI cycle and the aerospace sector

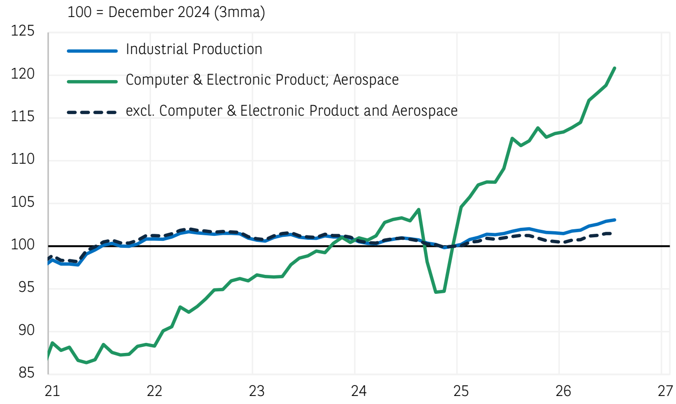

CHART 2 SOURCE: FEDERAL RESERVE, BNP PARIBAS

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[1] This includes: energy and communications; data centres (facilities); IT equipment and peripherals; communication equipment (equipment); software; and research and development (intellectual-property products).

LABOUR MARKET: A LOW UNEMPLOYMENT RATE ON A DOWNWARD TREND

Job creation (non-farm payrolls) has rebounded, averaging +80,000 per month since the start of the year, compared with +10,000 in 2025. This growth is no longer limited to the healthcare sector. Excluding healthcare, job creation is up by an average of +38,000 in 2026, compared with -47,000 in 2025. Manufacturing and construction, two sectors driven by AI, are contributing to this rebound. At the same time, the labour force has not grown since January 2025 due to the decline in the foreign-born workforce (down 4.2% cumulatively over the period). Excluding the impact of COVID-19, the labour force participation rate is at its lowest level since the 1970s, standing at around 61.5%. The rebound in labour demand and persistent pressure on the labour supply have brought the unemployment rate down to 4.1% in August 2026 (a 0.3 pp fall since the start of the year). The jobless rate is expected to fall to 3.9% at the end of 2027 (4.2% corresponds to full employment, according to the CBO) thanks to a job creation rate of around 40,000–60,000 per month.

INFLATION: STRUCTURALLY ABOVE TARGET

The rise in oil prices has triggered a rebound in CPI inflation. The contribution from the energy component (+1.2 pp) largely accounts for the rise in inflation since February. A slowdown was seen (from +4.2% to +3.4% y/y) between the May peak and August. This is expected to continue due to base effects on energy prices. We anticipate the trough to be +1.8% y/y in Q2 2027 before a stabilisation at around +2.3% y/y later in the year.

Meanwhile, core inflation is expected to remain above the Fed's 2% target, and above +2.5% y/y in 2027. This highlights the structural nature of inflation, beyond short-term fluctuations linked to energy. Non-housing services are expected to show significant inertia, with inflation hovering at around +3% y/y by the end of 2027. The potential for disinflation also appears limited for housing-related services, as the rise in rents shows no signs of abating. Finally, inflation on non-energy goods is slowing as the effects of tariffs fade. However, the AI cycle is exerting upward pressure through the general rise in the cost of electronic goods.

FED: GREEN LIGHT FOR RATE HIKES

The FOMC has embarked on a cycle of rate increases. The Fed Funds target was raised to 4.0% (+25 bp) at the September meeting, and we anticipate two further rises that would bring the policy rate to 4.5% in January 2027. These three rises (made possible by reassuring developments in employment and economic activity) are intended to reverse the three cuts in 2025 adopted to counter the 'downside risks' to the labour market at that time. As a result, the committee can recalibrate its policy towards 'price stability' and, through its interest rate decisions, reflect the priority given to this objective in its communications. The risks point towards further monetary tightening: in our baseline scenario, core inflation would remain sticky and the fall in unemployment would give the FOMC room for manoeuvre to raise rates further.

PUBLIC FINANCES: UNDERLYING DETERIORATION AND PRESSURE ON LONG-TERM RATES

According to our estimates, the federal deficit is set to widen by 0.7 pp to -6.6% of GDP in 2026 (by 0.4 pp to -3.1% for the primary deficit), weighed down by falling tariff revenue (refunds of tariffs already collected and lower-than-expected receipts). In 2027, the end of this one-off effect is expected to lead to a marginal improvement to -6.3% (to -2.8% for the primary deficit). The growing burden of interest payments (3.5% of GDP in 2026 and 3.6% in 2027, following 3.2% in 2025) and the conflict in Iran (affecting the military budget) are weighing on the budget balance and federal-debt dynamics. Federal debt is still on an upward trend, with no particular change in direction, exceeding 100% of GDP (101.9%, up 3.3 pp, in 2026, and 103.5% in 2027). It is expected to reach 110% by the end of the decade against a backdrop of budget deficits of close to 6% of GDP, assuming fiscal policy remains unchanged.

Furthermore, the mid-term elections (which see the entire House of Representatives and one-third of the Senate up for re-election) could result in a divided Congress or in both chambers changing hands to the Democratic Party. Should the former occur, this would increase the risk of a legislative deadlock, while the presidential veto would limit the Democrats' ability to influence fiscal policy in the latter scenario.

Against this backdrop, pressure on the bond market is likely to continue in the coming months. Treasury issuance is rising, fuelled by increasing spending requirements (in areas such as AI, defence and supply chains). At the same time, **shifts in investor demographics** are increasing demand volatility, and issuances by companies in the artificial intelligence sector are intensifying competition for capital. We anticipate a 10-year yield of 4.95% in Q1 2027, before a slight easing brought about by Fed rate rises, which would lend credibility to the price-stability objective. However, according to our forecast, 10-year yield is expected to remain close to a 20-year high, at 4.80% in Q4 2027.

THE US RELIES ON IMPORTS FOR ITS GROWTH

The US trade deficit has recently started to rise again. According to our forecasts, it is expected to account for the same proportion of GDP in 2026 as it did in 2024 (4.4%). This trend is driven by imports of AI-related capital goods, which are set to rise from 1.2% to 2.1% of GDP between 2022 and 2026. Investment in AI is, in fact, import-intensive (*Chart 2*), which dampens its positive impact on growth and highlights the US's dependence on foreign supplies in a cycle that it is nevertheless spearheading.

The additional tariffs have failed to reverse the trend in the trade deficit. Furthermore, the IEEPA tariffs struck down by the Supreme Court were replaced, in July 2026, by 'Section 301' tariffs (forced labour) ranging from 10% to 12.5%. These tariffs target 60 countries and have been introduced on top of existing sector-specific tariffs (steel, aluminium and automotive). Following these adjustments, the statutory rate (measured against the 2024 import structure) remained slightly above 10%. The main risks relate to potential new sector-specific tariffs and the renegotiation of the USMCA.

Article completed on 17 September 2026

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EUROZONE

GROWTH ON TRACK DESPITE THE TURBULENCE

Growth was stronger than expected in Q2 and is set to strengthen further in the coming quarters. According to our forecasts, it will reach 1.5% in 2027 after 1.1% in 2026. This growth is expected to be driven by investment and its knock-on effect on exports. On an annual average basis, inflation is expected to stand at 3% in 2026 and 2.8% in 2027, peaking at the end of 2026. The ECB is expected to continue its monetary tightening. At this stage, a single further rate rise, aimed at keeping inflation expectations anchored, is expected in December. The impact of rising interest rates (key policy rates and market rates) on public finances and private sector borrowing conditions will be worth monitoring.

GROWTH: BEYOND THE SHOCKS, A RESILIENT MOMENTUM

Growth in the Eurozone remained robust in the first half of 2026, at 0.25% q/q in Q1 and 0.33% q/q in Q2, excluding Ireland (where economic activity is volatile). It was driven by Germany, where signs of a recovery are becoming clearer (*see* Germany). Our baseline scenario forecasts growth of 1.1% in 2026, followed by 1.5% in 2027 on an annual average basis. This growth is expected to be driven by the strengthening of trends already underway in public and private investment (particularly in defence and AI) and in exports (trade in services and intra-zone trade in goods). Household consumption is likely to be resilient too. According to our forecasts, job creation would continue to underpin household incomes, thereby cushioning the impact of inflation.

A NEW LEASE OF LIFE FOR INDUSTRY

The Eurozone is undergoing one of the most profound industrial transformations in its history. This is giving rise to divergences between key sectors but, above all, to new drivers of growth whose effects are becoming increasingly apparent (see our analysis). Indeed, the signs of an economic recovery are growing stronger. Business sentiment indicators show a marked improvement in the economic outlook across most sectors (*Chart 2*), driven primarily by electronics (AI, digitalisation), the automotive sector and aerospace. European industry is thus benefiting from strong demand for capital goods; a structural trend that will continue to be fuelled by ongoing investment cycles in AI, defence and electrification. The introduction of minimum European content quotas in the draft law on the industrial accelerator, together with the Commission's intention to tighten the criteria for access to European public procurement markets, will provide additional support for European industry in the longer term.

FOREIGN TRADE: A REPOSITIONING THAT IS PAYING OFF

Following a decline in 2026, linked to rising energy import costs, the trade surplus is expected to rise to around 3.0% of GDP in 2027 (of which 2% of GDP for goods and 1% for services). Growth in European exports has slowed compared with its pre-Covid trend and is being hampered by the decline in Chinese and US markets. However, Eurozone exports in volume rose significantly in Q2 (+3.4% q/q).

More importantly, since Liberation Day (April 2025), Eurozone countries have found significant sources of growth amongst other European partners, which has enabled them to cushion the decline in exports to certain third markets. This is evident in exports to the rest of the EU, EFTA countries (Switzerland in particular) and, to a lesser extent, the United Kingdom, Ukraine and the Balkans (*Chart 3*). The momentum of intra-European trade therefore remains very strong. It is expected to strengthen further with the anticipated investments in defence, AI and electrification.

Growth and inflation

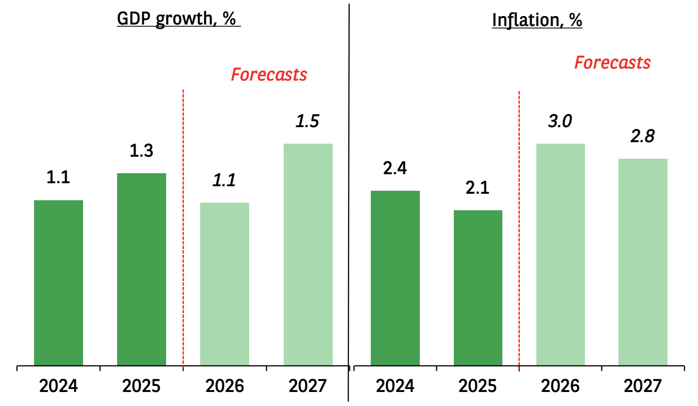

CHART 1

SOURCE: BNP PARIBAS GLOBAL MARKETS

A broader recovery in industrial activity is on the horizon

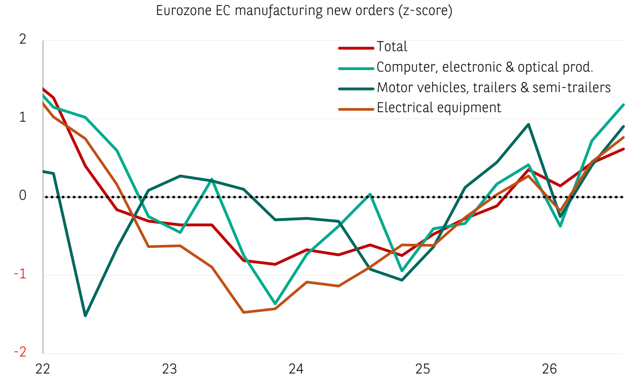

CHART 2

SOURCE: EUROPEAN COMMISSION, BNP PARIBAS

FINANCING: FINANCIAL CONDITIONS ARE EXPECTED TO REMAIN TIGHT

Financial conditions in the Eurozone remained tight in Q2 2026, according to indices calculated by the ECB (including the BIG [Broad Intermediation Gauge]). They are expected to tighten more significantly in the second half of the year: i/ the rise in long-term bond yields, which has accelerated since the outbreak of the conflict in Iran, is expected to continue; and ii/ the ECB will continue its monetary tightening (+25 bps

Exports to Europe help offset weaknesses in other markets

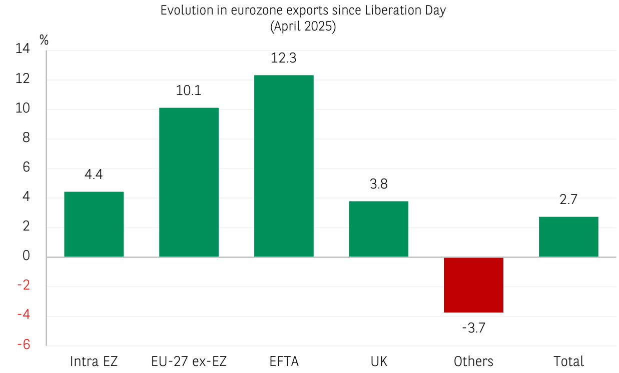

CHART 3 SOURCE: EUROSTAT, BNP PARIBAS

in Q3, then in Q4). For the time being, the debt burden is still weighing only moderately on public finances due to the long average maturity of countries' debt (8.2 years on average in the Eurozone in July), but this burden will increase by 2030.

On the corporate front, the rise in interest rates has remained contained (+2 bps since January 2026, reaching 3.9% in July), which has contributed to the strong growth in new investment loans (cumulated over one year, +9.1% y/y in July compared with 15.3% y/y in September 2025). By contrast, cumulative net debt securities issues over one year remained stable in July, whilst cumulative net issues of listed shares over one year halved month on month.

Rising interest rates will continue to hamper new variable-rate home loans to households (around 65% of new lending) more significantly than fixed-rate loans, for which rates stood in July at 3.69% (+4 bps m/m) and 3.36% (+2 bps m/m) respectively. New home loans, which are stable in 2026 on a cumulative over one year basis, are therefore unlikely to see any improvement. A fall in real-estate transactions could weigh on new consumer credit through a reduction in expenditure on home furnishings and renovations, whereas consumer credit has been fairly buoyant so far (year-to-date, +5.2% y/y in July compared with +1.4% y/y in January).

LABOUR MARKET: RESILIENCE YET TO BE CONFIRMED

Employment in the Eurozone rose again by an average of 0.1% q/q in the first half of 2026, driven by Spain and Portugal. Given the growth outlook in these two countries, this momentum is likely to continue, whilst business sentiment surveys in Germany suggest that employment is beginning to stabilise. Nevertheless, employment levels are plateauing (France, the Netherlands) or even falling in other countries (Austria, Finland), which is likely to slow the decline in the Eurozone unemployment rate, meaning it is expected to remain close to current levels in 2027. Furthermore, second-round effects of the rise in inflation on wages cannot be ruled out: the ECB's wage tracker suggests wage growth of close to 3% by summer 2027 (2.9% y/y in June 2027, compared with 2.6% in September).

INFLATION: A PEAK EXPECTED IN LATE 2026

Changes in wage dynamics will be a key factor in the inflation outlook for 2027, whilst energy price rises are picking up again, driven by the conflict in the Middle East. This rise is even sharper than in the spring for gas (linked to restocking ahead of winter) and is likely to feed through to electricity prices in several countries. We therefore anticipate inflation peaking at 3.7% y/y in Q4 2026, before easing as the energy component falls. On an annual average, headline inflation is expected to stand at 3% in 2026 and then at 2.8% in 2027.

At this stage, the pass-through of rising energy prices to other components of the consumer price index, particularly services, remains limited. The alternative core indicators monitored by the ECB, including the PCCI (Persistent and Common Component of Inflation, 2.1% in July), remain close to the 2% target. Core inflation, however, is expected to peak two months later than headline inflation (3% in March 2027).

Inflationary risks are nevertheless tilted to the upside. These are linked to food prices, which are expected to be affected by the energy shock and weather conditions (summer drought, El Niño); they could also stem from a delayed impact of energy price rises on underlying inflation. The rise in prices of energy-dependent inputs (notably chemicals and plastics) and those linked to the AI sector is expected to be sustained. Growth, which we expect to remain robust over the coming quarters, will also fuel underlying inflationary pressures.

MONETARY POLICY: TIGHTENING WITHOUT SLOWING (GROWTH)

Following two 25-basis-point rises (in June and September), we expect a third in December, which would bring the deposit facility rate to 2.75%. It would then be in slightly restrictive territory (we estimate the upper bound of the neutral rate to be 2.5%). This rise would be aimed primarily at anchoring inflation expectations and, consequently, at curbing the pass-through effects of inflation. Monetary tightening would therefore remain limited. Indeed, the overshoot of the inflation target would be temporary, and the operational framework adopted by the ECB in June 2025 allows it to tolerate this, provided it remains brief. However, it cannot be ruled out that the ECB might take further action if the decline in inflation proves slower than expected.

PUBLIC FINANCES ARE CONTINGENT ON RISING INTEREST RATES

The fiscal impulse in the Eurozone is expected to be clearly positive in 2026 due to the rise in defence and infrastructure spending in Germany. This will contribute to a widening of the country's primary deficit (from +0.9 pp of GDP to 2.8%, according to our forecasts). The improvement in public finances is expected to stall in both France and Italy, at least in 2026, due to the impact of inflation on the debt burden *via* index-linked bonds. This trend is expected to reverse in 2027 with less expansionary fiscal policies. Nevertheless, the increase in the debt service burden would fuel a further rise in the public deficit, which would thus reach around 3.3% and 3.5% of GDP in 2026 and 2027 respectively (compared with 2.9% in 2025). Against this backdrop, the Eurozone's public debt-to-GDP ratio is projected to exceed 90% of GDP in 2026 and reach 93% of GDP in 2027, according to our forecasts.

Article completed on 15 September 2026

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AN EXPORT-DRIVEN RECOVERY

Growth, which began in the fourth quarter of 2025, gained momentum in the first half of 2026. This momentum should continue, with expected growth of 1.1% in 2026 and 1.3% in 2027. In the short term, the main driver will still be exports, particularly to Europe, which will contribute to restructuring industry. The impact of investment plans is expected to strengthen in 2027, while domestic demand is likely to remain constrained by inflation (2.7% in 2026 and 2.6 % in 2027), which will weigh on purchasing power. Fiscal stimulus and structural reforms are expected to continue to support growth. However, the rise in the deficit and debt levels means that the increase in long-term interest rates observed so far is mostly structural.

A RETURN TO GROWTH DRIVEN BY EXTERNAL TRADE

The first half of 2026 confirms the rebound in growth (0.4% and then 0.3% q/q in Q1 and Q2). This growth is driven by foreign trade (contributions from net exports of +0.8 pp and +0.2 pp, respectively, with +0.9 pp on average coming from exports and -0.4 pp from imports), following two years of contracting exports, particularly those to Europe (*see below*). The increase in public expenditure (***see our analysis***) reflects the implementation of investment plans, with the multiplier effect on growth of these plans expected to increase.

In the second half of the year, growth is expected to remain robust, pushing the annual average to 1.1% in 2026 (following 0.3% in 2025). Exports are set to remain the main driver, thanks to continued strong European demand, which is compensating for domestic demand that remains sluggish. Growth of private consumption will, in fact, remain subdued by energy inflation. Business investment is expected to be driven by dynamic sectors (defence, technology equipment and aerospace), which would limit the impact of rising interest rates.

In 2027, growth (1.3%) would be based more heavily on domestic demand, with greater spillover effects from investment plans and a likely recovery in household consumption (following a peak in inflation in Q1 2027). At the same time, external demand is expected to remain strong, but its contribution to growth would be lower than in 2026. This is because the stronger growth in domestic demand would stimulate imports to a greater extent.

INDUSTRY IS BENEFITING FROM AI INVESTMENT AND INTRA-EUROPEAN MOMENTUM

The business climate in industry improved significantly at the start of the second half of the year (the manufacturing PMI has risen by 4 points since May, reaching a four-year high in August). New export orders have even reached their highest level since early 2022. These positive signs put into perspective the risks associated with the summer's climate events (heatwaves and the historic drought on the Rhine), which disrupted industrial activity and river transport.

Since early 2025, output in some sectors has rebounded, particularly in the electronics sector (+6.4 %). Manufacturers of electrical equipment, as well as IT and electronics firms, are benefiting in particular from the wave of investment in data centres and defence. If this momentum continues, it could offset some of the losses recorded in the automotive and chemicals sectors, which have both seen the sharpest falls in output since late 2017 (-12.8% and -19.4%, respectively).

The sustained increase in military spending on medical technologies and robotics across Europe is driving a restructuring of the intermediate-goods sector. Companies exposed to struggling sectors are gradually turning towards these new markets. However, this reorientation is not fully offsetting the loss of historical markets.

Growth and inflation

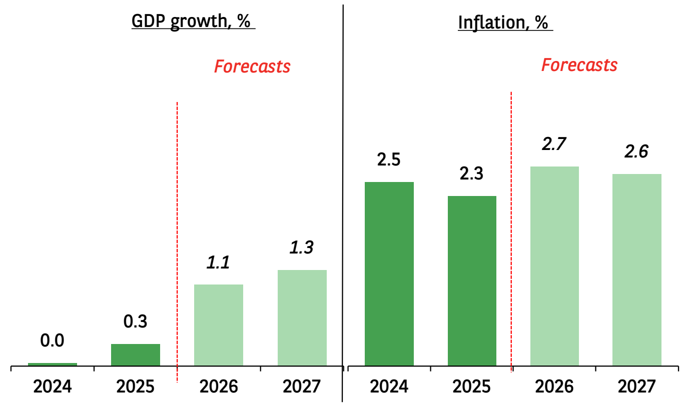

CHART 1

SOURCE: BNP PARIBAS GLOBAL MARKETS

The rebound in German industry is also being fuelled by European demand. While exports to China (-12.7% YTD in July) and the United States (-1.5%) have certainly continued to fall, exports to a number of European Union countries have risen sharply, particularly in Southern and Central Europe. This shift is benefiting machinery and transport equipment (47.6% of goods exports, up 20.5% since January 2025) in particular. We expect this momentum to continue in 2027, creating a virtuous cycle that reinforces European growth.

A STAGNANT LABOUR MARKET

The situation in the German labour market has stabilised over the past several quarters, but it is not yet showing signs of improvement. The unemployment rate is shifting relatively little (4% in November; +0.2 pp y/y) and remains below the Eurozone average (6.4%). Falling employment in the manufacturing sector (-0.6% since Q4 2019) is offset by an increase in the services sector (+0.9%). Nevertheless, the latest business climate surveys suggest that the situation may stabilise. The gradual retraining of the workforce in struggling sectors is helping to meet some of the needs arising from new investment.

Generally speaking, in the longer term, pension reform should support the labour supply. As a matter of fact, it will help to increase the number of workers gradually, notably through the phasing out of early retirement at 63 and the indexing of the retirement age to life expectancy from 2032 onwards.

Although the unemployment rate is set to remain low, wage growth would remain limited, particularly in 2026, as negotiated wages will offset inflation to a lesser extent than they will in 2027. The planned increases in the minimum wage (+8% in 2026 and +5% in 2027, to EUR 14.6 per hour), significant as they are, will have little knock-on effect on the rest of the wage scale.

PURCHASING POWER CONTINUES TO BE SQUEEZED BY HIGH INFLATION

Wage purchasing power is expected to fall further in 2026, having already lost 4 pp since 2022, before stabilising in 2027. The reduction in income tax (by EUR 10 billion, or 0.2% of GDP), which will come into force next January, is also expected to support the disposable income of low- and middle-income households.

Inflation has been rising again since the start of the summer and is expected to remain above 2% throughout our forecast horizon. It has accelerated since June (+0.5 pp to +2.9% y/yin August) driven by a further rise in energy prices (+6.7 pp to +9.4% y/y), while core inflation remains stable at +2.6%. From spring 2027 onwards, the expected easing in energy prices (particularly gas prices) should bring down inflation. However, this decline will be limited by the inflationary effects of the wider roll-out of investment plans, as well as by the expected rise in food prices.

This inflation, which has been structurally higher since the onset of the 2022 energy shock, will weigh on household consumption. Furthermore, German households' propensity to save remains high by international standards (with a net balance 15 points higher on average over the last ten years, according to the European Commission), which is also weighing on their consumption.

FISCAL STIMULUS CONTINUES

After recording a public deficit of -3% of GDP in 2025, we anticipate a further deterioration in the public balance to -4% in 2026, then -4.2% in 2027. The primary deficit is projected to reach -2.8% of GDP in 2026 (after -1.9% in 2025) before narrowing slightly to -2.7% in 2027. At the same time, the interest burden is expected to rise gradually from 1.1% of GDP in 2025 to 1.5% in 2027. This combination will result in a rapid rise in the debt-to-GDP ratio, from 62.6% of GDP in 2025 to 66.1% in 2026 and then 69.7% in 2027, before approaching 85% by the end of the decade.

The yield on the 10-year Bund rose above 3.5% on 14 September, its highest level since 2007. In addition to the increase in issues linked to extra-budgetary funds, inflationary pressures are also contributing to this rise. A gradual easing of inflation next year would make a moderate easing of sovereign yields possible in 2027. However, yields would remain high, at 3.2% in Q4 2027, suggesting that the bulk of the rise is structural.

At the same time, the government is continuing to implement its programme of structural reforms, including measures to support business investment, health-insurance reform, pension reform and an overhaul of the tax system. A number of measures have come into force, particularly accelerated depreciation for business investment until 2027, which will be followed by a reduction in corporation tax from 2028. Administrative simplification is also set to lead to an overhaul of the tax system from January 2027[1]. The health-insurance reform has been passed, while the pension reform is still under discussion, with expectations that it will be adopted by the end of the year.

Industry is restructuring and benefting from investment in AI and defence

Industrial production, janv. 2025=0 (weight in manufacturing production)

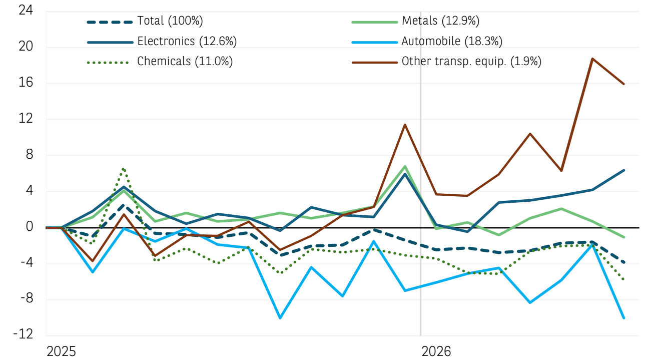

CHART 2

SOURCE: DESTATIS, MACROBOND, BNP PARIBAS

The intra-European reorientation of German exports is underway

Exports by destination (sa ; July 2026), %ch y/y YTD

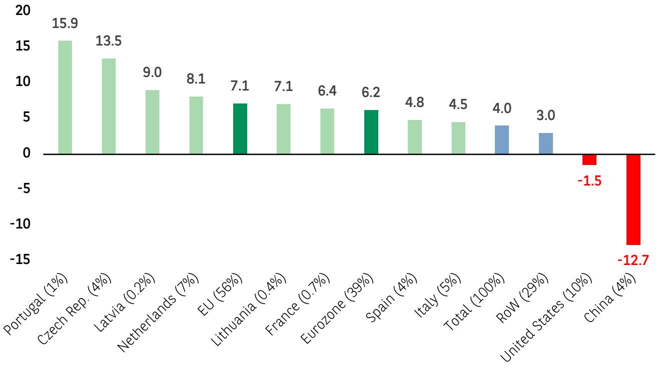

CHART 3

SOURCE: BUNDESBANK, MACROBOND, BNP PARIBAS

Article completed on 14 September 2026

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[1] The main measure will be a reduction of EUR 10 billion per year in income tax for individuals on low incomes, funded in part by an increase in taxes on high earners. The bill will be submitted to Parliament in the autumn, before being implemented from 2027.

ECOINSIGHT

Issue 19
24 September 2026

COUNTRY RISK PROFILE: VIETNAM

Christine Peltier – September 2026

- Vietnam has continued to enjoy very strong economic growth, despite external shocks;
- Vietnam has not yet fixed its external liquidity problem, which is a source of vulnerability;
- Medium-term prospects are favourable;
- Risk profile: strong economic growth and low public and foreign debt vs. low external liquidity and a weak banking sector.

Vietnam – Key indicators

		2022	2023	2024	2025	2026f	2027f
External solvency	External debt / GDP (%)	35.7	32.8	28.9	26.3	24.3	22.3
	External debt service / G & S exports (%)	6.8	7.5	7.7	7.1	6.3	6.0
External liquidity	Forex reserves (USD bn)	86.5	92.2	83.1	85.6	89.2	115.8
	In months of G & S imports	2.8	3.3	2.5	2.2	1.8	2.0
Financial vulnerability	Short-term external debt / forex reserves (%)	44.1	38.1	44.6	44.4	43.7	35.5
Activity	Real GDP growth (%)	8.5	5.1	7.0	8.0	7.3	6.7
Imbalances	Inflation (CPI, average, %)	3.2	3.3	3.6	3.3	4.4	4.6
	Budget balance / GDP (%)	+0.7	-1.7	-1.5	-2.2	-3.6	-2.4
	General government debt / GDP (%)	34.9	34.3	31.2	30.3	30.8	30.2
	Current account balance / GDP (%)	+0.3	+6.0	+6.6	+6.7	+2.9	+4.5

Sources: Ministry of Finance, General Statistics Office of Vietnam, IMF, BNP Paribas

	2025	Real growth rate (average 2021-2025)
GDP (USD billion)	494	+6.2%
GDP / cap (USD)	4 829	+5.2%
Population (million)	102	+1.0%

FC Sovereign Ratings

S&P	Moody's	Fitch
BB+	Ba2	BB+

ECONOMIC RESEARCH

BNP PARIBAS

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world

VIETNAM HAS CONTINUED TO ENJOY VERY STRONG ECONOMIC GROWTH, DESPITE EXTERNAL SHOCKS

Vietnam's economic success story has continued, despite last year's US tariff shock and this year's energy shock

- Economic growth accelerated to 8% in 2025 and 8.2% y/y in H1 2026, driven by exports, investment and private consumption. It is projected to slow in the short term, reaching a still strong level of 7.3% in 2026. External accounts strengthened in 2025, but they have deteriorated in recent months. Public and external debt ratios remain moderate.
- Vietnam is highly exposed to the global energy shock, but the consequences have been less severe than expected so far. Economic activity has continued to grow strongly, notably because the export-oriented manufacturing sector has been boosted by global demand for AI goods. Fiscal and current account balances can absorb a deterioration. Inflation has increased while currency depreciation pressures have remained manageable. Yet, as the negative impact of high energy prices is expected to persist, Vietnam could face more severe external liquidity tensions going forward.

Vietnam's export base has strengthened further over the past year, notwithstanding the rising US tariffs, notably because Vietnam has been a key beneficiary of the surging global demand for AI-related goods

- Export growth strengthened in 2025 (+17% in value), driven by electronic goods (+48%) and sales to the United States (+28%). Vietnam was one of the main targets of President Trump's tariff war in early 2025, but the tariff shock was much smaller than initially feared, and exports were boosted by surging AI-related demand. Vietnam increased its global market share (1.9% of world exports in 2025 vs. 1.7% in 2024), supported by gains in the US market (5.7% of US imports vs. 4.2% in 2024) and the semiconductor sector (Vietnam is estimated to account for 2.9% of world exports of semiconductors vs. 1.6% in 2024).
- Solid growth dynamics in industrial output and exports have continued in 2026. Exports rose by 21.9% y/y in the first eight months of the year, led by the strong increase in both volume and price of tech goods. However, Vietnam adds little value to the tech goods that it exports as it specialises mostly in assembling and packaging chips to form electronic components. Therefore, its balance of trade of semiconductor goods is negative, as imports and exports of tech goods are increasing in tandem.
- Vietnam's trade surplus with the United States has surged in the past three years and recently became the largest bilateral surplus, ahead of Mexico and China. It reached USD219 bn in the 12-month period to July 2026, up from USD116 bn in 2022 (vs. Mexico's trade surplus with the US: USD213 bn and China's trade surplus with the US: USD165 bn during the same period).
- Meanwhile, Vietnam's imports of Chinese goods have increased rapidly (+36.9% y/y in the first eight months of 2026), causing its trade deficit with China to surge. Indeed, Vietnam has played a growing role in the rerouting of Chinese goods to the US. It has also benefited largely from the reorganisation of production chains in the region and continued to attract significant FDI, mostly from Asian countries. Net FDI inflows have exceeded 4% of GDP in recent years, which has fostered continued expansion of the manufacturing sector and progress up the value chain.
- In the short term, solid export growth dynamics are likely to continue, assuming that there is no correction in the AI cycle and that manufacturing production is not hindered by energy supply difficulties.
- US trade policy remains a source of uncertainty. The US effective tariff rate on Vietnam's goods, which rose from 3.9% at end-2024 to 19.3% in August 2025, has fallen back in 2026 (as the US Supreme Court cancelled 'reciprocal' tariffs); it is now close to 10%. This is higher than some South Asian neighbours, but not high enough to undermine the competitiveness of Vietnamese goods substantially. However, Vietnam is still exposed to the risk of new US tariffs, given its connector role between China and the United States and its huge trade surplus with the United States.

Vietnam is a net energy importer highly exposed to the consequences of the conflict in the Middle East. So far, the impact of hydrocarbon supply disruptions has been more moderate than expected, but it could worsen in the coming months.

- Vietnam is vulnerable to disruptions in energy trade flows. In 2025, 88% of its total crude oil imports came from Kuwait and 49% of its gas imports were from the Gulf region. However, a few factors have attenuated the shock resulting from the Iran war, as Vietnam has reacted swiftly, finding alternative suppliers, introducing measures to contain demand and using its (low) stocks. The country produces 70% of its needs for refined products and imports the remainder from Asian countries (though the region's production is dependent on imports from the Gulf countries). More positively, oil and gas account for only 35% of Vietnam's energy mix (coal: 54% and renewables: 11%), and the country can partially switch to coal for electricity generation.
- The potential pass-through of rising global energy prices to domestic inflation is high. Yet, the government has some fiscal policy leeway (given its moderate deficit and debt ratios) and has introduced small measures to contain inflation (such as the use of the price stabilisation fund and fuel-tax suspension until the end of June). CPI inflation rose to 4.4% y/y in the first eight months of 2026, up from 3.3% in 2025. It is projected to average 4.4% in 2026 – which is still within the target set by the central bank (SBV) for this year, but also the highest rate since 2013. This will dampen consumers' purchasing power. The SBV is projected to keep policy rates stable in the short term, unless inflation accelerates more than expected or depreciation pressures on the dong intensify too much.

VIETNAM HAS NOT YET FIXED ITS EXTERNAL LIQUIDITY PROBLEM, WHICH IS A SOURCE OF VULNERABILITY

- Vietnam's trade balance has deteriorated steadily in 2026. It turned into a deficit amounting to USD19 bn in the first eight months of 2026 (customs data), compared to a surplus in the previous year (amounting to USD14 bn in the first eight months of 2025). This rapid deterioration has resulted notably from the rising import prices of both energy and electronic inputs.
- On the one hand, the current account surplus is decreasing, but from a comfortable level. It is projected to narrow to 2.9% of GDP in 2026 from 6.7% in 2025, due to the larger energy trade deficit (which accounted for 3.6% of GDP in 2025), the larger trade deficit in semiconductors/tech goods, and lower export receipts from tourism (about 6% of GDP). Furthermore, net FDI inflows will remain strong, staying close to 4% of GDP in 2026. Therefore, Vietnam is unlikely to need to incur new foreign debt.
- On the other hand, Vietnam's forex reserves are low and do not provide a solid cushion against a deterioration in the balance of payments. Forex reserves amounted to USD88.3 bn at the end of June 2026, which is weak: it is enough to service external debt in the short term but covers less than 3 months of imports of goods and services. In particular, if resident capital outflows increase (residents' confidence in the dong may be eroded by rising inflation and the external energy shock), currency pressure could intensify and the central bank could have difficulties to defend the dong. This risk cannot be ignored, even though the VND has barely depreciated this year (the central reference rate has lost a small 2% against the USD since the beginning of 2026).

MEDIUM-TERM PROSPECTS ARE FAVOURABLE

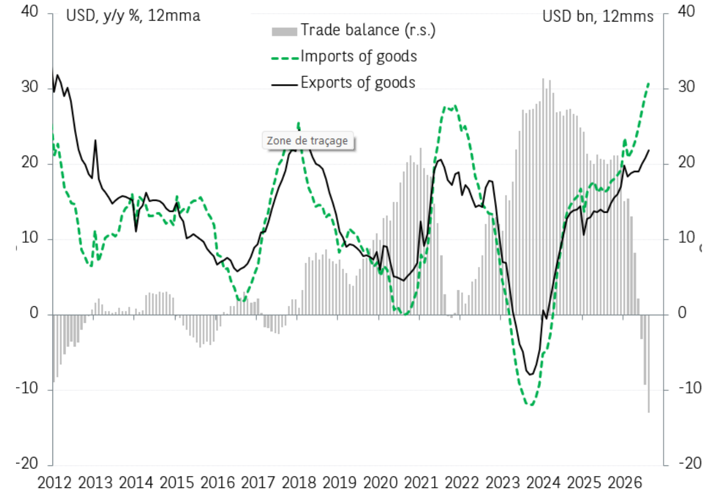
- In the medium term, economic growth is expected to remain strong. It is projected at 5.9% per year on average in 2027-2031, compared to 6.2% in the past decade. This is one of the highest growth rates expected in the ASEAN region.
- This projection is based on a rather optimistic scenario, as it assumes that:

  i) FDI continues to flow in, and the manufacturing export sector expands further. This means Vietnam's external accounts continue to strengthen in the medium term, thanks to continued current account surpluses, lower resident capital outflows, declining external debt and slowly increasing forex reserves;

  ii) Demographic trends remain favourable, even though they are projected to weaken gradually in the medium-long term;

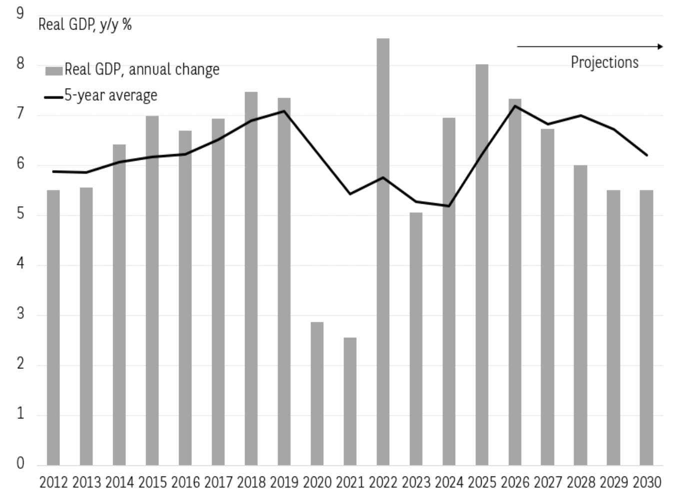
  iii) Structural reforms make steady progress, helping to improve financial-sector supervision, ease infrastructure constraints in the energy and water sectors, boost aggregate productivity (i.e. reducing the gap between high-productivity FDI firms and low-productivity local sectors) and adapt to climate change.

Vietnam's external trade: exports are rising fast, but imports are rising faster



Source: IMF, BNP Paribas

Vietnam's economy will continue to grow strongly in the medium term



Source: National Statistics Office, BNP Paribas

COUNTRY RISK PROFILE: STRONG ECONOMIC GROWTH AND LOW PUBLIC AND FOREIGN DEBT VS. LOW EXTERNAL LIQUIDITY AND A WEAK BANKING SECTOR

- Strong factors support Vietnam's overall country risk and economic prospects:

  i) a strong manufacturing export base that is moving up the value chain;

  ii) solid comparative advantages that continue to attract large FDI inflows;

  iii) current account surpluses and moderate foreign debt;

  iv) a moderate government debt burden;

  v) gradually improving policy making;

  vi) strong medium-term economic growth prospects, assuming that the authorities will continue to implement structural reforms and strengthen productivity in the entire economy.

- On the negative side, major negative factors continue to fuel some macro-financial risks:

  i) the excessive domestic debt level of the economy (excluding the government) and fragilities in the banking sector – this is a bad combination that fuels high credit risks and financial instability risks;

  ii) low forex reserves, which have not much strengthened in recent years, despite current account surpluses and notably due to resident capital flight. Forex reserves do not provide good protection against shocks, while Vietnam is vulnerable to external shocks;

  iii) very high exposure to physical climate risk. Coastal and river-delta regions, where population and economic activity are concentrated, are highly exposed to sea-level rises and flooding.

- Non transfer risk and currency risk: Vietnam has enjoyed very favourable external account dynamics in recent years until 2025, thanks to large FDI inflows, recurrent current-account surpluses and declining foreign debt (which is moderate, at less than 30% of both GDP and exports). This trend has been interrupted in 2026 as current account surpluses are decreasing. Meanwhile, there is a persistent risk of increasing resident capital outflows fuelling some VND depreciation pressure (whereas the potential for foreign capital outflows is limited). As the forex reserve cushion is weak, it would not enable the central bank to defend the dong for a long time if there is severe currency and external liquidity pressure. However, so far this year, the VND/USD spot rate and the reference rate (Vietnam has a crawling band FX regime) have depreciated only slightly, supported by strong exports and FDI inflows.

- Sovereign risk: the government debt burden is moderate and will remain so in the short term, even if the fiscal deficit is projected to deteriorate. The fiscal deficit could exceed 3% of GDP in 2026 due to support measures in response to the energy shock (estimated at less than 1% of GDP in H1 2026), but this will not endanger public-debt dynamics. Government debt should fall again in 2027 thanks to lower deficits and fast GDP growth. Debt was only 30% of GDP in 2025 (vs. 41% in 2019) and interest payments consumed less than 5% of fiscal revenue (vs. 7.2% in 2019). The government covers its funding needs mostly in the local bond market, which is deepening gradually and not highly exposed to foreign investors. Government debt in foreign currency declined to about 25% of total debt in 2025 (vs. 38% in 2019); this is still substantial, but almost all this FC debt is made up of concessional loans from official creditors. On the negative front, high credit risks in the state corporate and bank sectors are very large contingent risks for the sovereign. Moreover, public investment needs related to climate change and infrastructure development will increase in the medium term.

- Systemic credit risk: Domestic credit to the private sector is too large and still rising (141% of GDP in 2025 vs. 108% in 2019) while the banking sector remains poorly capitalised. Credit risks and resource misallocation have long been exacerbated by opacity and supervision flaws, as well as the use of high credit growth targets to support economic growth (+15% in 2026). In 2022–2023, banks faced severe funding stress and asset-quality deterioration resulting from the property and bond market crisis. The situation has recovered gradually since then. In the short term, credit risks may increase amid higher energy costs and if there is a correction in the tech cycle. Some banks, especially small private ones, also remain exposed to VND funding risk (whereas banks do not rely much on foreign-currency financing). Positively, reforms, including stricter capital-adequacy requirements, continue to be introduced gradually in order to improve banks' creditworthiness (the SBV plans to test the removal of credit quotas for the soundest banks from 2026).

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CHART
OF THE WEEK

23 September 2026

NEXT GENERATION EU: THE PROGRAMME IS COMING TO AN END, BUT ITS EFFECTS ON ECONOMIC ACTIVITY WILL ENDURE

Guillaume Derrien

A pillar of the NextGenerationEU programme, the Recovery and Resilience Facility (RRF) will expire on December 31, 2026. As of the end of August 2026, slightly more than three-quarters of the total budget had been disbursed (EUR 440 billion out of EUR 573 billion). Disbursing the remaining quarter (EUR 133 billion) by the end of the year will require a significant increase compared with the historical pace (EUR 90 billion per year). The goal of channeling these funds toward productive investment appears to have been achieved.

Tangible results for investment in Europe

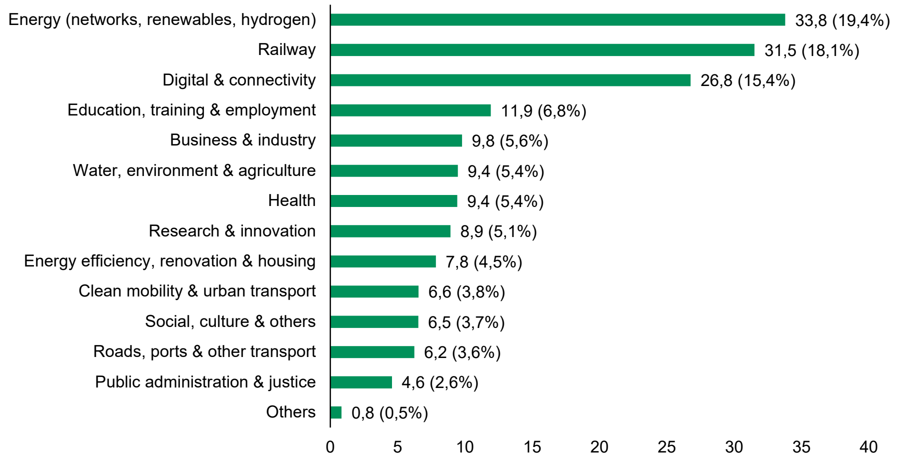
According to Eurostat, public spending co-financed by the RRF totaled EUR 310 billion between 2020 and 2025. Nearly three-quarters (74%) consisted of capital expenditures, including EUR 106 billion in direct public investment and EUR 122 billion in capital transfers to the private sector (such as grants). This spending supported investment by businesses and households.

The list of major programmes funded by the RFF, published by the European Commission[1], shows that, within this scope, nearly two-thirds of the funding went to transportation (primarily rail), energy infrastructure, and digital infrastructure (*see Chart 1*).

Another notable point: capital expenditures co-financed by the RRF increased significantly, reaching 0.4% of GDP for the European Union as a whole in 2025 (*see Chart 2*). There are significant disparities among Member States, primarily due to differences in the amounts allocated to them. Croatia (1.9%), Greece (1.2%), Italy (1%), and Spain (0.7%) received significant support, in contrast to France and Germany (0.1%). These figures are consistent with the IMF's estimate that the RRF added approximately 0.3 percentage points (pp) to EU growth in 2025 (more than 1 pp in Greece and Croatia, around 0.8 pp in Italy, and 0.5 pp in Spain)[2]. Furthermore, as the first major joint European borrowing initiative, the RRF made it possible to finance investment without increasing national budget deficits, giving several countries (Spain, Italy, Greece, Portugal) valuable breathing room to consolidate their public finances.

Infrastructure spending accounts for the majority of the funding

Breakdown of RRF funds for the 100 largest projects by country (EUR bn)



Note: The figures in parentheses represent each sector's share of the total funds allocated to the 100 largest projects by country (totaling EUR 174.1 bn, data as of 31 August 2026).

CHART 1

SOURCE: EUROPEAN COMMISSION, Recovery and Resilience Scorecard

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[1] Recovery and Resilience Scoreboard

[2] The EU's Recovery and Resilience Facility: Experience and Lessons for the Next Multiannual Financial Framework, WP/26/114, June 2026

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Investment spending related to the FRR has been increasing

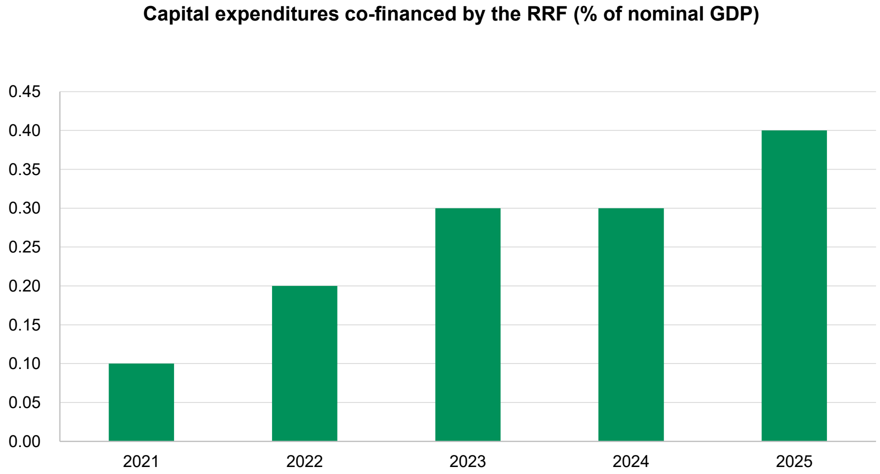

CHART 2

SOURCE: EUROPEAN COMMISSION, Recovery and Resilience Scorecard, BNP PARIBAS

What impact on EU's economic activity can we expect once this programme ends?

At first glance, effects will be limited. The end of the programme is expected to weigh on both public and private investment. However, the strengthening of economic activity that we anticipate (see details in our latest Ecoperspectives – Q3 2026) rests primarily on German public investment programmes and structural drivers (investment in AI, defence spending).

The ECB makes the same point in its September macroeconomic projections[3]. It emphasises that the end of the RRF is expected to weigh on public investment in 2027, while it anticipates an acceleration in business investment. Furthermore, RRF funds are being absorbed on the ground only gradually. Since most disbursements are concentrated toward the end of the programme, the effects of the RRF will extend beyond 2026.

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[3] ECB staff macroeconomic projections for the euro area, September 2026

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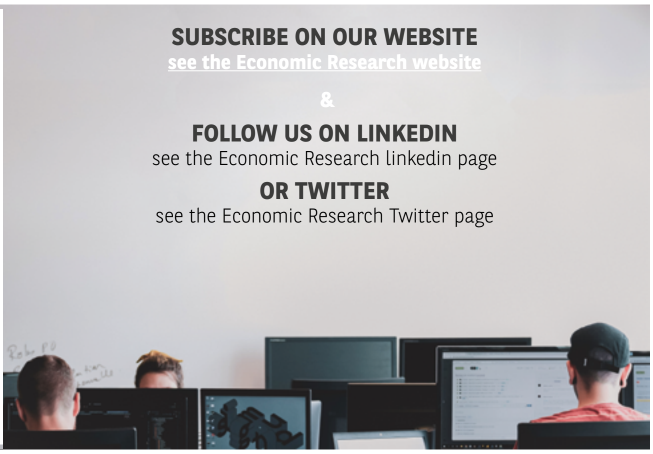

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SPECIAL EDITION | HOW BAS IS THE RISE IN BOND YIELDS?

TRANSCRIPTION

0:00:10 - Emmanuel Laborde

Everyone, welcome. As we head into autumn 2026, interest rates are reaching levels never seen for many, many years. Why is this happening? Is it sustainable? And what are the implications for the economies of different countries? All these questions will be discussed over the next few minutes with the economists of BNP Paribas. Let us begin with Isabelle Mateos y Lago, chief economist of the group. Hello, Isabelle.

0:00:38 - Isabelle Mateos y Lago

Hello Emmanuel, hello everyone.

0:00:39 - Emmanuel Laborde

Thank you for being with us today. Just to begin, a simple explanation. What rates are we talking about and which countries are affected?

0:00:48 - Isabelle Mateos y Lago

Yes, it is very important to clarify this. So, we are talking about long-term interest rates, rates at 10 years or longer maturities, 30 years, etc. The rates at which sovereign states borrow on the market. And this is primarily something that is happening in advanced countries, so United States, United Kingdom, Japan, and then the Eurozone countries. And indeed, as you said, we are seeing since the beginning of the summer, interest rates reach levels we had not seen for about 20 years. But it is important to keep in mind that up until that point, up until the mid-2000s, the level of interest rates that we're seeing now were really quite common, quite normal, so one shouldn't overdramatize.

0:01:35 - Emmanuel Laborde

Why do we find ourselves in this situation and how did we get to this point?

0:01:41 - Isabelle Mateos y Lago

Yes, so the direct cause is that investors are demanding higher interest rates in order to lend their capital to governments. But why is this? Well, there's essentially three reasons for this, and not all of them are bad, and they're not mutually exclusive either. The top reason to my mind is that there's just greater competition for capital between sovereign states and the corporate sector, who are all facing simultaneously additional investment needs, in defense, in artificial intelligence, in energy transition, in resilience. And so, you just have greater competition for capital and that pushes up the price of capital, which is the interest rate.

Reason number two is because markets have revised upwards their expectations of how high central banks are going to be taking their interest rates.

And this mechanically translates into higher rates at the long end. And then there's a third reason, which doesn't apply necessarily in every case, but which is essentially higher sovereign risk, a kind of a risk premium, in cases where there are concerns arising about the sustainability of these public debts.

0:02:59 - Emmanuel Laborde

What are the implications for global economies?

0:03:03 - Isabelle Mateos y Lago

So that's exactly what we'll be discussing in the next segments. But basically, the two key issues are, one, an adverse impact on public finances. It's higher interest rates making it harder to balance the books in terms of public accounts. And then secondly, these higher rates tend to slow down economic growth. Of course, by how much and how serious it will be, depends on how high interest rates go and how long they stay there. But that's for the next segments.

0:03:38 - Emmanuel Laborde

Yes. Thank you very much, Isabelle. Having said the scene now, let's move on to the first segment with the following question. What makes debt sustainable? And let's see what Hélène Baudchon has to say.

Hello Hélène and welcome into this special edition.

0:03:58 - Hélène Baudchon

Hello Emmanuel, hello everybody.

0:04:01 - Emmanuel Laborde

When economists talk about public debt, they often refer to the sustainability of debt. As an economist, can you explain to us what that means and what is the debt trajectory deemed unsustainable?

0:04:15 - Hélène Baudchon

To begin with, I will say that a temporary increase in debt can be seen as a normal evolution, not particularly concerning, for instance during an economic crisis or more recently during a health crisis. In such cases, it acts as a buffer. A problem arises when the debt level never comes back down. An unsustainable trajectory can be therefore defined, characterized by a continuous regular rise in the debt level, both in absolute terms and as a proportion of GDP, driven by high and recurring fiscal deficits. And sometimes interest payments can exacerbate the problem.

0:05:00 - Emmanuel Laborde

In very simple terms, you are talking about the snowball effect.

0:05:03 - Hélène Baudchon

Exactly explaining why consolidation measures are needed in order to prevent such an adverse situation from occurring and in order to prevent, in fact, a sudden loss of confidence from creditors.

0:05:16 - Emmanuel Laborde

Regarding governments, what should serve as a warning sign for them? And at what point could the situation become, let's say, problematic?

0:05:27 - Hélène Baudchon

Well, simply speaking, when interest rates rise, not so long ago, up until 2022, Eurozone countries were borrowing at very low rates and in some instance, even negative rates. And although debt levels were already at high level at that time, the low rates helped manage debt servicing. Not much fiscal effort was needed to keep the public debt ratios in check.

0:05:55 - Emmanuel Laborde

Of course, we all remember this because it was a very unusual situation, but now things are very different.

0:06:01 - Hélène Baudchon

Yes, indeed, the situation today is clearly more challenging simply because bond yields are significantly higher and they are rising at the time of our discussion. This is for the part the result of the ECB's monetary tightening in 2022-2023 aimed at addressing the inflation shock then. Then long-term interest rates have risen as a consequence and have aligned more closely with GDP growth rate. And in technical terms, this is what we refer to as a narrowing of the "r" - "g" spread.

0:06:41 - Emmanuel Laborde

Why is this spread so important? Why do you, the economists, monitor it this way?

0:06:48 - Hélène Baudchon

Essentially, you have the interest rate "r", which determines the debt burden, while the growth rate "g" determines the trajectory of fiscal revenues. And if "r" is lower than "g", and this has been the case for many years, as you can see on the chart on the screen, it means that interest payments are increasing at a slower pace than the revenue component of the equation.

0:07:14 - Emmanuel Laborde

And this provides some leeway in other budgetary areas, such as education, of course, defense, maybe pensions.

0:07:22 - Hélène Baudchon

Yes, indeed. And this is what we refer to as the primary budget. However, if and when interest rates do go up while the economy isn't growing that much faster, then fiscal leeway diminishes.

0:07:35 - Emmanuel Laborde

Crystal clear. Now, just could you provide a few last words to wrap up the sustainability segment?

0:07:43 - Hélène Baudchon

Well, to conclude, we are entering a period which demands greater fiscal discipline or, as some might say, less indiscipline in order to manage debt trajectories effectively, in particular in the countries which have high debt levels. And for instance, the Italian case is an interesting one because it is well known for its high debt level ratio. But in fact, it also has an advantageous position because it has no primary deficit. In fact, it even benefits from a large primary surplus.

0:08:22 - Emmanuel Laborde

As for the countries... For the other countries... I stop you because this will be a discussion with Guillaume Derrien during the next segment. Thank you very much, Hélène.

0:08:30 - Hélène Baudchon

Thank you, Emmanuel.

0:08:36 - Emmanuel Laborde

Hello, Guillaume. Welcome.

0:08:37 - Guillaume Derrien

Thank you.

0:08:38 - Emmanuel Laborde

Hello, Emmanuel, and hello to everyone. The flexibility of fiscal policy depends heavily on interest rates, which have increased considerably over the past few months. The question is, where do we stand today?

0:08:52 - Guillaume Derrien

So, long-term rates have increased in all advanced economies, reaching levels not seen since 2008 in Europe and in the United States, and even since 1996 in Japan. Fortunately, the effective rate that states pay on their debt is lower than those headline figures suggest, simply because the average maturity of debt is relatively long. Precisely how long are we talking about? So, it's about 10 years in Japan, 13 years in the United Kingdom, and 8.5 years in France. That means that most of the debt was raised before rates started climbing.

For example, in France, the effective rate just recently rose above the 2% mark, which is significantly lower than the 10-year bond yield, which exceeded 4% for new issuances.

That said, in the United States, which has an average maturity of roughly six years, is experiencing a more rapid increase in its effective rate.

0:09:54 - Emmanuel Laborde

And this rate increase is happening in the context of high debt-to-GDP ratios and with modest growth, correct? Yes, that's correct.

0:10:05 - Guillaume Derrien

Debt levels have reached unprecedented heights since the end of World War II. And at the same time, growth is lower, hovering around 2% on average in the United States, 1% in Europe and 0.5% in Japan. What does that mean for debt servicing costs? So, debt servicing cost is already relatively high, but it is expected to grow further as debt issue before the 2022 rate hikes mature and are replaced with new instruments bearing higher interest rates. By 2030, interest costs could rise to levels last seen in 2000, specifically in France, around 4% of GDP.

Are all the countries equally affected by these trends? Actually, no. Some countries are managing to reduce their debt level.

Spain, Italy, even Japan have sufficiently improved their primary balance to achieve this, at least for the time being. And of course, we must speak about Germany. Yes, Germany is implementing investment programs that result in a higher public deficit and debt-to-GDP ratio. But this ratio started from a relatively low base at around above 60% of GDP. That said, in this current context, German bonds have risen. And because German bonds are used as a benchmark for Europe, it raises rates across all Eurozone countries. Is France the only country seeing its public debt go up?

No, it's not, Emmanuel. This is happening in the United Kingdom and in the United States. These economies, like France, are running public deficits that are ever close or exceed 5% of GDP, which is too large for debt ratio to stabilize on its own.

France and the United Kingdom are trying to gradually reduce their public deficit so as not to compromise growth. The United States is not going on that path yet, but market pressure could eventually force them to do so.

0:12:08 - Emmanuel Laborde

Thank you very much for your input, Guillaume. Thank you, Emmanuel. Let's go to the next segment. It's about the impact of rising bond yields on financing and investments in the Eurozone.

0:12:26 - Thomas Humblot

Hello, Thomas. Welcome. Hello. Thank you for having me today.

0:12:30 - Emmanuel Laborde

We've just seen what's behind the rise in Eurozone bond yields. This rise is partly attributed to the sovereign spread. What impact will this have on the economy?

0:12:42 - Thomas Humblot

Actually, this widening of some government bond spreads is obviously not good news, but it tends paradoxically to have less impact than an increase in long-term interest rates that does not include the sovereign risk premium. for example, in France, for a very long time, it has been considered that the 10-year OAT was the relevant benchmark for fixed loans. And at that time, the spread on French government bonds was relatively stable. But since 2024, that spread increased significantly and that renders the sovereign yield a less relevant benchmark.

And now the most relevant benchmark is the swap rate because it determines the cost of bank funding that backs new loans.

0:13:56 - Emmanuel Laborde

Since the end of 2024, we have seen a rise in long-term 10-year swap rates. What impact does this have on bank lending rates?

0:14:08 - Thomas Humblot

Fixed loans have obviously become more expensive, but to a lesser extent than if they were priced solely based on long-term sovereign rates. And what about existing fixed-rate loans?

There is no impact. An increase in rates for the entire maturity of a loan does not have any effect if it is a fixed-rate loan. Borrowers with outstanding loans are therefore protected. Obviously, new fixed loans are granted at higher rates. And this sharply contrasts with a floating-rates loans.

Because with floating-rates loans, borrowers experience regular rate adjustments throughout the term of the loan. And in terms of bank financing? Strictly in terms of bank financing, an increase in short-term rates has an immediate and widespread restrictive impact on borrowers, while for long-term interest rates, the impact is more gradual, and it comes gradually as the outstanding amount of fixed-rate loans are progressively renewed. And the thing is that since the beginning of the war in Iran, we have seen a combination of the two.

And in practical terms, the rate of new bank loans to non-financial corporations has increased about 25 basis points in the eurozone since the beginning of the year.

0:16:12 - Emmanuel Laborde

Just a few words about companies that borrow directly from the market.

0:16:16 - Thomas Humblot

Well, in that case, the impact is even more straightforward. The rate at which a company borrows from the market is the risk-free rate plus a premium.

0:16:28 - Emmanuel Laborde

Have risk premiums, known as corporate credit spreads, also increased?

0:16:34 - Thomas Humblot

Yes, they have increased temporarily at the beginning of the year but have returned to normal since. For the time being, the widening remains moderate for the highest-rated investment-grade issuers.

However, some significant bond issuance in the euro debt market due to some major US technology companies has increased spreads for longer maturities.

0:17:11 - Emmanuel Laborde

In particular terms, how does this affect the investment decisions of the companies?

0:17:19 - Thomas Humblot

Well, investments that were previously worthwhile due to returns sufficient to cover the cost of capital may no longer do so and in turn that might lead to a decrease in demand for financing.

0:17:40 - Emmanuel Laborde

Thank you very much Thomas. Now let us move on to the emerging economies. And it is with Cynthia Kalasopatan-Antoine.

Hello Cynthia, and welcome.

0:17:54 - Cynthia Kalasopatan-Antoine

Hi, Emmanuel. Hello, everyone.

0:17:57 - Emmanuel Laborde

Long-term bond yields rose significantly in advanced economies over the summer. What can we now say about emerging markets?

0:18:06 - Cynthia Kalasopatan-Antoine

Emerging bond markets held up well, which is quite unusual. The rise in long-term sovereign yields in emerging countries has been less pronounced than in advanced economies, including the United States and Germany. Now, there are two main exceptions, Turkey and Poland. Meanwhile, we did not witness any significant correction in emerging financial markets over the summer, and the main currencies appreciated slightly against the dollar or the euro.

0:18:37 - Emmanuel Laborde

Does this mean that public finances are more robust in emerging countries?

0:18:43 - Cynthia Kalasopatan-Antoine

Well, it depends. You see, in cases like the Czech Republic and South Korea, public debt is moderate and macroeconomic fundamentals are solid. However, these countries are now less frequently considered as emerging and tend to be viewed as newly advanced economies. By contrast, Brazil and South Africa have weaker public finances and investors have already incorporated a higher sovereign risk into their assessments. And this is reflected in the bond yields. And this assessment of sovereign risk did not really change over the summer.

0:19:26 - Emmanuel Laborde

When comparing the main fiscal metrics, what are the trends? What do you see as an economist?

0:19:33 - Cynthia Kalasopatan-Antoine

On average, the fiscal metrics in emerging markets are not substantially worse than those in advanced economies. The average budget deficit levels are similar, ranging from 4% to 5% of GDP in 2025-2026, according to the IMF. And as in advanced economies, the public debt is higher than its pre-Covid level. However, the average public debt to GDP ratio in emerging countries excluding China is close to 60%, whereas in advanced economies, it is above 100%.

0:20:12 - Emmanuel Laborde

Do you arrive at the same conclusion when comparing debt sustainability criteria?

0:20:17 - Cynthia Kalasopatan-Antoine

Well, there are significant regional differences. In emerging Asia, the factors that determine debt sustainability are more often favorable than those in advanced economies. In Central Europe, the gap between the interest rate paid on debt and the GDP growth rate is also favorable. However, the primary deficits in some countries are high.

0:20:45 - Emmanuel Laborde

In a few words, a brief overview of the situation in Latin America.

0:20:49 - Cynthia Kalasopatan-Antoine

Well, Brazil and Mexico are in a less favorable position. These countries would indeed need to generate a significant primary budget surplus each year in order to stabilize their debt in the medium term.

0:21:07 - Emmanuel Laborde

Economists use the term original sin, which refers to the situation when governments resort to borrowing in foreign currency to address the shortfall in domestic financing. Does this phenomenon continue to distinguish emerging countries?

0:21:24 - Cynthia Kalasopatan-Antoine

Yes, this is still the case. Emerging countries still have a significant share of their debt in foreign currency. This represents about 35 to 40% of their total debt on average. And in fact, now, this figure has decreased over the past decade, and this contributes to their resilience. However, governments in emerging markets have a less favorable position as regards their debt profile and their financing costs are also on average higher.

0:22:02 - Emmanuel Laborde

And finally, just a few words about a larger subject, China.

0:22:07 - Cynthia Kalasopatan-Antoine

China's public debt is significant and growing rapidly. That being said, it is denominated in domestic currency and issued in domestic markets. This debt is, however, sustainable in the medium term due to a very low effective interest rate and a high growth rate.

0:22:29 - Emmanuel Laborde

Thank you very much, Cynthia, for being with us today.

0:22:32 - Cynthia Kalasopatan-Antoine

Thank you.

0:22:33 - Emmanuel Laborde

It is now time to conclude, and we welcome back Group Chief Economist Isabelle Mateos y Lago.

It is time for our conclusion with Isabelle. Once again, just a final question, please. Could or should, I do not know which word is the good one, central banks intervene to curb this rise in interest rates?

0:22:58 - Isabelle Mateos y Lago

Absolutely not. The main contribution that central banks can bring to dealing with this situation is to restore price stability, as is their mandate, as promptly as possible. And in the current circumstances, this means keeping relatively high policy rates, in some cases, rising them further. And the responsibility for keeping public finances on a sustainable footing rests squarely with governments and any attempt by these governments to instead take the easy way out by pressuring central banks to lower interest rates prematurely would be enormously counterproductive.

0:23:41 - Emmanuel Laborde

Thank you very much, Isabelle. Thank you all for joining us today. Just a few words to remind you that additional economic research content can be found by scanning the QR code shown on your screen. Do not hesitate to use it with your smartphone. It is very easy. It was a pleasure to be with you today. Have a nice day and hope to see you so